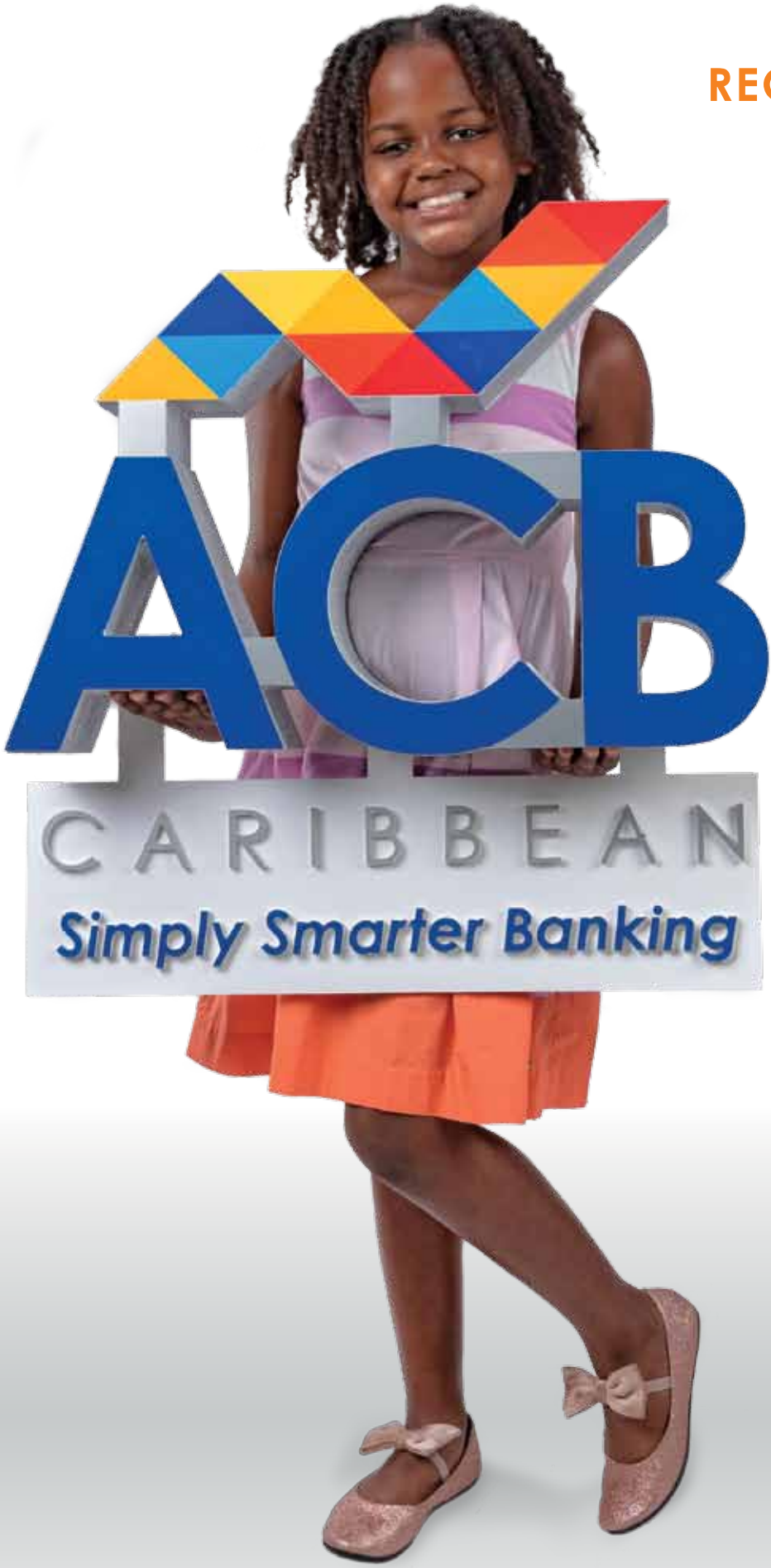
ACB
CARIBBEAN
Simply Smarter Banking

ANNUAL REPORT 2021



LOCAL ROOTS...
REGIONAL GROWTH...
INTERNATIONAL ASPIRATIONS



LOCAL ROOTS... REGIONAL GROWTH... INTERNATIONAL ASPIRATIONS

The theme for this Annual Report proudly shares the passion of our people. It is what drives every decision to advance, innovate and grow.

We honor the strong and visionary shoulders of our founding fathers on which we stand.

Our LOCAL ROOTS do not merely serve to keep us grounded as we grow and expand our branches, they feed us constantly with the changing needs of our customers, the brightest light of our new staff members and the constant pride of achievement for all stakeholders as we accomplish our goals.

Our REGIONAL GROWTH is the newest demonstration of our Simply Smarter Banking philosophy through which we expand our reach, market and possibilities while holding true to our foundation of indigenous knowledge and an unquenched thirst to serve our stakeholders.

Our INTERNATIONAL ASPIRATIONS, the future we are creating for the next generation of customers and our employees, is what inspires us daily. With each smart innovation, and our ongoing evolution of our customer service delivery, we never forget who we are and are passionate to reveal who we will be.

Like the child who represents the future and will one day inherit the proud legacies of our founders, we aspire. We see the future in every child whose life is changed by the financial opportunities we create for their family, and those of the communities we serve. This is our passion.

TABLE OF CONTENTS



08 CORPORATE INFORMATION



12 CHAIRMAN'S REPORT



20 DIRECTORS' REPORT

03 Theme Page - Local Roots... Regional Growth... International Aspirations

04 Table of Contents

06 Our Vision and Mission Statements

07 Feature – Pride

08 Corporate Information

09 Notice of Annual General Meeting

10 Feature – Delivering Growth

12 Chairman's Report

15 ACB Caribbean in the Community

20 Directors' Report

30 ACB Caribbean Board of Directors

32 ACB Mortgage & Trust Company Limited Board of Directors

34 ACB Grenada Bank Ltd. Board of Directors

35 Talent Management and Recognition Report



35 TALENT MANAGEMENT AND RECOGNITION REPORT



39 MANAGEMENT'S DISCUSSION AND ANALYSIS



51 CONSOLIDATED STATEMENT OF FINANCIAL POSITION

38 Annual Employee Awards 2019 – 2020

39 Management's Discussion and Analysis

43 Feature – Investing in Our Future

44 Senior Management Team – ACB Caribbean

46 Feature – Smarter Banking

48 Independent Auditors' Report

51 Consolidated Statement of Financial Position

52 Consolidated Statement of Income

53 Consolidated Statement of Comprehensive Income

54 Consolidated Statement of Cash Flows

55 Consolidated Statement of Changes in Equity

57 Notes to Consolidated Financial Statements

Our Vision

Empowering those we serve to achieve wealth and value beyond their expectations.

Our Mission

To create shared value through exceptional financial services built on best practices and our foundation as an indigenous Institution.





~PRIDE~

LOCAL ROOTS... REGIONAL GROWTH... INTERNATIONAL ASPIRATIONS

Our founders represented the best of local knowledge and a true understanding of the community's needs at the time. This is a constant source of pride for us all and continues to drive our passion for Simply Smarter Banking always.

CORPORATE INFORMATION

REGISTERED OFFICE AND POSTAL ADDRESS

Thames & St. Mary's Streets, P.O. Box 95, St. John's, Antigua

SERVICE LOCATIONS

ACB Caribbean Headquarters: Thames & St. Mary's Streets, St. John's, Antigua

ACB Caribbean Financial Centre: High & Temple Streets, St. John's, Antigua

Village Walk Branch: Village Walk Commercial Centre Ltd., Friars Hill Road, St. John's, Antigua

Market Street Branch: High & Market Streets, St. John's, Antigua

Barbuda Branch: Codrington, Barbuda

SUBSIDIARY LOCATIONS

ACB Mortgage & Trust Company Limited
ACB Caribbean Financial Centre
High & Temple Streets, St. John's, Antigua

ACB Grenada Bank Ltd.
Grand Anse, St. George's, Grenada

ATM LOCATIONS

ACB Caribbean Headquarters: Thames & St. Mary's Streets, St. John's, Antigua

ACB Caribbean Financial Centre: High & Temple Streets, St. John's, Antigua

Village Walk Branch: Friars Hill Road, St. John's, Antigua

V. C. Bird International Airport: Coolidge, St. George, Antigua

Market Street Branch: High & Market Streets, St. John's, Antigua

Barbuda Branch: Codrington, Barbuda

Townhouse Mega Store Plaza: All Saints and American Roads, St. John's, Antigua

Perry Bay Supermarket: Perry Bay Main Road, St. John's, Antigua

EMAIL ADDRESS

customerservice@acbonline.com

WEBSITE

www.acbonline.com

CONTACT NUMBER

(268) 481-4200/1/2/3

FAX NUMBER

(268) 481-4229

INDEPENDENT AUDITORS

KPMG, Castries, St. Lucia

CORRESPONDENT BANKING RELATIONSHIPS

Bank of America

Bank of Montreal

Bank of Saint Lucia Limited

Bank of St. Vincent and the Grenadines Limited

Crown Agents Bank

Eastern Caribbean Central Bank

1st National Bank of St. Lucia Ltd.

National Bank of Dominica Ltd.

National Commercial Bank of Anguilla Limited

Republic Bank (Barbados) Ltd.

Republic Bank (Grenada) Limited

Sagicor Bank Jamaica Ltd.

St. Kitts – Nevis - Anguilla National Bank Limited

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the **SIXTY- SIXTH (66th) ANNUAL GENERAL MEETING of ANTIGUA COMMERCIAL BANK LTD. TRADING AS ACB CARIBBEAN** will be held via hybrid format (both online and in-person), on **Wednesday April 12, 2023 at 2pm.** The event will be hosted at the **Sir John E. St. Luce Finance and Convention Centre** on Factory Road, St. John's, Antigua. Online attendance will be facilitated through **the Zoom Webinar Platform. Pre- registration to attend will be required.**

Agenda

1. Call to Order
2. Prayers
3. Adoption of Agenda
4. Chairman's Remarks
5. (i) Confirm the Minutes of the Sixty- Fifth (65th) Annual General Meeting – March 25, 2021

   (ii) Consider the Matters Arising from the Sixty- Fifth (65th) Annual General Meeting Minutes
6. Present the Chairman's and Directors' Reports
7. Consider the Financial Statements for the year ended September 30, 2021 and the report of the Auditors
8. Elect Directors and fix their remuneration
9. Declare a Dividend for the financial year ended September 30, 2021
10. Appoint the External Auditors for the year ended September 30, 2022 and authorize the Board to fix their remuneration
11. Transact any other business which may properly come before an Annual General Meeting of Shareholders.

BY ORDER OF THE BOARD

RHODETTE PAIGE
LEGAL COUNSEL/ CORPORATE SECRETARY

March 17, 2023



NEW LOCATION
Market Street Branch
(High & Market Streets, St. John's, Antigua)



NEW LOCATION
ACB Grenada Bank Ltd.
(Grand Anse, St. George's, Grenada)

~DELIVERING GROWTH~

LOCAL ROOTS... REGIONAL GROWTH... INTERNATIONAL ASPIRATIONS

Growth with purpose feeds every aspect of our service delivery promise. Growth driven by vision, local knowledge, regional need and international aspiration is at the root of our firmly grounded local roots. We grow for you and your ever expanding needs and dreams. We will grow together.

Chairman's **Report**



OVERVIEW

The year 2021 was a year of expansion for the ACB Caribbean Group, as the Group broke barriers and crossed borders by extending its brand outside of Antigua & Barbuda into the OECS. It was also a year of slow recovery as the restrictions and disruption caused by the COVID- 19 pandemic gradually eased.

Following a decline of 20% in 2020 in Antigua & Barbuda, real Gross Domestic Product (GDP) is estimated to have expanded by 5.3% in 2021 buoyed by tourism and construction activity.

This GDP growth coupled with the positive financial results brought about by the Royal Bank of Canada (RBC) acquisitions, were major contributors to the Group's performance, and considered one of the best to date.

Overall, the Group recorded net profits of $49.4 million. There was growth in all asset classes (including loans and investments), customer deposits, interest, and operating income year over year. The Group's customer base grew by 31% from a base of 55K to approximately 72K, attributed mainly to the acquisitions in both Antigua and Grenada.

While the acquisitions came with substantially higher costs than anticipated, this was offset by a gain from writing back provisions and a prudent purchase with the Grenada Acquisition.

Growth

Customer Growth

+31%
72,000

Digital Customers

+38%
Increase in active users

Profitability

Group Net Profit

$49.4
Million

ACQUISITION, REBRAND AND EXPANSION

In the face of the environment, disrupted by the Pandemic, the ACB Caribbean Group worked arduously and methodically in its contribution towards closing the sale between RBC and the Consortium of Banks in April 2021, and converting systems in December of the same year. This was a significant achievement as conversions of two banking systems, can take from eighteen (18) to twenty four (24) months. ACB achieved this goal in nine (9) months, in both Antigua and Grenada, with minimum disruption to its service to customers.

With the expansion into Grenada, it was necessary for the Group to adopt a more inclusive and modern brand identity that reflected a pan Caribbean Organisation. After many rounds of stakeholder engagement, the new visual identity of ACB Caribbean Group was born with a new logo and the tagline "Simply Smarter Banking". This was unveiled as ACB Caribbean in Antigua & Barbuda on March 22, 2021, and in Grenada as ACB Grenada Bank Ltd. on April 5, 2021, under the umbrella of the new brand.

On behalf of the Board of Directors, I express gratitude to the teams involved in these projects for their fortitude and commitment to the ACB Caribbean Group. Their collective contributions under the exceptional leadership of our General Manager, who guided the process from end to end, resulted in the Group successfully opening its doors in both territories – a truly momentous milestone in our 67-year history.

TECHNOLOGY AND CUSTOMER SERVICE

With any acquisition comes disruption. The increase in customers, COVID -19 restrictions that reduced face-to-face interactions, and technological challenges with our ATMs, resulted in a negative impact on customer service. However, the Management Team continues to work assiduously to close any service gaps while developing a longer-term strategy to improve the customer experience.

The upside in this challenging situation was that we were able to increase the conversion of customers to the Bank's Digital Banking platform with a 38% increase in active users between 2020 and 2021.

In 2020, the value of merchant payments via the online banking platform and the ACB Smart App reached approximately EC$13M, while in 2021, this figure rose exponentially to EC$32M.

The ACB Caribbean Smart Card, (Chip & Pin Contactless International Debit Cards) was also launched in August, 2021, offering customers greater peace of mind, easy payment at Points of Sale Machines and more secure online shopping.

ACB GRENADA BANK LTD.

As part of the deal with RBC, ACB acquired 62.08% of the former RBTT Bank Grenada Limited, being RBC's shares in the Banking entity in Grenada. As is synonymous with the entry into any new market, the expansion came with its own challenges. The team remains committed to approach this situation creatively in order to achieve success. More details are available in the separate 2021 Annual Report for this Subsidiary, as published.

ACB MORTGAGE AND TRUST COMPANY LIMITED

The Subsidiary's customers were impacted by the global supply chain disruptions, which created headwinds for drawdowns of the Subsidiary's credit commitments. Notwithstanding, the Subsidiary was able to overcome the impact of the COVID-19 pandemic on its operations, recording a profit of $8.91 million which was 24.62% or $1.8 million above the prior year.

GIVING BACK TO OUR COMMUNITIES

As reflected in the Corporate Social Responsibility Section, titled "ACB Caribbean in the Community" of this Annual Report, you will see that in spite of the challenges presented by the Pandemic and the volume of work resulting from the acquisitions and rebrand, ACB Caribbean remained committed to the communities we serve.

The organisation continued to make its activities in and contributions to the community, a top priority. The Group generously donated to the Government of Antigua and Barbuda to aid with its vaccination efforts. The Scholarship Programmes came back on stream, with one (1) ACB Caribbean Louis H. Lockhart Awardee selected and two (2) bursary awards, and aid was provided to St. Vincent to assist with the recovery efforts following the volcanic eruption.

ACKNOWLEDGEMENTS

I would like to congratulate all members of the team at ACB Caribbean for their sterling contribution during this historic period of the Group's existence. Through the expansion of the organisation in Antigua & Barbuda and the entry into Grenada, the ACB Caribbean Group has become more resilient and stronger.

Directors, Management and staff, ably supported by our new and existing customers, and longstanding Shareholders, have demonstrated our ability to embrace change by bringing two distinct organizational cultures together, combining best business practices to form a new home for banking excellence in the OECS.



Dr. Lorraine Raeburn
Chairman

ACB CARIBBEAN IN THE COMMUNITY

The implications of the pandemic on society in Antigua & Barbuda continued during this fiscal. Sporting activities and cultural events remained at a minimum, with virtual editions of events being held as placeholders to appease the loyalist and die-hard fans yearning for a taste of their favourite pastimes and social activities.

Various forms of lockdowns were implemented in the face of the ebbing and waning of confirmed COVID-19 infections and curfews remained in place for most of the year. This situation did not deter the ACB Caribbean team from being active in the community, and giving back to those we serve.

March 22, 2021 ushered in a significant shift for Antigua Commercial Bank. As the Group prepared for its expansion into the wider OECS, we welcomed an updated version of our legacy brand, and made the Visual Identity shift from Antigua Commercial Bank to ACB Caribbean.

It is our pleasure to present you with an editorial summary of some of the Group's Corporate Social Responsibility efforts in the community during the 2020/2021 fiscal year.

In October 2020, the Finance, Accounting and Customer Support and Branch Operations Teams collaborated to raise funds for Breast Cancer awareness. Through internal fundraising, the teams were able to make a cash donation to non - profit organization, Breast Friends. Our employees remain committed to this annual activity in support of this worthy cause.



Left to right: Janell Sheppard, ACB Caribbean Supervisor / Accountant presents the Departments' donation to Eunetta Bird, President, Breast Friends, Antigua & Barbuda.

ACB Caribbean's annual donation to The Fiennes Institute took place on January 6, 2021, and the organisation sponsored a festive luncheon for the residents to mark the end of the Yuletide season.

On consultation with the administration at the home for the elderly, and in response to their request, the Group provided financial assistance and guidance to retool the kitchen with a full suite of equipment and utensils.

Due to social distancing and the implications of exposure for residents at the facility, the handover of the donation and blessing of the meal was conducted briefly at the luncheon by two ACB Management Representatives in place of the usual full contingent of Directors and Managers. Peter N. Ashe, the Manager - ACB Mortgage and Trust, supported by ACB Caribbean's Marketing and Corporate Communications Manager, Marita Laurent, attended and oversaw the handover.



Left to right: Representatives of the administration of the Fiennes Institute, with Peter N. Ashe, Manager - ACB Mortgage and Trust, and Marita Laurent, ACB Caribbean's Marketing and Corporate Communications Manager.

In January 2021, The Cancer Centre Eastern Caribbean (TCCEC) nursing staff reached out to the ACB Caribbean Group to support their companywide health and wellness drive. As gatekeepers of the promotion of healthy lifestyles, the nursing and administration teams embarked on a 3 month "Biggest Loser" Challenge from January 1, 2021 to March 31, 2021. In support of this dedicated team of health care workers, ACB Caribbean donated a gift basket of health and personal care products to the winner of the Challenge.



Nadine Streete, ACB Caribbean's Marketing & PR Representative (right) handing over a gift basket to the winner of the TCCEC's Biggest Loser Challenge.

In its continued fight against COVID-19, in March 2021, the Government of Antigua & Barbuda began acquiring vaccines, and embarked on an aggressive campaign to achieve herd immunity in the community.

ACB's first major Corporate Social Responsibility Activity under our ACB Caribbean Brand was in support of this critical social and economic initiative. The Group donated EC$100,000 towards the Government's Vaccination Programmme.



Left to right: The Honourable Gaston Browne, Prime Minister of Antigua & Barbuda with Joanna Charles, General Manager - ACB Caribbean Group.

After the launch of the ACB Caribbean Group in Grenada in April 2021, the lives of the residents of neighboring St. Vincent were disrupted due to the violent eruption of La Soufriere Volcano. The ACB Caribbean Group quickly liaised with the disaster response agency NADMA in Grenada and pulled together a significant donation of much needed relief supplies. These included personal care items, feminine hygiene products, water, sleeping equipment such as blankets and cots, respirators and non-perishable food items.

The long standing sponsorship (44 years and counting) of the ACB Parish League continued in spite of no cricket being played during the fiscal. The dedicated organisers of the nonprofit community league stood by their commitment to the sport and hosted their weekly live programme (Facebook Live and CTV Channel 8) to keep the interest and momentum for the sport alive. "Talking Parish League" hosted by Carl "Taddy" Arrindell featured local and international, past and present Cricketing Heroes throughout the year. To support this ongoing community initiative, the Group donated a Sony Camcorder and Apple MacBook Pro to improve on the quality of the broadcast.



Left to right: 2020 Top CSEC Student, Mjolner Messiah, St. Joseph's Academy, ACB Caribbean General Manager, Joanna Charles, Minister of Education, Sports & the Creative Arts, The Honourable Daryll Matthew, ACB Caribbean's Chief Financial Officer, Joyanne Byers, 2019 Top CSEC Student, Kyle Nicholas, St. Joseph's Academy.

ACB Caribbean continued its long standing partnership with the Ministry of Education in Antigua & Barbuda to recognize the academic achievements of high school students sitting annual CXC Examinations at the Annual CSEC Awards in June 2021. Joyanne Byers, the Group's Chief Financial Officer, delivered congratulatory remarks on behalf of the ACB Caribbean Group, and was supported at the event by the General Manager, Joanna Charles.

Donations under the pillar of education were also made to the annual Harper's "Stuff the Bus" School Supplies initiative, and the Group contributed to the Kiwani's Club of St. John's Everett Lake Scholarship Program, and sponsored back to school supplies for ten children in need.



Left to right: Nadine Streete, ACB Caribbean's Marketing & PR representative, presents members of the Kiwanis Club of St. John's with the Group's donation.

ACB Caribbean Group expanded its criteria of eligibility for all scholarship programmes, to include all citizens of Antigua & Barbuda, a reflection of the Group's move towards greater inclusiveness in its policies. The Group awarded scholarships and bursaries in both the Louis H. Lockhart and ACB Mortgage & Trust Scholarship programmes.

Blossom Richards was the recipient of the Louis H Lockhart Scholarship, to complete her studies at The University of the West Indies, Cave Hill Campus.



Left to right: LHL Bursary Winner Josan Phillip, LHL Scholarship Winner, Blossom Richards, LHL Bursary Winner Kishona Aubrey.

Two bursaries were awarded to Kishona Aubrey and Josan Phillip, both students at the University of the West Indies, Five Islands Campus.

ACB Mortgage & Trust Secondary School Scholarship selected two awardees, Okema Barnes and Jadyn Browne.



Left to right: Peter N. Ashe, Manager ACB Mortgage and Trust presents Scholarship Winner, Okema Barnes, with her Award.



Left to right: Peter N. Ashe, Manager - ACB Mortgage and Trust presents Scholarship Winner Jadyn Browne with his Award

Office of the Youth Intervention Unit established by the Royal Police Force of Antigua and Barbuda focuses on Crime Prevention and Reduction in relation to the nation's youth approached ACB Caribbean to supply office equipment for their training facility. The Group answered the call by donating office furniture to enable this critical training to be conducted in suitable environs.

Other departmental community initiatives took place throughout the year with several teams taking the initiative to engage in charitable work. The Marketing and Corporate Communications Team donated clothing and personal care items to the homeless in St. Johns. The Finance, Accounting and Customer Care Team identified a physically challenged individual in need in the Bendals community and donated personal care items and food items.

The ACB Caribbean Christmas Pantry donation Initiative was hosted in December, 2020, and was co-ordinated by the Risk and Compliance Department. The donation collected food items to distribute to families in need prior to Christmas Day.

DIRECTORS' REPORT

OVERVIEW

The Board of Directors of the ACB Caribbean Group ("the Group", "the Company") views the active, objective and independent oversight of Management as central to effective Board governance, to realizing the overall best interests of the Company, and to executing its strategic objectives and creating long- term value. This commitment is reflected in the Group's governing documents to include its Bylaws, its Governance Policies and Procedures, and the Organization's strict compliance with Laws and Regulations, governance best practices and ethical conduct. The Group's management processes, structures and policies provide clear lines of sight for decision – making and accountability.

The Chairman of the Board is supported by experienced and dedicated Directors who are responsible for articulating the Group's long-term strategy, and for establishing procedures to ensure the regular assessment of its effectiveness. Each Director's unique perspective and diverse background helps to inform and guide how the Group delivers sustainable value.

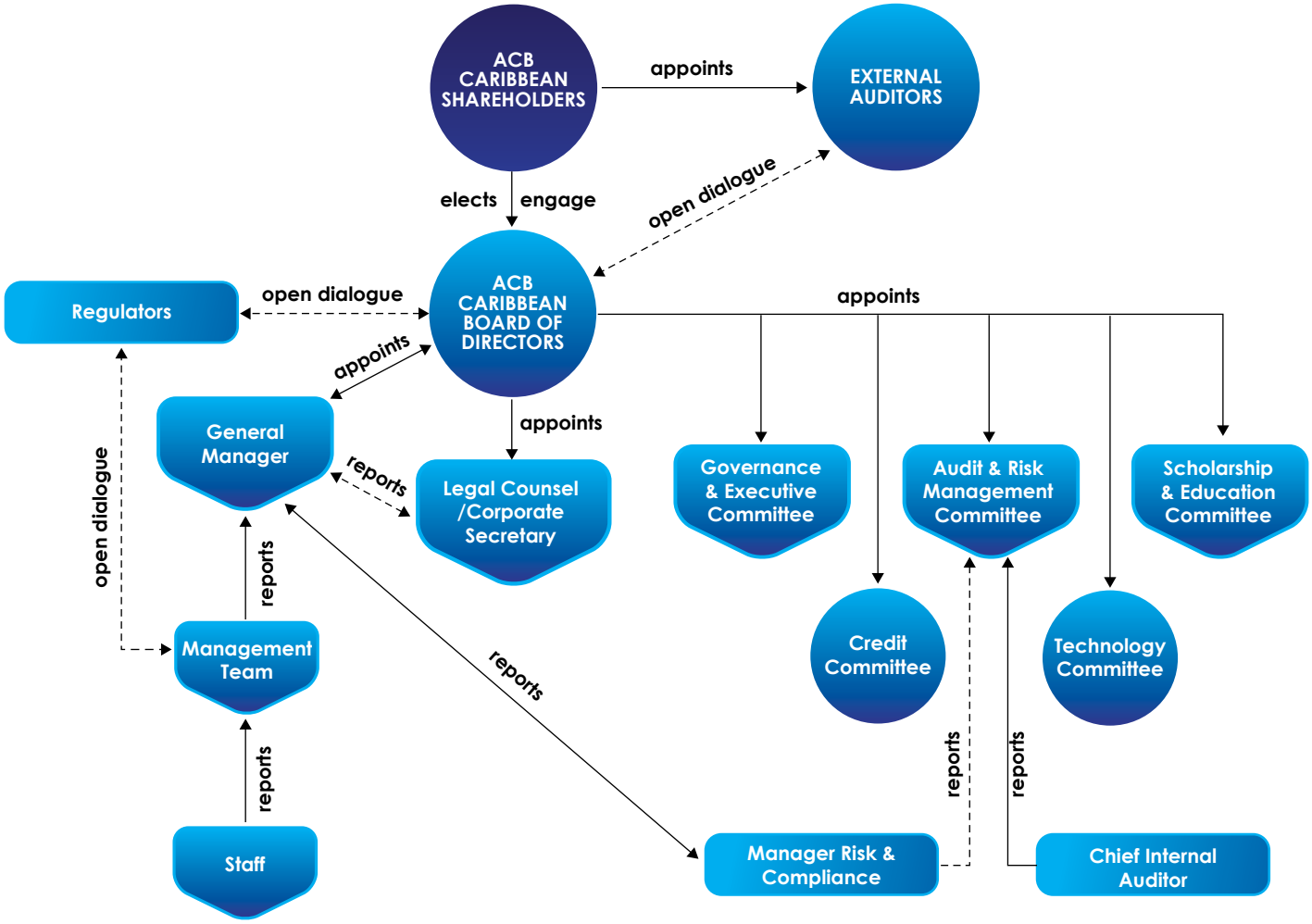
As the Group works to serve its stakeholders to include its shareholders, customers, employees and the wider community, it is understood that success is more meaningful when achieved in the right way, with the right values. Guided by the Group's Core Values, the Board remains steadfast in its position that the right corporate culture must be championed by leaders and sustained on a daily basis by each individual team member.

"As the Group works to serve its stakeholders to include its shareholders, customers, employees and the wider community, it is understood that success is more meaningful when achieved in the right way, with the right values."

During the Financial Year, the Group continued to navigate the effects of the COVID – 19 pandemic and resultant health and safety protocols, and effectively utilized remote technology to enhance its governance practices. Board and Sub- Committee Meetings were hosted virtually throughout the period.

This Report features key details on the Group's Governance Framework, highlighting its work throughout the financial year ended September 30, 2021.

OUR CORPORATE GOVERNANCE STRUCTURE



OUR APPROACH TO GOVERNANCE

The Board subscribes to a Shared Governance Model, founded on the cornerstone principles of partnership, equity, accountability and ownership that promotes collaboration and shared decision making.

Committed to maintaining the highest standards of corporate governance, the Board continuously monitors and updates its practices, as necessary, to ensure that they respond to both regional and international developments in this area, while being tailored to the specific needs of the Group.

THE ROLE OF OUR BOARD

The Board makes major policy decisions, participates in strategic planning and oversight and reviews Management's performance and effectiveness. Guided by its Board Charter which details specific duties and responsibilities, the Board is responsible for areas that cover:

- Governance
- Strategic Management
- Identification and Management of Risks
- Succession Planning and Oversight of Management
- Public Disclosure and Communications
- Oversight of Internal Controls.

2021 HIGHLIGHTS OF BOARD OVERSIGHT ACTIVITIES

RESPONSIBILITY	ACTIVITIES
Conduct and culture	• Promoted standards of desired behaviors that apply to Directors, Managers and all Employees in accordance with the Group's Code of Business Conduct.
Strategic Direction	• Implemented strategic initiatives identified in Year 2 under the Group's Strategic Plan 2019-2022 • Approved new strategic initiatives to include finalizing a significant acquisition • Oversaw the Group's strategic direction, plans and priorities and ensured that they aligned with our risk appetite with quarterly reporting by Management • Reviewed and approved the Group's updated Organizational Structure • Assessed the Group's performance against: * past performance * financial and other objectives established in budget projections * industry peers • Examined capital management and enhancement strategies, developing a plan for implementation within the short to medium term.
Governance	• Monitored best governance practices and developed principles and guidelines • Conducted refresher training for the disclosure and management of conflicts of interests • Reviewed and adopted structures and procedures to allow the Board to function more effectively and independently • Enhanced Subsidiary Board Governance structures • Assessed the performance of the Board based on select parameters, addressing areas identified for improvement • Approved amendments to the Group's Bylaws to include modernized provisions • Completed the outsource of the management of the Share Registry to add further transparency to the handling of shareholder related transactions. During the financial year ended September 30, 2021, the following new policies and procedures were approved: • Cyber Security Policy • Life Cycle Management Policy • Vulnerabilities and Patch Management Policy • Change Management Policy • Secure Media Disposal Policy • Security Incident Response Plan • Security Incident Management Policy • Health & Safety Policy • Credit Impairment Policy • Guidelines for the Engagement and Review of the Group's approved list of Auctioneers and Process Servers. IT security also remained a main focus during the period. Reviews of the Group's existing policies and procedures continued on a bi-annual basis, in accordance with best practice.

RESPONSIBILITY	ACTIVITIES
Risk Oversight	• Oversaw the implementation of the Group's overall Risk Strategy to include the Risk Appetite Framework which sets out limits and the appropriate balance of risk and reward • Promoted a strong risk management culture based on a clear understanding of applicable risks, disciplined risk assessment, measurement procedures and continuous monitoring • Focused on key areas to include lessons learned from the pandemic, data risk management, risk culture and third party risk management.
Technological Enhancement	• Ensured that IT strategy is aligned with business strategy • Reviewed IT risks and approved substantial investment in the upgrade of the Group's Network Infrastructure • Oversaw the management of IT risks and ensured adequate resources to effectively mitigate against identified risks.
Financial reporting and internal controls	• Oversaw compliance with applicable audit, accounting and financial reporting requirements • Monitored Management's implementation and maintenance of effective internal control systems, including management information systems and assessed their adequacy and effectiveness • Ensured the Group has a mechanism of testing controls at regular intervals for their design and operating effectiveness to ascertain the reliability and authenticity of financial information • Approved the annual audited financial reports.
Talent management and succession planning	• Reviewed strategies and programmes for assessment and development of talent • Engaged in a Leadership Development Programme with the General Manager and the Group's Management Team and exercised oversight over the progress made during the period

DIRECTOR INDEPENDENCE

The Board comprises of Non- Executive Directors that do not participate in the day-to-day administration of the Group, nor engage in any business dealings or other relationships with the Group (other than circumstances permitted by applicable regulations). This ensures that Directors remain capable of exercising independent judgment and act in the best interests of the Group.

The Group ensures that all Independent Non- Executive Directors possess the following qualities:

- satisfy the fit and proper requirements, as provided under the Banking Act, 2015 (as amended)
- maintain strict confidentiality as mandated under the annual Declaration of Secrecy obligations
- the ability to challenge the assumptions, beliefs or viewpoints of others with reasoned questioning, constructive debating and objective decision making in the overall interests of the Group and
- an understanding of the Group's:
    (a) business, identifying opportunities and potential risks
    (b) culture
    (c) people
    (d) policies and processes
    (e) the wider industry, preparing for eventualities.

OUR COMMITMENT TO HELPING OUR DIRECTORS SUCCEED IN THEIR ROLE

New Directors receive a thorough induction to the role, with the process being guided by the Group's Director Recruitment and Orientation Programme.

Directors also have access to the resources they need to focus on ongoing professional development to ensure that each Director is equipped with the right tools to perform their respective duties and responsibilities. Training focus areas for the period under discussion, included (i) Refresher Governance Training on Best Practices; (ii) Cyber Security Risk and the Board's Role; (iii) Leadership Development; (iv) Governance under and post COVID-19.

During the financial year, Directors participated in the following professional development activities:

- Office of National Drug and Control Policy (ONDCP) - **AML/CFT Training**
- Chartered Governance Institute of Canada - **Directors Education and Accreditation Programme**
- Caribbean Association of Banks - **CEO & Directors' Forum 2021**
- PwC – **Enterprise Risk Management (ERM) Training**
- Directors and Boards Magazine - **The Character of the Corporation - Governance Training; Finding Top Board Talent from Within & Outside of the Organization**
- Diligent - **The Board's Role in Driving Digital Resilience: How Financial Services Institutions Are Navigating Short-Term Risk and Long-Term Growth**
- Caribbean Corporate Governance Training Institute - **Effective Chairing Skills**
- Women on Boards, UK - **The Directors' Circle: Becoming an Effective Chair programme**
- VF Inc. - **Governance in the Boardroom**
- Chartered Governance Training Institute - **The Realities of Digital Age Risk**
- BrightTalk - **Board oversight of human capital management beyond Covid-19; Boards' evolving use of technology in 2021.**

In addition to the above, Directors' knowledge base was broadened by the internal distribution of articles from reputable publications within the industry, with titles to include:

- The right questions to ask at board meetings
- 2021 Governance Outlook Report- Projections on Emerging Board Matters
- What Lessons Have Boards Learned under COVID-19
- What Banks Need to Know About Cyber Resiliency
- Driving a Top-Down Approach to Cybersecurity.

All current Directors are accredited and renew their respective designations on an annual basis.

OUR BOARDS OF DIRECTORS

The Group's Boards of Directors (Antigua Commercial Bank Ltd., ACB Mortgage & Trust Company Limited and ACB Grenada Bank Ltd.) are comprised of diverse and committed professionals, who demonstrate a balance of skills and experience appropriate for the requirements of the Group's business. The profiles of our Directors can be viewed on our website under the Investor Relations section at: https://ag.acbonline.com/acb-caribbean/who-we-are/ and https://gd.acbonline.com/about-acb-grenada-bank-ltd/who-we-are-2/ . We are fortunate to have Directors of their caliber and experience on our Boards.

BOARD OF DIRECTORS – ANTIGUA COMMERCIAL BANK LTD. TRADING AS ACB CARIBBEAN (ACB CARIBBEAN BOARD)

Article 4.2 of the Company's Bylaws provide that there shall be not less than seven (7) or more than fifteen (15) Directors. At present, the ACB Caribbean Board comprises ten (10) non- executive Directors in accordance with this Article.

As at September 30, 2021, Lorraine Raeburn is the appointed Chairman of the Board of Directors, assisted by her Vice - Chairmen, Sharon A. Matthew- Edwards, Sandra Derrick and Cassandra P. Simon. The remaining Members of the Board are C. Davidson Charles, C. Kevin Silston, C. Kamilah Roberts, Desiree A. Zachariah, Eric E. Joseph and Dyna M. Harney-Barnes.

BOARD OF DIRECTORS - ACB MORTGAGE & TRUST COMPANY LIMITED (TRUST COMPANY BOARD)

With respect to the composition of the Board of the Company's wholly owned subsidiary, ACB Mortgage & Trust Company Limited, Article 4.3 of the Company's Bylaws provides that the Board may comprise of five (5) ACB Caribbean Directors and two (2) Directors selected by the ACB Caribbean Board from the Shareholders of ACB Caribbean.

As at September 30, 2021, non- ACB Director, Peter Blanchard, is the appointed Chairman, assisted by his Vice - Chairman, Sharon A. Matthew-Edwards and other ACB Caribbean Directors namely, Lorraine Raeburn, Sandra Derrick, Cassandra P. Simon and C. Davidson Charles and non- ACB Caribbean Director, Craig J. Walter.

BOARD OF DIRECTORS – ACB GRENADA BANK LTD. (ACB GRENADA BANK BOARD)

ACB Grenada Bank Ltd. is a majority owned Subsidiary of ACB Caribbean, the latter owning 62.08% of the shares in the Company. According to its Articles, the number of Directors shall not be less than five (5) and more than nine (9). Nominations to the Office of Director are guided by the provisions of the Company's Bylaws (Article 4.4) that requires the nomination to be submitted by Shareholders who represent in the aggregate not less than five percent (5%) of the shares of the Company.

As at September 30, 2021, Sharon A. Matthew – Edwards is the appointed Chairman, assisted by her Deputy Chairman, Dorsett Cromwell and the remaining Members of the Board, Ron Antoine, Lorraine Raeburn, Sandra Derrick and Joanna Charles. The latter is the only Executive Director on the Board.

OUR RETIRING DIRECTORS

Article 4.4 (a) of the Company's Bylaws stipulates as follows:

"At every Ordinary General Meeting one- third of the Directors shall retire from office. The Directors to retire shall be those who have been longest in office since their last election. As between Directors of equal seniority in office, the Directors to retire shall be selected from among them by lot. A retiring Director shall be immediately, or at any future time, if still qualified, be eligible for re-election."

Additionally, Article 4.5 of the Company's Bylaws provides as follows:

"Tenure: Unless his tenure is sooner determined, a Director shall hold office for a period not exceeding three years from the date from which he is elected or appointed or until the close of the third Annual Meeting of the Shareholders next following but he shall be eligible for re-election, if qualified."

Further, section 3 of the Companies (Amendment) Act, 2009, limits the tenure of Directors of Public Companies to ten (10) consecutive years, at which point Directors would be ineligible to be re-elected to the Board. The Act also provides for two (2) years to elapse prior to that Director again becoming eligible to serve on the Board.

At this year's Annual General Meeting, the following three (3) Directors will retire upon rotation:

- **Lorraine Raeburn** (elected on April 19, 2012)
- **C. Kevin Silston** (elected on December 21, 2018)
- **C. Kamilah Roberts** (elected on December 21, 2018).

Directors C. Kevin Silston and C. Kamilah Roberts remain eligible and offer themselves for re-election.

In accordance with the Companies (Amendment) Act, 2009, referred to above, Chairman Lorraine Raeburn, is ineligible for re-election to the Board, having served consecutively for more than ten (10) years. The Director will also vacate her seat as an ACB Caribbean Director on the Boards of Directors of ACB Mortgage & Trust Company Limited and ACB Grenada Bank Ltd.

The Board takes this opportunity to pay tribute to Chairman Raeburn for her sterling leadership throughout the years, unwavering commitment and invaluable contribution to the ACB Caribbean Group. Throughout her tenure, Chairman Raeburn served in various capacities to include as Chairman of the Governance & Executive Committee, the Human Resources & Compensation Committee, and the Technology Committee. Additionally, she also served as Chairman and Deputy Chairman of the Board of the Caribbean Credit Card Corporation (4Cs).

As at the date of the publication of this Annual Report, two (2) new nominations to the Office of Director were received by the Group. Information on these nominees is available in the Circular to Shareholders that accompanies this Report.

Accordingly, based on the above, the number of Directors to be elected at this year's Annual General Meeting is three (3).

OUR BOARD MEETINGS

Technology continues to feature prominently in the Board's work and as such, to ensure timely access to information prior to each Board and Board Sub- Committee meeting, the Group utilizes a secure Board Portal. During the financial year under review, refresher training on the use of the Portal was conducted with all users to ensure improved efficiency and effectiveness.

With respect to Director Attendance at Board Meetings, the following information is provided as at September 30, 2021:

Board	Total Number of Monthly Board Meetings hosted	Total Number of Special Board Meetings hosted	Director Attendance Percentage Analysis
ACB Caribbean Board of Directors	12	5	94% to 100%
ACB Mortgage & Trust Company Limited Board of Directors	12	1	92% to 100%
ACB Grenada Bank Ltd. Board of Directors	9	2	91% to 100%

OUR BOARD SUB-COMMITTEES

The current standing Sub-Committees of the Board are:

- **GOVERNANCE & EXECUTIVE COMMITTEE** – Lorraine Raeburn (Chairman)
- **CREDIT COMMITTEE** – Cassandra P. Simon (Chairman)
- **AUDIT & RISK MANAGEMENT COMMITTEE (ACB CARIBBEAN)** – Sharon A. Matthew – Edwards (Chairman)
- **AUDIT & RISK MANAGEMENT COMMITTEE (ACB GRENADA BANK)** – Sandra Derrick (Chairman)
- **HUMAN RESOURCE & COMPENSATION COMMITTEE** – C. Kevin Silston (Chairman)
- **TECHNOLOGY COMMITTEE** – Sandra Derrick (Chairman)
- **SCHOLARSHIP & EDUCATION COMMITTEE** – C. Kamilah Roberts (Chairman).

Each Sub- Committee reports directly to the Board and is guided by its Terms of Reference which details the duties and responsibilities of the Committee as well as procedures for committee member appointment, committee structure and operations, and reporting to the Board.

The Board may from time to time, establish or maintain additional Sub- Committees as deemed necessary or appropriate.

OUR APPROACH TO DIRECTORS' REMUNERATION

Experienced, focused and talented Directors are essential to achieving the Group's strategic objectives and providing effective guidance and oversight of Management. The Governance & Executive Committee is responsible for all aspects of Directors' remuneration and conducts periodic reviews, taking into account industry trends in this area, the overall expertise and experience required to sit on the Board, and the expected time commitment required of Directors.

Shareholders are responsible for approving Directors' fees, upon the recommendation of the Board, at the Annual General Meeting. After due consideration, the Board has resolved to recommend that Directors' fees remain unchanged, that is to say:

- Chairman's fees - $5500 per month
- Directors' fees - $4500 per month.

Directors who are appointed to represent the Group at conferences, seminars or training courses, are entitled to be paid for their travelling and other expenses, as reasonably incurred, in accordance with the Group's Overseas Travel Policy.

DIRECTORS' SHAREHOLDINGS

Article 4.3 of the Company's Bylaws requires each ACB Caribbean Director to be the holder of at least 1000 ordinary shares in the Company.

As at September 30, 2021, Directors own the following shareholding interests in the Company:

DIRECTORS	NO. OF ORDINARY SHARES HELD
Lorraine Raeburn - Chairman	3,200
Sharon A. Matthew - Edwards - Vice - Chairman	2,000
Sandra Derrick - Vice - Chairman	14,980
Cassandra P. Simon -Vice - Chairman	2,100
C. Davidson Charles	6,000

DIRECTORS	NO. OF ORDINARY SHARES HELD
C. Kevin Silston	6,004
C. Kamilah Roberts	3,000
Desiree A. Zachariah	4,090
Eric E. Joseph	2,000
Dyna M. Harney-Barnes	1,055

OUR SHAREHOLDING DISTRIBUTION

Both the Banking Act, 2015 and the Securities Act, 2020, define a Significant Shareholder or a Significant Security Holder as a person who beneficially owns, directly or indirectly or exercises control over voting or a combination of both, of more than ten percent (10%) of the total voting rights of the Company. As at September 30, 2021, no Shareholder satisfies this definition.

Shown below is an analysis of the Company's shareholding as at September 30, 2021:

SIZE OF HOLDING	NO. OF SHAREHOLDERS PER CATEGORY	NO. OF ORDINARY SHARES HELD PER CATEGORY`
1- 999	4,252	978,584
1,000 - 1,999	423	555,312
2,000 - 4,999	421	1,242,098
5,000 - 9,999	145	1,030,195
10,000 - 24,999	109	1,639,117
25,000 - 99,999	57	2,639,252
100,000 - 399,999	8	1,118,102
400,000 - 899,999	1	797,340
Total:	**5,416**	**10,000,000**

OUR SHAREHOLDER ENGAGEMENT PRACTICES

Open Dialogue with Shareholders remains one of the Group's key priorities. The Board encourages Shareholders to provide timely and meaningful feedback and regularly reviews its engagement with Shareholders for alignment with best practices.

During the financial year, management of the Shareholder Register was outsourced to the Eastern Caribbean Central Securities Depository Ltd. (ECCSD) based in Basseterre, St. Kitts. Important Shareholder focused information to include our newest Brochure, "Top Five (5) Shareholder FAQs" can be accessed under the Investor Relations section on the Group's corporate website via link, https://ag.acbonline.com/shareholder-notices/ .

In accordance with Article 12.4 of the Company's Bylaws, Annual General Meeting related information was uploaded under the Investor Relations, Shareholders' Packages section of the corporate website, https://ag.acbonline.com/shareholder-packages/ , as at the approved record date, March 3, 2023. Hard copies of all documents distributed are available upon advance request addressed to the Legal/ Secretariat Department via email: ACBSecretariat@acbonline.com or at (268) 481-4330/1.

DIVIDEND

In accordance with Article 15.1 of the Company's Bylaws, the Board has resolved to recommend a dividend payment of $7M or 70 cents for each unit share on the existing shareholding distribution as at the record date, March 16, 2023, for the financial year ended September 30, 2021.

The Board remains guided by the relevant sections of the Companies Act, 1995, the Banking Act, 2015 (as amended) and the Group's Capital Management and Dividend Policy.

EXTERNAL AUDITORS

The Group's External Auditors, KPMG, will retire at the 66th Annual General Meeting and will not offer themselves for re-appointment.

The Board of Directors, after the requisite tender process and after due assessment, have resolved to recommend the appointment of Grant Thornton as the Group's External Auditors for the financial year ended September 30, 2022.

BY ORDER OF THE BOARD OF DIRECTORS



RHODETTE PAIGE

LEGAL COUNSEL/ CORPORATE SECRETARY

BOARD OF DIRECTORS
- ACB CARIBBEAN



Lorraine Raeburn
Chairman



Sharon A. Matthew-Edwards
Vice Chairman



Sandra Derrick
Vice Chairman



Cassandra P. Simon
Vice Chairman



C. Davidson Charles
Director



C. Kevin Silston
Director

BOARD OF DIRECTORS
- ACB CARIBBEAN



C. Kamilah Roberts
Director



Desiree A. Zachariah
Director

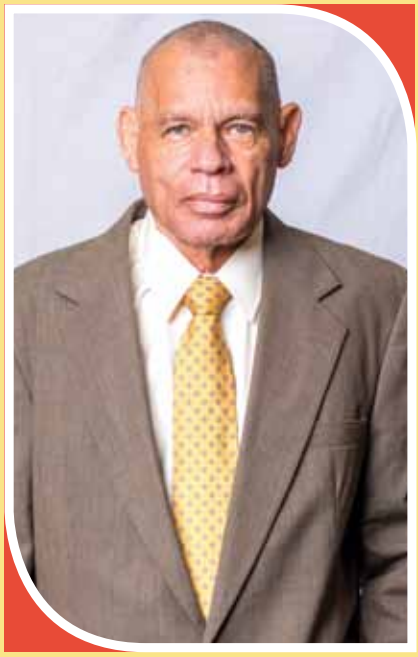


Eric E. Joseph
Director



Dyna M. Harney-Barnes
Director

BOARD OF DIRECTORS
- ACB MORTGAGE & TRUST COMPANY LIMITED



Peter Blanchard
Chairman



Sharon A. Matthew-Edwards
Vice Chairman



Lorraine Raeburn
Director



Sandra Derrick
Director

BOARD OF DIRECTORS
- ACB MORTGAGE & TRUST COMPANY LIMITED



Cassandra P. Simon
Director



C. Davidson Charles
Director



Craig J. Walter
Director

BOARD OF DIRECTORS
- ACB GRENADA BANK LTD.



Sharon A. Matthew-Edwards
Chairman



Dorsett Cromwell
Deputy Chairman



Ron Antoine
Director



Lorraine Raeburn
Director



Sandra Derrick
Director



Joanna Charles
Director

TALENT MANAGEMENT AND RECOGNITION REPORT

TRAINING & DEVELOPMENT

The 2020/2021 fiscal saw the ACB Caribbean Group ("the Group") continue its commitment to supporting the development of all employees. It must be noted that as the organisation moved toward resuming life amidst the disruption of the COVID – 19 pandemic, employee development remained a top priority and a number of developmental programmes, seminars and workshops were organized.

With the acquisition of two (2) of Royal Bank of Canada's Eastern Caribbean operations – in Antigua and Grenada, focus was centered around training and educating staff on ACB Caribbean's day to day systems and processes. This means that a significant portion of the training was conducted by our software providers as well as by the ACB legacy team. The Group spent over $130K in training and development during the fiscal period.

IN-HOUSE PROGRAMMES & ACTIVITIES ACROSS THE GROUP

- **Customer Service Refresher Training**

  Staff of our Subsidiary, ACB Mortgage & Trust Company Limited, Customer Support, Banking Support and Treasury Departments were exposed to a 1.5-hour virtual workshop conducted by the Assistant HR Manager – Training & Development on Customer Service.

  This workshop served as a refresher to remind staff of the principles upon which good customer service is built:

  - Greeting the customer in a way that makes them feel welcomed
  - Taking a genuine interest in the customer and establishing a good rapport
  - Being confident
  - Closing each transaction with gratitude.

- **AML/CFT (Anti- Money Laundering/ Combatting the Financing of Terrorism) Training**

  ACB Caribbean's internal Risk & Compliance Department continued to provide Anti-Money Laundering training sessions to both new staff and Managers, familiarizing them with the importance of their role in money laundering and terrorist counter-financing prevention.

  - Mandatory training sessions on the Group's current operating system, Core Director, were held for all employees.
  - Fire drills were conducted to raise awareness and provide employees with the opportunity to practice the evacuation procedures in the event of a fire and support the credibility and seriousness to this type of scenario.
  - During the reporting period, the Conflict of Interest Policy was reviewed by all employees. This Policy forms part of the Group's Code of Business Conduct which is the hall-mark of all our business dealings.
  - Cheque fraud prevention tips were shared to protect our business against fraud.
  - The Human Resources Department shared revised policies which were well-received.

EXTERNAL TRAINING ACTIVITIES

The Group also took advantage of many external training opportunities. During the financial year, external online training opportunities have been afforded to employees from various departments such as Human Resources, Legal/Secretariat, Finance & Customer Support, Information Systems, Customer Relations & Service Quality, ACB Mortgage & Trust Company Limited, Internal Audit, Risk & Compliance, Marketing & Corporate Communications, Corporate Banking and Retail Lending & Recoveries.

These training opportunities included the following:

- Risk & Compliance – KYC, AMLFC, Anti-Fraud, Certified International Risk Manager
- Internal Audit – IT Auditing
- Information Technology - Network Security PECB Certified ISE/IEC
- Corporate Banking and Retail Lending & Recoveries– Restructuring in Uncertain Times
- Human Resources - Labour Relations, Pension, Developing Innovation & Creativity, How Organizations
- Finance & Customer Support – Eastern Caribbean Securities & Exchange Market Certification, Strategic Data Analysis
- Marketing & Corporate Communications – Developing Innovation & Creativity, Social Media marketing, Strategic Digital Marketing
- Treasury – Treasury Management
- Various Departments participated in Soft Skills Training – Business Writing, Leadership, Customer Service, Change Management, Mergers & Acquisitions.

Special mention is made of two (2) follow-up workshops hosted by Dr. Marcus Mottley on Change Management for our new colleagues at ACB Caribbean Market Street and those at our newest Subsidiary Company, ACB Grenada Bank Ltd. Change Management sessions were conducted titled, "Keys to Successfully Transition into a New Organisation" and "Welcoming Your New Employees". These sessions were motivational, practical, and comprehensive and employees embraced this thought provoking opportunity on merging new cultures. These workshops tested the pulse not only of our new employees but also our existing employees as it pertains to managing the culture changes that an acquisition brings.

WEBINARS/CONFERENCES/SEMINARS

Directors and employees' exposure to webinars, conferences and seminars which included participation in the ECCB/ACAMS AML/CFT Webinar Series 2020, the Anti-Fraud Virtual Seminar – Fighting Fraud in Uncertain & Changing Times and the Jamaica Institute of Financial Services/JBA 2021 Anti-Fraud Seminar, The Intangience Branding Methodology.

TEAM BUILDING

To further guide staff through the transition process of change and understanding ACB Caribbean's culture, the Human Resources Department hosted a number of events such as:

- iCreate Fun Fridays where staff were asked to set aside time on Fridays to engage in a fun/exciting team building activity within their departments
- Departmental Introductory videos where staff were required to submit videos introducing the members of their departments. These videos were circulated throughout the Group for our new colleagues to view
- The Buddy system. ACB Legacy staff were virtually paired with their new colleagues from the Market Street and Grenada locations to assist them in becoming familiar with ACB Caribbean's day-to-day operations
- ACB Caribbean Karaoke. This karaoke session was held to welcome our new employees to the lighter side of ACB Caribbean. Mainly staff from ACB Legacy volunteered to participate in the session with feedback indicating that the session was enjoyable
- An Ideas Database was launched to create a platform/process for staff to put forward ideas on how to improve on any aspect of the Group and its operations. Staff have since utilized the database and efforts will continue to be made to remind staff of its existence and encourage them to think outside the box
- Department Huddles were introduced to foster team spirit. During these huddles staff were encouraged to utilize creativity so that increased communication and team building can become a norm within the Group.

The Group continues to create incentive and reward programmes designed to encourage and recognize employees who embrace the Group's iCreate value propositions. New programmes are in development

to motivate staff to innovate and introduce new processes and procedures that will ultimately improve service quality throughout the Group.

EMPLOYEE RECOGNITION

COVID-19 presented a challenge with hosting the Annual Employee Awards in ACB Caribbean's usual fashion. Determined to recognize our employees for their hard work, loyalty and dedication for the year, an awards programme was designed and rolled out virtually over a 5-day period. The theme was "Thank You", and the objective was to express gratitude from the Group to our employees for their contributions under the challenging circumstances of the Pandemic.

Engaging graphics were designed that featured nominees and winners for each award category with the names of the nominees being disseminated via company email in the morning and a follow up email in the afternoon announcing the winners. At the end of the campaign, a winner's advertisement was published in the daily newspaper and on ACB Caribbean's social media platforms.

- **Employee of the Year Award**

  Nominees: Mrs. Mynica Hodge, Mr. Alban Bass and Ms. Deidre Brown

  Winner: Ms. Deidre Brown

- **Manager of the Year Award**

  Nominees: Mrs. Helen Looby, Mr. Austen Gittens, Mrs. Patricia Farrell and Mrs. Maria Abraham

  Winner: Mrs. Patricia Farrell

- **Outstanding Supervisor of the Year Award**

  Nominees: Ms. Anika Henry, Ms. Deriece Barnes and Mrs. Takisha Richardson

  Winner: Mrs. Takisha Richardson

- **Self-Development & Personal Growth Award**

  Nominees: Ms. Marissa Simon, Mr. Mitchell Lewis and Ms. Sasha Jarvis

  Winners: Mrs. Marissa Simon and Mr. Mitchell Lewis

- **Top Sales Person of the Year, Non-Customer Facing Award**

  Nominees: Mr. Ilzam Arfin, Mr. Gerande Nathaniel and Ms. Chiniese Harrigan

  Winner: Ms. Chiniese Harrigan

- **Top Sales Person of the Year, Customer Facing Award**

  Nominees: Mr. Cecil Joyce, Mr. Alban Bass and Ms. E. Diane Thomas

  Winner: Mr. Alban Bass

- **Top Credit Officer of the Year Award**

  Nominees: Mr. Cecil Joyce, Mr. Alban Bass and Ms. Saloane Joseph

  Winner: Mr. Alban Bass

- **Outstanding Team Award**

  Nominees: Corporate Banking, CRSQ - Retail & Private Banking, ACB Mortgage & Trust and Finance, Accounting & Customer Support

  Winners: CRSQ - Retail & Private Banking Unit and ACB Mortgage & Trust

ACB CARIBBEAN

ANNUAL EMPLOYEE AWARDS 2019-2020



Miss Deidre Brown
Employee of the Year
2019-2020



Mrs. Takisha Richardson
Outstanding
Supervisor Award



Mrs. Marissa Simon
Mr. Mitchell Lewis
Self-Development &
Personal Growth Award



Mr. Alban Bass
Top Sales Person of the Year
Customer Facing



Miss Chiniese Harrigan
Top Sales Person of the Year
Non-Customer Facing



Mr. Alban Bass
Top Credit Officer
of the Year



Mrs. Patricia Farrell
Manager of the Year
Award



Mrs. Mynica Hodge
Mr. Alban Bass
Finalist Employee of the
Year 2019-2020

CRSQ-Retail & Private Banking Unit
ACB Mortgage & Trust Co. Ltd.
Outstanding Team Award

MANAGEMENT'S DISCUSSION AND ANALYSIS



OVERVIEW

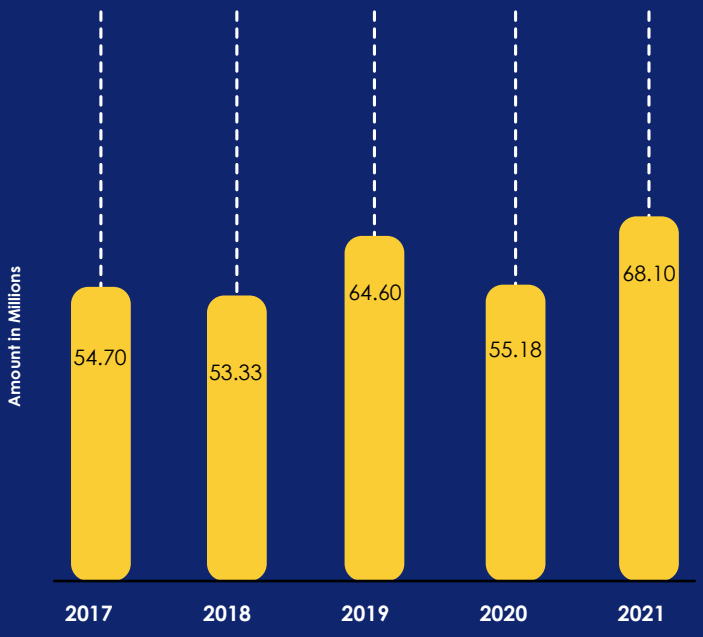
In 2021, our most impactful strategic goal of growth by mergers or acquisitions, was achieved. The acquisition of the Antigua Branch of Royal Bank of Canada (RBC) and its shares in RBTT Bank Grenada Limited, was the first of its kind for the ACB Caribbean Group, which was executed whilst addressing the continuing effects of the global COVID-19 pandemic, a stagnant economy, high absenteeism, stretched resources, country-wide lockdowns, curfews and other health and safety regulations.

Despite all of the afore-mentioned challenges, the ACB Caribbean team ensured that customer fallout was minimal. Furthermore, as Antigua & Barbuda's economy continued to grapple with inflationary pressures (increase of 1.6% in 2021 compared to previous year's 1.1%) and a slowdown of the country's major economic contributor (tourism), the Bank experienced a direct correlation with reduced earning power, escalating costs and general administrative expenses, increasing at a higher rate than revenue.

The acquisition of the Royal Bank of Canada (RBC) (Antigua) Branch and 62.08% shareholding in RBTT Bank Grenada Limited boosted the Group's balance sheet and brought the Group over the $2 billion asset base mark. Although this year, we recorded our highest profit of $49.4 million to date, a large percentage of it is considered book profit, as it did not result from profits generated from normal operations. Profit for 2021 increased by $45.9 million largely driven by a Gain of $23.5 million on the Grenada acquisition. There was also a significant recovery of loan loss provisions, from the acquired financial assets due to the excess Provisions for Loan Loss (PLL) when compared to the Non Productive Loan (NPL) portfolio.

The contributing factors to this year's performance are further discussed below..

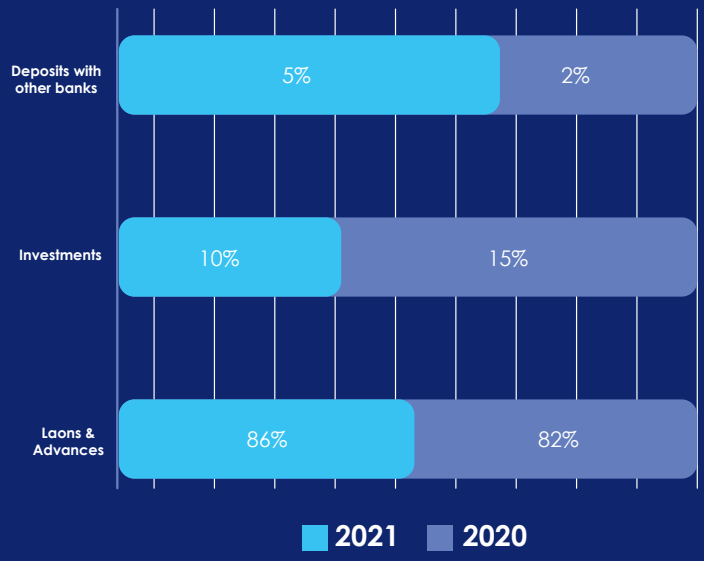
GROSS INTEREST INCOME



Gross Interest Income expanded by 23%, largely driven by the 54% growth in the Loans and Advances portfolio on acquisition, and the interest income earned for the 6-month period. On the other hand, loan yield has been on a downward trajectory due to competitive market pressures, making it a challenge to rely entirely on loan income as the main source of interest income. Although Interest Income from deposits with other banks and International investments decreased marginally, there was growth in the regional Investment portfolio by 55%, 4% and 11% due to increases in balances of Due from Other Banks, Treasury Bills and Investment securities, respectively.

The lingering impacts of the COVID -19 pandemic, which includes supply chain disruptions, as well as increasing inflation, commenced the downward spiral of global interest rates, which affected earning power on deposits, investments and other securities held in the international markets. Resultantly, the bulk of deposits held with international Banks, and once considered safe and a reliable source of income, generated very little or no interest during the period as rates were reduced to almost zero (0).

INTEREST INCOME MIX



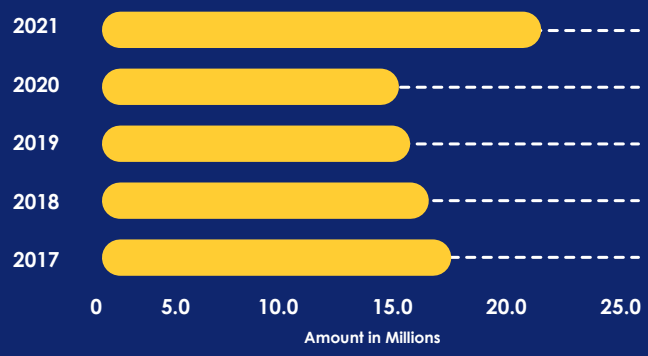
OTHER OPERATING INCOME

The acquisition of the RBC entities expanded our customer base by about 31% to 72,000 unique customers, and by extension transaction volumes increased exponentially. However, the 36% increase in Other Operating Income, was thwarted by the slowed economy and cautious spending, as the populace coped with lack of employment and reduced compensation.

INTEREST EXPENSE

As a function of the acquisition, Deposit Liabilities grew by a mammoth 76%. However, the results only included six months of interest expense from the acquired entities and therefore the growth in interest expense was significantly lower at 38%. The Savings Deposits portfolio, which bears interest at a mandatory minimum 2% per annum, increased by 144% and accounts for approximately 49% of the Deposits Due to Customers. Current or Demand Deposit Accounts which are non-interest bearing increased by 54% cent and accounts for just about 24% of the portfolio.

INTEREST EXPENSE



OPERATING EXPENSES

General and Administrative Expenses reflected an increase of 71% by approximately $20.3 million year-on-year. The most significant contributor was the increase in Acquisition Costs of approximately $7.2 million, which included costs for systems upgrades, transition services and project management costs. Additionally, Salaries and Related Costs which increased by $5 million, attributed to the increase in staff complement on acquisition as well as severance payments made. Despite the significant costs and its impact on operating profit, the transition was relatively smooth with little customer fallout. The $2 million increase in Non-credit Losses resulted from provisions for contingent liabilities as well as a write off of unsupported balances from the acquisition. With the complex nature of the transaction, the audit process was protracted due to a number of challenges encountered between the Consortium and RBC thus resulting in an increase of $1.1 million in audit fees.

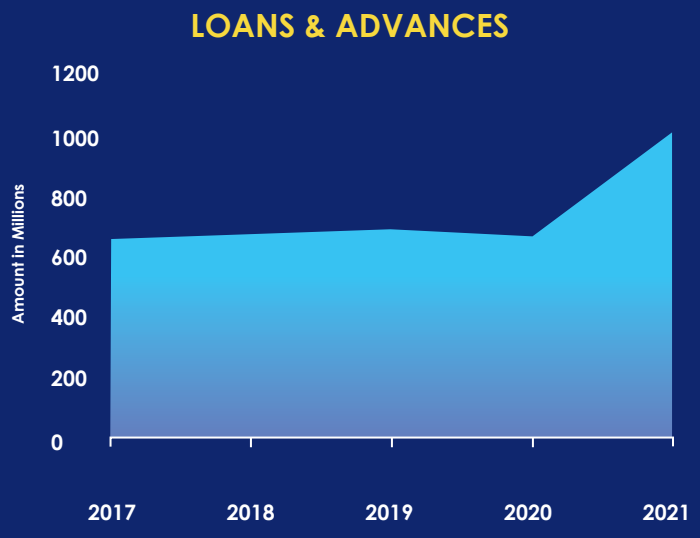
The Group recorded approximately $14 million ($13 million for loans and $0.9 million for other financial assets) in provision recoveries, due to the write back of the provisions for the acquired entities. ACB Caribbean's provision policy has been very conservative thus allowing the bank to claw back the excess provision upon an assessment of the financial assets previously held by RBTT Bank Grenada Limited and Royal Bank of Canada (Antigua) Branch.

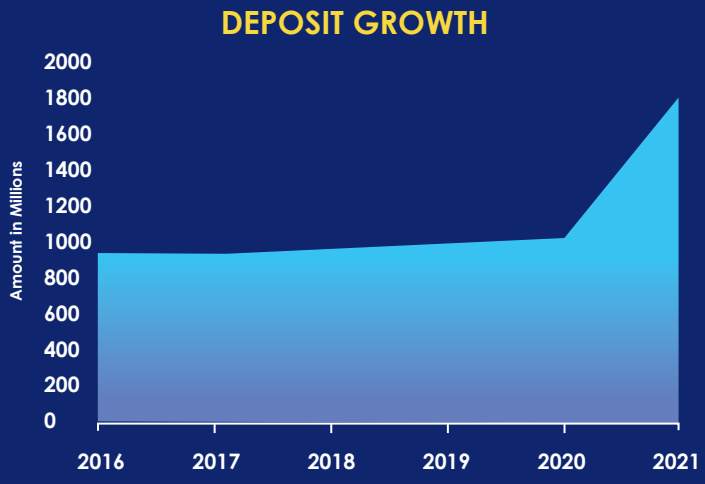
The acquisition of RBTT Bank Grenada Limited resulted in a gain on bargain purchase as the fair value of the identifiable net assets acquired exceeded the purchase consideration by approximately $23.5 million, net of deferred taxes.

FINANCIAL POSITION

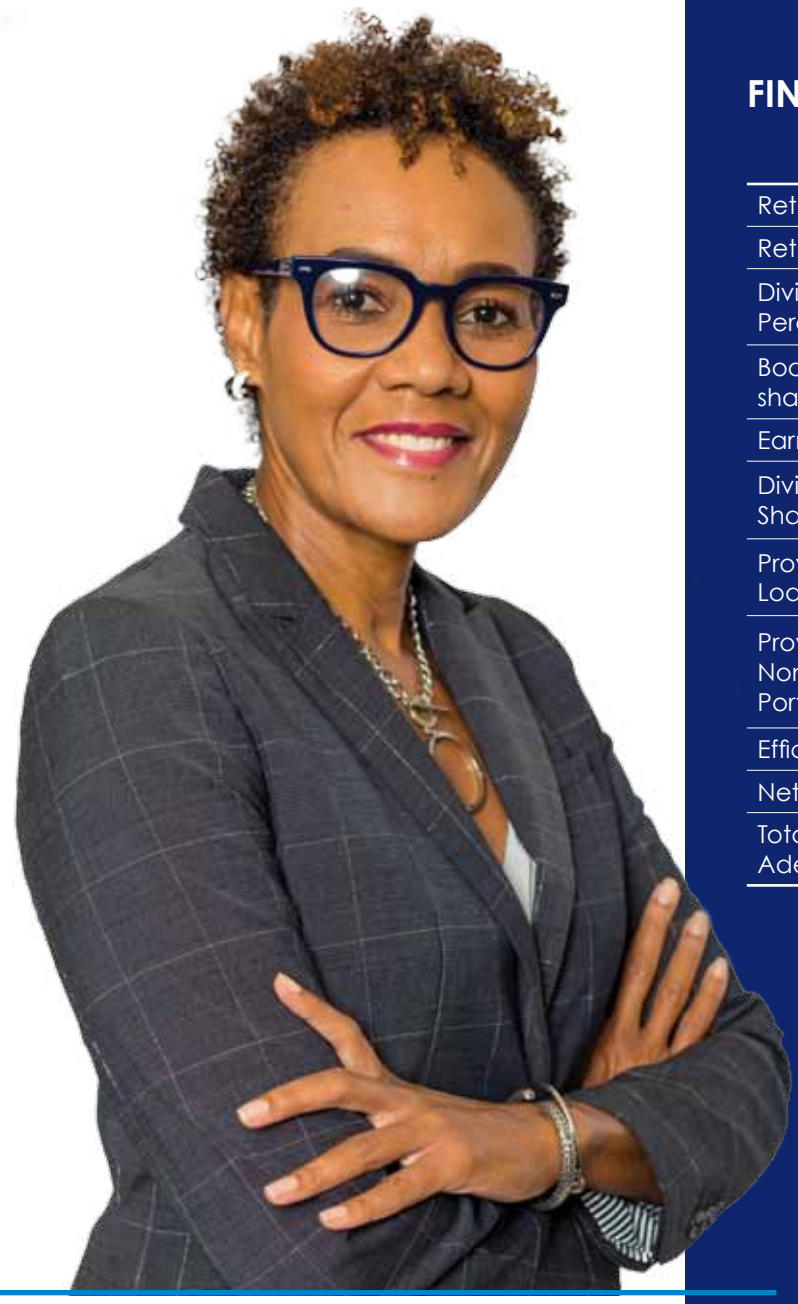
For the fiscal year ended September 30, 2021, ACB Caribbean reached a historic milestone of exceeding a $2 billion asset base, a growth of $900 million over the previous year. Our already liquid position was exacerbated with increases of 267% and 55% in Cash and Balances Due from Central Bank and Due from Banks respectively, but also an indication of the challenges of investing or booking quality loans in the economic climate, in 2021.

Deposits due to Customers grew by $785 million, while Loans and Advances grew by $354 million, resulting in a decline of the Loan-to-Deposit Ratio from 64% in 2020 to 56% in 2021, further affecting the earnings capacity of the loan portfolio, as we were not able to deploy enough of the deposits. In the current economic climate, a concerted effort was expended to ensure that delinquency ratios did not soar and this has resulted in year on year improvements.









We embrace change as a critical element in the chemical DNA of our success. We were formed to bring change to the national financial services sector and we have proven our ability now to bring that change to the region.

FINANCIAL HIGHLIGHTS

	2017	2018	2019	2020	2021
Return on Assets	1.74%	1.62%	1.62%	0.26%	2.2%
Return on Equity	10.0%	9.03%	8.5%	1.40%	15.7%
Dividend Payout Percentage of Income	20%	20%	24%	25%	14.2%
Book value of ordinary shares ($)	20.26	21.84	24.46	23.84	31.48
Earnings per share ($)	2.03	1.97	2.07	0.34	4.86
Dividends per ordinary Share ($)	0.40	0.40	0.50	0.085	0.70
Provisions as a % of Loan Portfolio	2.18%	2.18%	4.12%	6.73%	5.48%
Provisions as a % of Non-performing Loan Portfolio	14.10%	14.43%	31.64%	51.57%	81.11%
Efficiency Ratio	50.85%	53.91%	57.15%	92.86%	60.64%
Net Interest Margin	3.27%	3.00%	4.10%	3.27%	3.03%
Total Capital Adequacy Ratio	26.39%	26.01%	26.01%	26.30%	21.39%

CONCLUSION

We are pleased to highlight the fact that although the percentage of dividend income is lower in relative terms, the actual payment per share to shareholders is higher than previous years, at 70 cents per share. The challenges faced by institutions worldwide did not phase the ACB Caribbean team and this year's successes are testimony to the Group's resilience, exemplary leadership and Corporate Governance.

I take this opportunity to thank all stakeholders including customers and my dedicated ACB Caribbean team for their continued support, and the ECCB for their patience and granting us the extra time requested to submit our 2021 financials.

JOANNA CHARLES
General Manager



~INVESTING IN OUR FUTURE~

LOCAL ROOTS... REGIONAL GROWTH... INTERNATIONAL ASPIRATIONS

Our Group is built on the future. This is the only way to sustain the institution and guarantee wealth creation for generations to come. From the make up of our team, to the development of our suite of products and services, we are carving a vision that embraces and empowers Millennials and the Gen Z to carry our legacy forward.

























Continuous engagement, training and exposure to international best practice strengthens our teams to evolve their service delivery to exceed expectations every time. Smarter solutions are part of every innovation.

SENIOR MANAGEMENT TEAM

ACB CARIBBEAN

1. **Joanna Charles –** General Manager
2. **Peter N. Ashe –** Manager - ACB Mortgage & Trust Company Limited
3. **Joyanne Byers –** Chief Financial Officer
4. **Narcisse Moise –** Senior Manager - Credit
5. **Rhodette Paige –** Legal Counsel / Corporate Secretary
6. **Austen Gittens –** Chief Internal Auditor
7. **Sharon Nathaniel –** Manager - Risk and Compliance
8. **Jonathan Lindsay –** Manager - Customer Relations and Service Quality
9. **Sidlow Frank –** Manager - Information Systems
10. **Sherene Bird –** Human Resources Executive
11. **Marita Laurent –** Marketing & Corporate Communications Manager
12. **Efiah Charlemagne - Norbert –** Branch Manager



~SMARTER BANKING~

LOCAL ROOTS... REGIONAL GROWTH... INTERNATIONAL ASPIRATIONS

Smarter banking could simply mean better technology and smartphone accessibility, but to us it means truly understanding your needs today and tomorrow. This ensures that the entire institution is driven to innovate with purpose, not simply to impress, but to support and drive your next smart move.

CONSOLIDATED FINANCIAL STATEMENTS

of Antigua Commercial Bank Ltd.

September 30, 2021

(EXPRESSED IN EASTERN CARIBBEAN DOLLARS)

KPMG
204 Johnsons Centre
No. 2 Bella Rosa Road
P.O. Box GI 2171
Gros-Islet LC01 101
Saint Lucia

Telephone: (758) 453-2298
Email: ecinfo@kpmg.lc

INDEPENDENT AUDITORS' REPORT

To the Shareholders of Antigua Commercial Bank Ltd.

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Antigua Commercial Bank Ltd. and its subsidiaries ("the Group"), which comprise the consolidated statement of financial position as at September 30, 2021, the consolidated statements of income, comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising significant accounting policies and other explanatory information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at September 30, 2021, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with IFRS Standards as issued by the International Accounting Standards Board (IFRS Standards).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the Eastern Caribbean and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Information

Management is responsible for the other information. The other information comprises the information included in the Group's Annual Report 2021 but does not include the consolidated financial statements and our auditors' report thereon. The Annual Report is expected to be made available to us after the date of this auditors' report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

KPMG in Barbados and the Eastern Caribbean, a partnership registered in Barbados, Antigua and Barbuda, Saint Lucia and St. Vincent and the Grenadines, and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee.

INDEPENDENT AUDITORS' REPORT *(cont'd)*

To the Shareholders of Antigua Commercial Bank Ltd. *(cont'd)*

Report on the Audit of the Consolidated Financial Statements *(cont'd)***)**

Other Information *(cont'd)*
In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the Group's 2021 Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements
Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements
Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

INDEPENDENT AUDITORS' REPORT *(cont'd)*

To the Shareholders of Antigua Commercial Bank Ltd. *(cont'd)*

Report on the Audit of the Consolidated Financial Statements *(cont'd)*

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements *(cont'd)*

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

KPMG

Chartered Accountants
March 17, 2023
Saint Lucia

ANTIGUA COMMERCIAL BANK LTD.

Consolidated Statement of Financial Position

As at September 30, 2021
with comparative figures for 2020

(Expressed in Eastern Caribbean Dollars)

	Notes		2021	2020
Assets				
Cash and balances with the Central Bank	8	$	488,442,651	133,128,669
Due from other banks	9		286,596,330	184,531,368
Treasury bills	10		99,234,435	95,694,151
Statutory deposit	11		7,224,550	6,869,059
Loans and advances	12		1,012,986,370	659,165,380
Other assets	13		45,969,520	21,428,477
Investment securities	14		170,147,641	153,813,115
Goodwill	35		14,539,983	-
Property and equipment	15		47,380,928	34,739,303
Income tax recoverable			1,075,825	-
Core intangible assets	32, 35		13,756,893	-
Right-of-use asset	16		781,178	516,351
Pension asset	17		8,946,108	7,128,904
Total Assets		$	2,197,082,412	1,297,014,777
Liabilities and Equity				
Liabilities				
Income tax payable	21	$	4,792,859	1,335,016
Deposits due to customers	18		1,819,203,598	1,033,687,159
Lease liability	16		785,082	518,599
Provisions and other liabilities	19		47,410,264	19,295,397
Deferred tax liability	21		10,063,249	3,589,557
Total Liabilities			1,882,255,052	1,058,425,728
Equity				
Stated capital	23		36,000,000	36,000,000
Statutory reserve	24		30,171,043	26,059,962
Other reserves	25		73,577,890	70,978,497
Retained earnings			149,888,302	105,550,590
Equity attributable to owners of the Bank			289,637,235	238,589,049
Non-controlling interest	33		25,190,125	-
Total Equity			314,827,360	238,589,049
Total Liabilities and Equity		$	2,197,082,412	1,297,014,777

Approved for issue by the Board of Directors on March 16, 2023 and signed on its behalf by:

Chairman **Director**

Director

The notes are an integral part of these consolidated financial statements.

ANTIGUA COMMERCIAL BANK LTD.

Consolidated Statement of Income

For the year ended September 30, 2021
with comparative figures for 2020

(Expressed in Eastern Caribbean Dollars)

	Notes		2021	2020
Interest income				
Income from loans and advances		$	58,267,100	45,325,045
Income from deposits with other banks and investments			9,828,249	9,855,992
			68,095,349	55,181,037
Interest expense				
Savings accounts			14,743,883	10,643,060
Time deposits and current accounts			5,696,568	4,138,411
Investment expenses			49,287	48,624
			20,489,738	14,830,095
Net interest income			47,605,611	40,350,942
Other operating income	26		25,578,693	18,767,525
Total income			73,184,304	59,118,467
Operating expenses				
General and administrative expenses	29		48,959,139	28,648,511
Depreciation	15		2,204,565	2,263,820
Depreciation on right-of-use assets	16		539,453	309,811
Directors' fees and expenses	22		1,032,319	949,437
(Recovery of)/Provision for loan impairment	12		(12,867,743)	22,609,895
Amortization of intangible assets	32		650,307	-
Gain on bargain purchase	35		(23,467,104)	-
(Recovery of)/Provision for impairment of other financial assets			(914,659)	1,861,576
			16,136,277	56,643,050
Profit before tax			57,048,027	2,475,417
Taxation				
Current tax expense			4,736,257	990,667
Deferred tax expense (credit)			2,939,297	(1,945,628)
	21		7,675,554	(954,961)
Profit for the year		$	49,372,473	3,430,378
Profit attributable to:				
Owners of the Bank			48,577,555	3,430,378
Non-controlling interest	33		794,918	-
Profit for the year			49,372,473	3,430,378
Earnings per share	27	$	4.86	0.34

The notes are an integral part of these consolidated financial statements.

ANTIGUA COMMERCIAL BANK LTD.

Consolidated Statement of Comprehensive Income

For the year ended September 30, 2021
with comparative figures for 2020

(Expressed in Eastern Caribbean Dollars)

	Notes	2021	2020
Profit for the year		$ 49,372,473	3,430,378
Other comprehensive income:			
Items net of tax that will never be reclassified subsequently to profit or loss:			
Increase in fair value of FVOCI equity securities, net of taxes of $180,271 (2020: $1,980)	25	2,167,067	3,336,529
Property revaluation adjustment		220,413	-
Actuarial gain (loss) for the year, net of taxes of $699,074 (2020: $236,786)	17	1,816,862	(710,357)
Other comprehensive income for the year		$ 4,204,342	2,626,172
Total comprehensive income for the year		$ 53,576,815	6,056,550
Total comprehensive income attributable to			
Owners of the Bank		52,060,430	6,056,550
Non-controlling interest	33	1,516,385	-
Total comprehensive income for the year		$ 53,576,815	6,056,550

The notes are an integral part of these consolidated financial statements.

ANTIGUA COMMERCIAL BANK LTD.

Consolidated Statement of Cash Flows

For the year ended September 30, 2021
with comparative figures for 2020

(Expressed in Eastern Caribbean Dollars)

	Notes		2021	2020
Cash flows from operating activities				
Profit for the year		$	49,372,473	3,430,378
Items not affecting cash:				
(Recovery of)/Provision for loan impairment	12		(12,867,743)	22,609,895
(Recovery of)/Provision for impairment of other financial assets			(914,659)	1,861,577
Depreciation and amortisation			3,394,325	2,573,631
Loss on disposal of PPE			178,299	34,213
Pension income			(383,188)	(114,757)
Gain on bargain purchase	35		(23,467,104)	-
Interest income			(68,095,349)	(55,181,037)
Interest expense			20,489,738	14,830,095
Tax expense (credit)	21		7,675,554	(954,961)
Cash flows used in operating activities before changes in operating assets and liabilities			(24,617,654)	(10,910,966)
Change in statutory deposit			(355,491)	(903,619)
Change in other receivables and other assets			11,491,209	(11,383,390)
Change in loans and advances			(32,429,062)	(4,116,442)
Change in deposits due to customers			75,705,595	25,018,302
Change in provisions and other liabilities			11,018,281	2,252,946
Cash flows from/(used in) operating activities before interest, taxes and pension contributions			40,812,878	(43,169)
Interest received			67,119,148	52,767,394
Interest paid			(19,148,894)	(14,641,270)
Taxes paid	21		(2,354,239)	(3,482,156)
Pension contributions paid	17		(430,396)	(399,527)
Net cash flows from operating activities			85,998,497	34,201,272
Cash flows from investing activities				
Acquisitions, net of cash received	35		307,240,451	-
Net movement on investment securities			82,546,748	863,107
Net change in property and equipment			5,096,660	(2,507,786)
Net cash flows from (used in) investing activities			394,883,859	(1,644,679)
Cash flows from financing activities				
Payment of lease liabilities	16		(431,617)	(320,811)
Dividends paid	20		(850,000)	(5,000,000)
Net cash flows used in financing activities			(1,281,617)	(5,320,811)
Net increase in cash and cash equivalents			479,600,739	27,235,782
Cash and cash equivalents, beginning of year			230,429,500	203,193,718
Cash and cash equivalents, end of year	28	$	710,030,239	230,429,500

The notes are an integral part of these consolidated financial statements.

ANTIGUA COMMERCIAL BANK LTD.

Consolidated Statement of Changes in Equity

For the year ended September 30, 2021
with comparative figures for 2020

(Expressed in Eastern Caribbean Dollars)

	Notes	Stated Capital	Statutory Reserve	Revaluation Reserve: FVOCI Investments	Capital & Revaluation Reserve - PPE & Pension Reserve	Regulatory Loan Loss Reserve	Retained Earnings	Attributable to equity holders	Non-controlling interest	Total
Balance at September 30, 2020		$ 36,000,000	26,059,962	22,572,436	20,493,775	27,912,286	105,550,590	238,589,049	-	238,589,049
Non-controlling interest arising on business combination	33	-	-	-	-	-	-	-	23,579,099	23,579,099
Profit for the year		-	-	-	-	-	48,577,555	48,577,555	794,918	49,372,473
Property revaluation		-	-	-	136,832	-	-	136,832	83,581	220,413
Increase in fair value of FVOCI investments		-	-	2,167,067	-	-	-	2,167,067	-	2,167,067
Actuarial gain		-	-	-	-	-	1,178,976	1,178,976	637,886	1,816,862
Other comprehensive income		**-**	**-**	**2,167,067**	**136,832**	**-**	**1,178,976**	**3,482,875**	**721,467**	**4,204,342**
Total comprehensive income		**-**	**-**	**2,167,067**	**136,832**	**-**	**49,756,531**	**52,060,430**	**1,516,385**	**53,576,815**
Transfer to reserve fund	24	-	4,111,081	-	-	-	(4,111,081)	-	-	-
Opening retained earnings adjustment							154,941	154,941	94,641	249,582
Decrease in reserve for loan loss	25	-	-	-	-	(317,185)	-	(317,185)	-	(317,185)
Increase in pension reserve	25	-	-	-	612,679	-	(612,679)	-	-	-
Transactions with owners										
Dividends paid	20	-	-	-	-	-	(850,000)	(850,000)	-	(850,000)
Balance at September 30, 2021		$ 36,000,000	30,171,043	24,739,503	21,243,286	27,595,101	149,888,302	289,637,235	25,190,125	314,827,360

The notes are an integral part of these consolidated financial statements.

ANTIGUA COMMERCIAL BANK LTD.

Consolidated Statement of Changes in Equity *(cont'd)*

For the year ended September 30, 2021
with comparative figures for 2020

(Expressed in Eastern Caribbean Dollars)

	Notes	Stated Capital	Statutory Reserve	Revaluation Reserve: FVOCI Investments	Capital Reserve	Revaluation Reserve- PPE	Pension Reserve	Regulatory Loan Loss Reserve	Retained Earnings	Total
Balance at September 30, 2019		$ 36,000,000	26,059,962	19,235,907	7,461,949	5,902,922	7,561,763	34,997,809	107,397,710	244,618,022
Profit for the year		-	-	-	-	-	-	-	3,430,378	3,430,378
Other comprehensive income		-	-	3,336,529	-	-		-	(710,357)	2,626,172
Total comprehensive income		-	-	3,336,529	-	-		-	2,720,021	6,056,550
Transfer to reserve fund	24	-	-	-	-	-	-	-	-	-
Decrease in reserve for loan loss	25	-	-	-	-	-	-	(7,085,523)	-	(7,085,523)
Decrease in pension reserve	25	-	-	-	-	-	(432,859)	-	432,859	-
Transactions with owners										
Dividends paid	20	-	-	-	-	-	-	-	(5,000,000)	(5,000,000)
Balance at September 30, 2020		$ 36,000,000	26,059,962	22,572,436	7,461,949	5,902,922	7,128,904	27,912,286	105,550,590	238,589,049

The notes are an integral part of these consolidated financial statements.

1. Nature of operations

The principal activity of Antigua Commercial Bank Ltd. ("the Bank") and its subsidiaries (together "the Group"), is the provision of commercial banking services. The Bank is licensed to carry on banking business in Antigua and Barbuda and is regulated by the Eastern Caribbean Central Bank in accordance with the Banking Act No. 10 of 2015 and the Eastern Caribbean Central Bank Act No. 10 of 1983.

The significant subsidiaries of the Group along with the ownership interest as at 2021 and 2020 is as follows:

- ACB Mortgage and Trust Company Limited – 100% interest (2021 and 2020)
- ACB Grenada Bank Ltd. – 62.08% (2021 only)

On August 17th, 2020, the Bank completed its registration to trade under the business name of ACB Caribbean.

Further to the December 12, 2020 announcement that the Bank, as part of a Consortium of Banks, had entered into a definitive agreement to purchase identified assets from the Royal Bank of Canada (RBC), the Bank received regulatory approval from the Eastern Caribbean Central Bank (ECCB) on December 22, 2020 to, inter alia:

- acquire the assets and banking business of the RBC Antigua Branch; and
- acquire 62.08% shareholding of RBTT Bank Grenada Limited

The closing date of the above transactions was April 1, 2021. Effective on this date, the RBC Antigua Branch was rebranded as ACB Market Street and the name of the entity in Grenada was amended to ACB Grenada Bank Ltd.

These consolidated financial statements therefore reflect the results of the Bank and its wholly owned subsidiary in Antigua for the year ended September 30, 2021, the newly acquired Branch from April 1, 2021 to September 30, 2021 and the results of the newly acquired subsidiary in Grenada from April 1, 2021 to September 30, 2021. These consolidated financial statements for the year ended September 30, 2021 are therefore not comparable to the year ended September 30, 2020.

2. General information and statement of compliance with IFRS

Antigua Commercial Bank Ltd. the Group's ultimate parent company is a limited liability company incorporated on October 19, 1955 in Antigua and Barbuda and continued under the provisions of the Antigua Companies Act 1995. The Group's registered office is located at St. Mary's and Thames Streets, St. John's, Antigua.

The consolidated financial statements of the Group have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB) as at September 30, 2021.

These consolidated financial statements were approved for issuance on March 16, 2023.

These consolidated financial statements have been prepared on the historical cost basis, except for the following material items in the statement of financial position that are measured at fair value:

- Debt and equity investments measured at fair value through profit or loss
- Equity investments designated at fair value through other comprehensive income
- Land and buildings measured at revalued amounts
- Net defined benefit asset, which is measured at the fair value of plan assets less the present value of the defined benefit obligation.

3. Changes in accounting policies

3.1 Adoption of new or revised standards, amendments to standards and interpretations

Certain new and amended standards that were in issue came into effect during the current financial year. These did not have a material effect on the Bank's financial statements.

Except for the changes below, the Bank has consistently applied the accounting policies as set out in note 4 to all periods presented in these financial statements.

The nature of each new standard or amendment is described below:

- **Amendments to References to Conceptual Framework in IFRS Standards**

  The revised framework covers all aspects of standard setting including the objective of financial reporting.

  The main change relates to how and when assets and liabilities are recognised and de-recognised in the financial statements.

  - New 'bundle of rights' approach to assets will mean that an entity may recognise a right to use an asset rather than the asset itself;
  - A liability will be recognised if an entity has no practical ability to avoid it. This may bring liabilities on balance sheet earlier than at present.
  - A new control-based approach to de-recognition will allow an entity to derecognize an asset when it loses control over all or part of it; the focus will no longer be on the transfer of risks and rewards.

- **Definition of Material (Amendments to IAS 1 and IAS 8)**

  Amendment to IAS 1 *Presentation of Financial Statements* and IAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* provide a definition of 'material' to guide preparers of financial statements in making judgements about information to be included in financial statements.

  "Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity."

- **Definition of a Business (Amendments to IFRS 3)**

  The amendments provide more guidance on the definition of a business.

- **Interest Rate Benchmark Reform (Amendments to IFRS 9, IAS 39 and IFRS 7)**

  IBOR reform refers to the global reform of interest rate benchmarks, which includes the replacement of some interbank offered rates (IBOR) with alternative benchmark rates.

3.2 Standards issued but not yet adopted

A number of new standards and amendments to standards are effective for annual periods beginning after October 1, 2020 and earlier application is permitted; however, the Bank has not early adopted these new or amended standards in preparing these financial statements.

These include the following:

- Effective January 1, 2021: Interest Rate Benchmark Reform – Phase 2 (Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16)
- Effective April 1, 2021: COVID-19-Related Rent Concessions (Amendment to IFRS 16)
- Effective April 1, 2021: COVID-19-Related Rent Concessions beyond 30 June 2021 (Amendment to IFRS 16)
- Effective January 1, 2022: Onerous Contracts – Cost of Fulfilling a Contract (Amendments to IAS 37)
- Effective January 1, 2022: Annual Improvements to IFRS Standards 2018-2020
- Effective January 1, 2022: Property, Plant and Equipment: Proceeds before Intended Use (Amendments to IAS 16)
- Effective January 1, 2022: Reference to the Conceptual Framework (Amendments to IFRS 3)
- Effective January 1, 2023: IFRS 17 Insurance Contracts
- Effective January 1, 2023: Amendments to IFRS 17
- Effective January 1, 2023: Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2)
- Effective January 1, 2023: Definition of Accounting Estimate (Amendments to IAS 8)
- Effective January 1, 2023: Deferred Tax Related to Assets and Liabilities Arising from a Single Transaction – Amendments to IAS 12 Income Taxes
- Effective January 1, 2023: Initial Application of IFRS 17 and IFRS 9 – Comparative Information (Amendments to IFRS 17)
- Effective January 1, 2024: Classification of liabilities as current or non-current (Amendments to IAS 1)
- Effective January 1, 2024: Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)
- Effective January 1, 2024: Non-current Liabilities with Covenants (Amendments to IAS 1)

None of these is expected to have a significant impact on the Bank's consolidated financial statements.

4. Summary of significant accounting policies

4.1 Overall considerations

The consolidated financial statements have been prepared using the significant accounting policies and measurement bases summarised below.

4.2 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, non-mandatory deposits with the ECCB and other banks, treasury bills, and other short-term highly liquid instruments with original maturities of three months of less.

4.3 Financial instruments

Recognition, initial measurement and derecognition

Financial assets and financial liabilities are recognised when the Group becomes a party to the contractual provisions of the financial instrument and are measured initially at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. Subsequent measurement of financial assets and financial liabilities is described below.

Financial assets are derecognised when the contractual rights to the cash flows from the financial asset expire, or when the financial asset and substantially all risks and rewards are transferred, or when the Group neither transfers nor retains substantially all of the risks and rewards of ownership and does not retain control, over the transferred asset. Any interest in such derecognized financial assets that is created or retained by the Group is recognized as a separate asset or liability.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognized) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognized in OCI is recognized in profit or loss.

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Recognition, initial measurement and derecognition, *(cont'd)*

Any cumulative gain/loss recognized in OCI in respect of equity investment securities designated as at FVOCI is not recognized in profit or loss on derecognition of such securities.

A financial liability is derecognised when it is extinguished, discharged, cancelled or expires.

Classification and subsequent measurement of financial assets

On initial recognition, a financial asset is classified as measured at: amortised cost, FVOCI or FVTPL.

Financial assets are measured at initial recognition at fair value and are classified and subsequently measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt instrument is measured at initial recognition at fair value and is classified and subsequently measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis. All other equity investments are classified as measured at FVTPL. In addition, on initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

A financial asset is classified into one of these categories on initial recognition. However, for financial assets held at initial application, the business model assessment is based on facts and circumstances at that date. Also, IFRS 9 permits new elective designations at FVTPL or FVOCI to be made on the date of initial application and permits or requires revocation of previous FVTPL elections at the date of initial application depending on the facts and circumstances at that date.

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Classification and subsequent measurement of financial assets *(cont'd)*

Business model assessment
IFRS 9 requires that financial assets are classified on the basis of the Group's business model for managing such assets unless it makes an irrevocable election to designate the asset at fair value through profit or loss. The business model refers to how financial assets are managed in order to generate cash flows. The Group determines its business model at the level that best reflects how it manages its portfolios of financial assets to achieve its business objectives. Judgment is used in determining the Group's business models that is supported by relevant, objective evidence including:

- The stated policies and objectives for the portfolio and the operation of those policies in practice;
- How performance of the business model and the financial assets held within the model are evaluated and reported to key management personnel;
- How managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected);
- The frequency and significance of past sales activity, the reason for those sales as well as expectations about future sales; and
- The significant risks affecting the performance of the business model for example, market risk and credit risk and the activities undertaken to manage those risks.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

The business model assessment is forward looking in that if cash flows are realized in a manner that is different from expectations the classification of the remaining assets in the business model is not changed but instead that information is used to assess new instruments acquired.

Business models - Applicability to the Group
The Group's business models fall into two main categories, which are indicative of the key strategies used to generate returns as follows:

- Hold to collect contractual cash flows (HTC) - the objective of this business model is to hold assets in order to collect contractual cash flows. Under this model, the Group holds loans and investment securities to collect contractual principal and interest cash flows. Sales are expected to be insignificant or infrequent; and

- Other business model - the objective of this business model is neither to hold assets in order to collect contractual cash flows, nor both collect contractual cash flows and to sell. Under this model collecting contractual cash flows is incidental to the objective of the model and sales may be significant in value and frequent. The Group holds certain debt and equity investments under this model.

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Classification and subsequent measurement of financial assets *(cont'd)*

Assessment of whether contractual cash flows are solely payments of principal and interest - SPPI assessment

For classification purposes the Group first reviews the terms of the instruments to determine whether they give rise on specified dates to cash flows that meet the SPPI test.

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition.

Reclassifications
Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Group changes its business model for managing financial assets.

Classification and Measurement under IFRS 9 – Applicability to the Group

Debt instruments measured at amortised cost
Debt instruments are measured at amortised cost if they are held within a business model whose objective is to hold for collection of contractual cash flows where those cash flows represent solely payments of principal and interest. After initial measurement, debt instruments in this category are carried at amortised cost. Interest income on these instruments is recognized in interest income using the effective interest rate method. The effective interest rate is the rate that discounts estimated future cash payments or receipts through the expected life of the financial asset to the gross carrying amount of a financial asset. Amortised cost is calculated by taking into account any discount or premium on acquisition, transaction costs and fees that are an integral part of the effective interest rate.

Impairment on debt instruments measured at amortised cost is calculated using the expected credit loss approach. The Group has loans and certain debt securities in this category, which are measured at amortised cost. These are presented net of the allowance for expected credit losses in the statement of financial position.

Debt instruments measured at Fair Value through Other Comprehensive Income
Investments in debt instruments are measured at fair value through other comprehensive income where they meet the following two conditions and they have not been designated at FVTPL:

- Contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and
- Are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets.

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Classification and subsequent measurement of financial assets *(cont'd)*

Debt instruments measured at Fair Value through Other Comprehensive Income *(cont'd)*
These debt instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at fair value. Gains and losses arising from changes in fair value are included in other comprehensive income within a separate component of equity. Impairment losses or reversals, interest revenue and foreign exchange gains and losses are recognised in profit or loss. Upon disposal, the cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss.

Impairment on debt instruments measured at FVOCI is calculated using the expected credit loss (ECL) approach. The ECL on debt instruments measured at FVOCI does not reduce the carrying amount of the asset in the statement of financial position, which remains at its fair value.

The Group does not have any financial assets in this category.

Debt instruments measured at FVTPL
Debt instruments are measured at FVTPL if assets:

i) Are held for trading purposes;
ii) Are held as part of a portfolio managed on a fair value basis; or
iii) Whose cash flows do not represent payments that are solely payments of principal and interest.

These instruments are measured at fair value in the statement of financial position, with transaction costs recognized immediately in profit or loss. Realized and unrealized gains and losses are recognized in profit or loss.

The Group has certain investments in this category.

Equity instruments measured at FVTPL
Equity instruments are measured at FVTPL, unless an election is made to designate them at FVOCI upon purchase, with transaction costs recognized immediately in profit or loss. Subsequent to initial recognition the changes in fair value are recognized in profit or loss. Equity instruments at FVTPL are primarily assets held for trading.

The Group has certain equity investments in this category.

Equity instruments measured at FVOCI (designated)
At initial recognition, there is an irrevocable option for the Group to classify non-trading equity instruments at FVOCI. This election is used for certain equity investments for strategic or longer-term investment purposes. This election is made on an instrument-by-instrument basis and is not available to equity instruments that are held for trading purposes.

Gains and losses on these instruments including when derecognized/sold are recorded in OCI and are not subsequently reclassified to profit or loss. As such, there is no specific impairment requirement. Dividends received are recorded in profit or loss. Any transaction costs incurred upon purchase of the security are added to the cost basis of the security and are not reclassified to profit or loss on sale of the security.

The Group has certain equity investments in this category.

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Impairment of financial assets

The Group recognizes loss allowances for expected credit losses (ECL) on the following financial instruments that are not measured at FVTPL:

- Financial assets that are debt instruments;
- Lease receivables;
- Financial guarantee contracts issued; and
- Loan commitments issued.

No impairment loss is recognized on equity investments.

The Group measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- Debt investment securities that are determined to have low credit risk at the reporting date; and
- Other financial instruments (other than lease receivables) on which credit risk has not increased significantly since their initial recognition.

12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12-month ECL is recognized are referred to as 'Stage 1' financial instruments. Stage 1 loans also include facilities where the credit risk has improved, and the loan has been reclassified from Stage 2.

Lifetime ECL are the ECL that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognized but which are not credit-impaired are referred to as 'Stage 2' financial instruments.

Credit impaired financial assets
At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt financial assets carried at FVOCI are credit-impaired (referred to as 'Stage 3 financial assets'). A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- Significant financial difficulty of the borrower or issuer, including an inability to satisfy the debt because of decreased or no cash flow (negative debt service ratio), inability to work or where the customer is unemployed in excess of 6 months;
- A breach of contract such as a default or past due event, including a history of chronic arrears;
- The restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise, or if a loan has been restructured more than three times in five years;
- Measurable decrease in the estimated future cash flows from the underlying assets that secure the loan;
- Default or delinquency in interest or principal payments;
- It is becoming probable that the borrower will enter bankruptcy or other financial reorganization; or
- The disappearance of an active market for a security because of financial difficulties.

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Impairment of financial assets *(cont'd)*

Credit impaired financial assets *(cont'd)*
A loan that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. In addition, the Group considers that default has occurred and classifies a retail loan as credit impaired when it is more than 90 days past due.

Loans classified as 'doubtful' or 'loss' based on the regulatory definition and those placed on a watch list are also considered to be in default and hence are classified as credit impaired.

Significant increase in credit risk
When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Group considers both quantitative and qualitative information and analysis based on the Group's historical experience and credit risk assessment.

The determination of whether there has been a significant increase in credit risk is critical to the staging process. Factors to consider include:

- Changes in market or general economic conditions;
- Expectation of potential breaches;
- Expected delays in payment;
- Deterioration in credit ratings; or
- Significant changes in operating results or financial position of the borrower.

The Group considers as a backstop that significant increase in credit risk occurs when an asset is more than 30 days past due and also maintains a loan watch list to assist in the assessment.

The Group considers that significant increase in credit risk occurs for debt investments when investments with investment grade rating at acquisition moves to a non-investment grade but above a default grade. For debt investments with a non-investment grade at acquisition, a significant increase in credit risk occurs when there is an unfavorable movement in the ratings relative to the rating at initial recognition, including movement to a lower end of non-investment grade.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the provision for doubtful debts reverts from lifetime ECL to 12-months.

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Impairment of financial assets *(cont'd)*

Measurement of ECL
ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- *Financial assets that are not credit-impaired at the reporting date*: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive);

- *Financial assets that are credit-impaired at the reporting date:* as the difference between the gross carrying amount and the present value of estimated future cash flows;

- *Undrawn loan commitments:* as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and

- *Financial guarantee contracts:* the expected payments to reimburse the holder less any amounts that the Group expects to recover.

The inputs used to estimate the expected credit losses are as follows:

- PD – The probability of default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the remaining estimated life, if the facility has not been previously derecognized and is still in the portfolio.

- EAD – The exposure at default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments

- LGD – The loss given default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realization of any collateral. It is usually expressed as a percentage of the EAD.

- Forward looking information – The standard requires the incorporation of forward-looking information in the estimation of expected credit losses for each stage and the assessment of significant increases in credit risk consider information about past events and current conditions as well as reasonable and supportable forecasts of future events and economic conditions. The estimation and application of forward-looking information requires significant judgement.

- Discount rate – The standard requires the ECL to be discounted using the effective interest rate (EIR).

The above five parameters are modelled and estimated independently and combined to obtain the ECL of loans.

To incorporate forward-looking macroeconomic sensitivity as required per the IFRS 9 guidance, the Group developed an economic scorecard model based on qualitative rationale and management judgment to calculate a "Forward Looking Factor" (FLF).

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Impairment of financial assets *(cont'd)*

Measurement of ECL *(cont'd)*
The Group applied experienced judgement in selecting macroeconomic factors that would most likely impact credit risk and leveraged various third party macroeconomic forecasts when determining the forward looking factors. The macroeconomic projections considered by the Group were:

- Gross Domestic Product (GDP)
- Inflation
- Unemployment rate
- Lending rates

The Group then employed a Forward Looking Factor Scorecard approach to compute adjustment factors applied to the final PD estimates used to calculate the ECLs. This approach also considered various economic scenarios (negative, neutral, positive) and their estimated impacts to the ECL.

Restructured financial assets
If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognized and ECL are measured as follows:

- If the expected restructuring will not result in derecognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset.

- If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition. This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

In assessing whether the modified terms are "substantially" different from the original terms, the following factors are considered:

- Introduction of significant new terms
- Significant change in loan's interest rate
- Significant extension in loan's term
- Significant change in credit risk from inclusion of collateral or other credit enhancements.

Expected life
For instruments in Stage 2 or Stage 3, loss allowances reflect expected credit losses over the expected remaining lifetime of the instrument. For most instruments, the expected life is limited to the remaining contractual life. For certain revolving facilities such as credit cards and overdrafts, the expected credit life is estimated based on the period over which the Group's exposure to credit losses is not mitigated by normal credit risk management actions.

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Impairment of financial assets *(cont'd)*

Presentation of allowance for ECL
Loss allowances for ECL are presented in the statement of financial position as follows:

- *Financial assets measured at amortised cost:* as a deduction from the gross carrying amount of the assets;
- *Loan commitments and financial guarantee contracts:* generally, as a provision;
- *Where a financial instrument includes both a drawn and an undrawn component, and the Group cannot identify the ECL on the loan commitment component separately from those on the drawn component:* The Group presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision; and

Write-off
Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Group determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

Recoveries of amounts previously written off are included in 'impairment losses on financial instruments' in the statement of profit or loss and OCI.

Classification and subsequent measurement of financial liabilities
The Group's financial liabilities include customers' deposits and other liabilities and accrued expenses. Financial liabilities are measured subsequently at amortised cost using the effective interest method. All interest-related charges are included within "interest expense" in the statement of income.

Offsetting financial instruments
Financial assets and liabilities are offset and the net amount reported in the statement of financial position when, and only when, there is a current legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRS or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

Amortised cost measurement
The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortization, using the effective interest method, of any difference between the initial amount recognized and the maturity amount, minus any reduction for impairment.

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When one is available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an on-going basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

If an asset or a liability measured at fair value has a bid price and an ask price, then the Group measures assets and long positions at a bid price, and liabilities and short positions at an ask price.

The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price - i.e. the fair value of the consideration given or received. If the Group determines that the fair value on initial recognition differs from the transaction price, and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability not based on a valuation technique for which any unobservable inputs are judged to be insignificant in relation to the measurement, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

Modifications of financial assets and financial liabilities

Financial assets

If the terms of a financial asset are modified, then the Group evaluates whether the cash flows of the modified asset are substantially different.

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognized at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and
- other fees are included in profit or loss as part of the gain or loss on derecognition.

4. Summary of significant accounting policies *(cont'd)*

4.3 Financial instruments *(cont'd)*

Modifications of financial assets and financial liabilities *(cont'd)*

Financial assets *(cont'd)*
If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximize recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Group plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place. This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortised cost or FVOCI does not result in derecognition of the financial asset, then the Group first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognises the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs or fees incurred, and fees received as part of the modification adjust the gross carrying amount of the modified financial asset and are amortised over the remaining term of the modified financial asset.

If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income calculated using the effective interest rate method.

Financial liabilities
The Group derecognises a financial liability when its terms are modified, and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability derecognised and consideration paid is recognised in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

If the modification of a financial liability is not accounted for as derecognition, then the amortised cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognised in profit or loss. For floating-rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognised as an adjustment to the carrying amount of the liability and amortised over the remaining term of the modified financial liability by re-computing the effective interest rate on the instrument.

4. Summary of significant accounting policies *(cont'd)*

4.4 Provisions, contingent assets and contingent liabilities

Provisions for legal disputes or other claims are recognised when the Group has a present legal or constructive obligation as a result of a past event, it is probable that an outflow of economic resources will be required from the Group and amounts can be estimated reliably. Timing or amount of the outflow may still be uncertain.

A provision for Group levies is recognised when the condition that triggers the payment of the levy is met. If a levy obligation is subject to a minimum activity threshold so that the obligating event is reaching a minimum activity, then a provision is recognised when that minimum activity threshold is reached.

Provisions are not recognised for future operating losses. Provisions are measured at the estimated expenditure required to settle the present obligation, based on the most reliable evidence available at the reporting date, including the risks and uncertainties associated with the present obligation. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. Provisions are discounted to their present values, where the time value of money is material.

Any reimbursement that the Group is virtually certain to collect from a third party with respect to the obligation is recognised as a separate asset. However, this asset may not exceed the amount of the related provision. In those cases where the possible outflow of economic resources as a result of present obligations is considered improbable or remote, no liability is recognised. Such situations are disclosed as contingent liabilities unless the outflow of resource is remote.

4.5 Property and equipment and depreciation

Property and equipment are stated at historical cost or revalued amount, less accumulated depreciation and accumulated impairment losses, if any. Depreciation is calculated on the straight-line method at rates estimated to write down the cost or valuation of such assets to their residual values over their estimated useful lives, as follows:

Buildings	40 years
ATM buildings and building improvements	10 years
Car park	10 years
Furniture and fixtures	6 2/3 years
Equipment	10 years
Motor vehicles	5 years
Computer hardware	5 years
Computer software	3 years

Subsequent costs are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. Repairs and maintenance are charged to profit or loss when the expenditure is incurred.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date. Property and equipment are periodically reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell and value in use.

4. Summary of significant accounting policies *(cont'd)*

4.5 Property and equipment and depreciation *(cont'd)*

Gains or losses arising on the disposal of property and equipment are determined as the difference between the disposal proceeds and the carrying amount of the assets and are recognised within "other operating income" in profit or loss.

Revaluations of property and equipment are carried out every 3 to 5 years based on independent valuations.

4.6 Impairment of non-financial assets

At each reporting date, the Group reviews the carrying amounts of its non-financial assets (other than deferred tax assets) to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

An impairment loss is recognised for the amount by which the asset's or cash-generating unit's carrying amount exceeds its recoverable amount, which is the higher of fair value less costs of disposal and value-in-use. To determine the value-in-use, management estimates expected future cash flows from each cash-generating unit and determines a suitable discount rate in order to calculate the present value of those cash flows. Discount factors are determined individually for each cash-generating unit and reflect management's assessment of respective risk profiles, such as market and asset-specific risk factors. Impairment losses are recognised in profit or loss.

All assets are subsequently reassessed for indications that an impairment loss previously recognised may no longer exist. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

4.7 Dividends on ordinary shares and dividend income

Dividends on ordinary shares are recognised in equity in the period in which they are approved by shareholders. Dividends for the year which are approved after the reporting date are disclosed as a subsequent event (note 20).

Dividend income is recognised in "other operating income" in profit or loss when the entity's right to receive payment is established.

4. Summary of significant accounting policies *(cont'd)*

4.8 Interest income and expense

Effective interest rate
Interest income and expense are recognised in profit or loss using the effective interest method. The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

– the gross carrying amount of the financial asset; or
– the amortised cost of the financial liability.

When calculating the effective interest rate for financial instruments other than purchased or originated credit-impaired assets, the Bank estimates future cash flows considering all contractual terms of the financial instrument, but not ECL. For purchased or originated credit-impaired financial assets, a credit-adjusted effective interest rate is calculated using estimated future cash flows including ECL.

The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

Amortised cost and gross carrying amount
The 'amortised cost' of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance. The 'gross carrying amount of a financial asset' is the amortised cost of a financial asset before adjusting for any expected credit loss allowance.

Calculation of interest income and expense
The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortised cost of the liability. The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating-rate instruments to reflect movements in market rates of interest.

However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted effective interest rate to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

For information on when financial assets are credit-impaired, see Note 4.3.

4. Summary of significant accounting policies *(cont'd)*

4.8 Interest income and expense *(cont'd)*

Presentation
Interest income calculated using the effective interest method presented in the statement of profit or loss and OCI includes:

– interest on financial assets and financial liabilities measured at amortised cost

Interest expense presented in the statement of profit or loss and OCI includes:

– financial liabilities measured at amortised cost; and

– interest expense on lease liabilities.

4.9 Fee and commission income and revenue recognition

Fee and commission income and expense that are integral to the effective interest rate on a financial asset or financial liability are included in the effective interest rate.

If a loan commitment is not expected to result in the draw-down of a loan, then the related loan commitment fee is recognised on a straight-line basis over the commitment period.

Other fee and commission income – including account servicing fees and syndication fees – is recognised as the related services are performed.

A contract with a customer that results in a recognised financial instrument in the Group's financial statements may be partially in the scope of IFRS 9 and partially in the scope of IFRS 15. If this is the case, then the Group first applies IFRS 9 to separate and measure the part of the contract that is in the scope of IFRS 9 and then applies IFRS 15 to the residual.

Other fee and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

4.10 Foreign currency translation

Functional and presentation currency
The consolidated financial statements are presented in Eastern Caribbean Dollars, which is also the functional currency of the Group.

Foreign currency transactions and balances
Foreign currency transactions are translated into Eastern Caribbean Dollars using the closing rates of exchange prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the re-measurement of monetary items denominated in foreign currency at year-end exchange rates are recognised in the statement of income.

Non-monetary items are not retranslated at year-end and are measured at historical cost (translated using the exchange rates at the transaction date), except for non-monetary items measured at fair value which are translated using the exchange rates at the date when fair value was determined.

4. Summary of significant accounting policies *(cont'd)*

4.11 Post-employment benefits

The Group provides post-employment benefits through a defined benefit plan. Under this plan, the amount of pension benefit that an employee will receive on retirement is defined by reference to the employee's length of service and final salary. The legal obligation for any benefits remains with the Group, even if plan assets for funding the defined benefit plan have been set aside. Plan assets may include assets specifically designated to a long-term benefit fund as well as qualifying insurance policies.

The liability recognised in the statement of financial position for a defined benefit plan is the present value of the defined benefit obligation (DBO) at the reporting date less the fair value of plan assets.

Management estimates the DBO annually with the assistance of independent actuaries. This is based on assumed rates of inflation, medical cost trends and mortality. It also takes into account the Group's specific anticipation of future salary increases. Discount factors are determined close to each year-end by reference to high quality corporate bonds that are denominated in the currency in which the benefits will be paid and that have terms to maturity approximating to the terms of the related pension liability.

Service cost on the Group's defined benefit plan is included in employee benefits expense. Employee contributions, all of which are independent of the number of years of service, are treated as a reduction of service cost. Net interest expense on the net defined benefit liability is included in salaries and related costs in profit or loss. Actuarial gains and losses resulting from re-measurements of the net defined benefit liability are included in other comprehensive income.

4.12 Leased assets

Policy applicable from October 1, 2019
At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in IFRS 16.

This policy is applied to contracts entered into, on or after October 1, 2019.

As a lessee
At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term.

4. Summary of significant accounting policies *(cont'd)*

4.12 Leased assets *(cont'd)*

In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets and lease liabilities separately in the statement of financial position.

Short-term leases and leases of low-value assets
The Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases that have a lease term of 12 months or less and low-value assets. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

4. Summary of significant accounting policies *(cont'd)*

4.12 Leased assets *(cont'd)*

As a lessor
When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

If an arrangement contains lease and non-lease components, the Group applies IFRS 15 to allocate the consideration in the contract.

The Group recognizes lease payments received under operating leases as income on a straight-line basis over the lease term as part of "other operating income".

4.13 Repurchase agreements

Securities sold subject to repurchase agreements are included in loans and receivables. These securities are not secured by collateral. The counterparty liability is included in 'due under repurchase agreements' and is recorded at amortised cost. The difference between sale and repurchase price is treated as interest and accrued over the life of the agreements using the effective interest method.

4.14 Current and deferred income taxes

Tax expense recognised in profit or loss comprises the sum of deferred tax and current tax not recognised in other comprehensive income or directly in equity.

Current tax
Current income tax assets and/or liabilities comprise those obligations to, or claims from, fiscal authorities relating to the current or prior reporting periods, that are unpaid at the reporting date. Current tax is payable on taxable profit, which differs from profit or loss in the consolidated financial statements. Calculation of current tax is based on tax rates and tax laws that have been enacted or substantively enacted by the end of the reporting period in Antigua and Barbuda.

4. Summary of significant accounting policies *(cont'd)*

4.14 Current and deferred income taxes *(cont'd)*

Deferred tax
Deferred income taxes are calculated on temporary differences between the carrying amounts of assets and liabilities and their tax bases.

Deferred tax assets and liabilities are calculated, without discounting, at tax rates that are expected to apply to their respective period of realisation, provided those rates are enacted or substantively enacted by the end of the reporting period

Deferred tax assets are recognised to the extent that it is probable that the underlying tax loss or deductible temporary difference will be utilised against future taxable income. This is assessed based on the Group's forecast of future operating results, adjusted for significant non-taxable income and expenses and specific limits on the use of any unused tax loss or credit. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax assets and liabilities are offset only when the Group has a right and intention to set off current tax assets and liabilities from the same taxation authority.

4.15 Other liabilities

Other liabilities are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Other liabilities are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Other liabilities are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

4.16 Operating expenses

Operating expenses are recognised in profit or loss upon utilisation of the service or as incurred.

4.17 Equity and reserves

Stated capital represents the issue price multiplied by the number of shares that have been issued. Any transaction costs associated with the issuing of shares are shown in equity as a deduction, net of any related income tax benefits.

Other components of equity include the following:

- Regulatory reserve for loan loss – additional provision as required by the Eastern Caribbean Central Bank and interest on loans not recognised for regulatory purposes
- Pension reserve – comprises a reserve equivalent to the calculated pension plan asset
- Revaluation reserve: property – comprises unrealised gains and losses from the revaluation of land and buildings
- Revaluation reserve for AFS financial assets – comprises unrealised gains and losses relating to these types of financial instruments
- Retained earnings – includes all current and prior period retained profits or losses

See note 25 for details on each component of other reserves.

4. Summary of significant accounting policies *(cont'd)*

4.18 Financial guarantees and loan commitments

'Financial guarantees' are contracts that require the Group to make specified payments to reimburse the holder for a loss that it incurs because a specified debtor fails to make payment when it is due in accordance with the terms of a debt instrument.

'Loan commitments' are firm commitments to provide credit under pre-specified terms and conditions.

Financial guarantees issued or commitments to provide a loan at a below-market interest rate are initially measured at fair value. Subsequently, they are measured at the higher of the loss allowance determined in accordance with IFRS 9 and the amount initially recognised less, when appropriate, the cumulative amount of income recognised in accordance with the principles of IFRS 15. Other loan commitments issued are measured at the sum of (i) the loss allowance determined in accordance with IFRS 9 and (ii) the amount of any fees received, less, if the commitment is unlikely to result in a specific lending arrangement, the cumulative amount of income recognised. Derecognition policies for financial assets (see Note 4.3) are applied to loan commitments issued and held.

The Group has issued no loan commitments that are measured at FVTPL.

Liabilities arising from financial guarantees and loan commitments are included within "provisions and other liabilities" on the statement of financial position.

4.19 Basis of consolidation

Our consolidated financial statements include the assets and liabilities and results of operations of the parent company, Antigua Commercial Bank Ltd., and its subsidiaries, after elimination of intercompany transactions, balances, revenues and expenses.

Business combinations
The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group.

The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

If share-based payment awards (replacement awards) are required to be exchanged for awards held by the acquiree's employees (acquiree's awards), then all or a portion of the amount of the acquirer's replacement awards is included in measuring the consideration transferred in the business combination. This determination is based on the market-based measure of the replacement awards compared with the market-based measure of the acquiree's awards and the extent to which the replacement awards relate to pre-combination service.

4. Summary of significant accounting policies *(cont'd)*

4.19 Basis of consolidation *(cont'd)*

Subsidiaries
'Subsidiaries' are entities controlled by the Group. The Group 'controls' an entity if it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The Group reassesses whether it has control if there are changes to one or more of the elements of control. This includes circumstances in which protective rights held (e.g. those resulting from a lending relationship) become substantive and lead to the Group having power over an investee.

The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

Non-controlling interests
NCI are measured initially at their proportionate share of the acquiree's identifiable net assets at the date of acquisition.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

Loss of control
When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

Transactions eliminated on consolidation
Intra-group balances and transactions, and any unrealised income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions, are eliminated. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

Business combinations and goodwill
In accordance with IFRS 3, business combinations are accounted for using the acquisition method which requires acquired assets and liabilities, including identifiable assets that satisfy the recognition criteria within IFRS 3, as appropriate, to be included in the Group's consolidated balance sheet at fair value as at the acquisition date. The cost of the acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value. Acquisition costs are expensed as incurred.

Goodwill is initially measured as being the excess of the aggregate of the value of consideration transferred and the net of the acquisition date amounts of the identifiable assets acquired and liabilities assumed and is reported in the consolidated statement of financial position as an intangible asset.

Goodwill is reviewed for impairment annually or more frequently if events or changes in circumstances indicate that the carrying value may be impaired. After initial recognition, goodwill is measured at cost less any accumulated impairment losses. Impairment losses are recognized in profit or loss.

5. Financial risk management

Risk management framework

The Group's Board of Directors has overall responsibility for the establishment and oversight of its risk management framework. The Group's activities expose it to a variety of financial risks and those activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to retail banking, and operational risks are an inevitable consequence of being in business. The Group's aim is therefore to achieve an appropriate balance between risk and return and minimize potential adverse effects on the Group's financial performance.

The Group's risk management policies are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. The risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Bank's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Audit and Risk Management Committee oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. Management identifies and evaluates financial risks in close co-operation with the Group's operating units. The Board provides oversight for overall risk management, as well as written policies covering specific areas, such as foreign exchange risk, interest rate risk and credit risk. The Audit and Risk Management Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Audit and Risk Management Committee.

5. Financial instrument risk *(cont'd)*

***Risk management framework** (cont'd)*

COVID 19

On March 11, 2020, the World Health Organization declared COVID-19 a global pandemic. Governments and regulatory bodies in affected areas, including Antigua, have imposed a number of measures designed to contain the outbreak, including government-mandated social distancing measures, travel restrictions, quarantines, and stay at home directives. The breadth and depth of the impact of COVID-19 on the global economy and financial markets continues to evolve with disruptive effects. The specific impact on the economy of Antigua and Barbuda, which is largely driven by tourism has been significant. This has resulted in increased unemployment, hotel closures/hotel operations at reduced occupancy levels for those which remained opened and reduced revenue for businesses, financial institutions and the Government.

While some of the Government and Regulatory measures have been eased across regions and the economy has started to recover, subsequent spikes in the virus have caused some measures to be reinstated and future economic activity to be uncertain. This has also been the case in Antigua, and the Government continues to monitor the number of active cases.

COVID-19 continues to impact the Group's employees, customers and community, impacting the Group's operations, financial results as well as present and future risks to the Group's business. The Group is closely monitoring the potential effects and impact of the pandemic, which is an evolving situation.

The Antigua government and the Group's Regulator, the Eastern Caribbean Central Bank have taken, and are continuing to take, significant measures to provide economic assistance to individual households and businesses, stabilize the market, and support economic growth. The effectiveness of these programs will depend on the duration and scale of COVID-19.

The Group's risk and capital management framework continues to be applied and the Group continues to monitor the impact of COVID-19 on the Group's risk and capital profile. Non-financial risks emerging from global movement restrictions, and remote working by staff, counterparties and customers are being identified, assessed, managed and governed through timely application of the Group's Risk Management Framework.

5.1 Credit risk

Credit risk is the risk of suffering financial loss, should any of the Group's customers, clients or market counterparties fail to fulfil their contractual obligations to the Group. Credit risk arises mainly from commercial and consumer loans and advances, credit cards, and loan commitments arising from such lending activities, but can also arise from credit enhancements provided, such as financial guarantees and letters of credit. The Group is also exposed to other credit risks arising from investments in debt securities.

5.1.1 Credit risk management

Credit risk is the single largest risk for the Group's business; management therefore carefully manages its exposure to credit risk including risk on debt securities, cash, loans and advances, credit cards and loan commitments. The Board of Directors created the Credit Committee for the oversight of credit risk. A separate Credit department reports to the Credit Committee, which is responsible for managing the Group's credit risk, including the following:

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.1 Credit risk management *(cont'd)*

– *Formulating credit policies* covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.

– *Establishing the authorisation structure* for the approval and renewal of credit facilities. Authorisation limits are allocated, with larger facilities requiring approval by the Credit Committee or the Board of Directors, as appropriate.

– *Reviewing and assessing credit risk*: all credit exposures in excess of designated limits are assessed, before facilities are committed to customers. Renewals and reviews of facilities are subject to the same review process.

– *Limiting concentrations of exposure* to counterparties, geographies and industries (for loans and advances, financial guarantees and similar exposures), and by issuer, credit rating band, market liquidity and country (for investment securities).

– *Developing and maintaining the Group's processes for measuring EC*L: This includes processes for:

- initial approval, regular validation and back-testing of the models used;
- determining and monitoring significant increase in credit risk; and
- incorporation of forward-looking information.

– *Reviewing compliance* with agreed exposure limits, including those for selected industries, country risk and product types. Regular reports on the credit quality of portfolios are provided to the Credit Committee, which may require appropriate corrective action to be taken. These include reports containing estimates of ECL allowances.

– *Providing advice, guidance and specialist skills* to promote best practice throughout the Group in the management of credit risk.

Regular audits of credit processes are undertaken by Internal Audit.

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.1 Credit risk management *(cont'd)*

(a) Loans and advances

The Group assesses the probability of default of individual counterparties using internal rating tools tailored to the various categories of the counterparty. These have been developed based on the Eastern Caribbean Central Bank guidelines. Customers of the Group are segmented into five rating classes. The Group's rating scale, which is shown below, reflects the range of default probabilities defined for each rating class. This means that, in principle, exposures migrate between classes as the assessment of their probability of default changes. The rating tools are reviewed and upgraded as necessary.

Group's rating	Description of the grade
1	Pass
2	Special mention
3	Sub-standard
4	Doubtful
5	Loss

(b) Debt securities and other bills

The Group's portfolio of debt securities and other bills consists of St. Kitts and Nevis Government, St. Lucia Government and Antigua and Barbuda Government ninety-one day treasury bills, and other debt obligations by regional banking and non-banking financial institutions, all of which are unrated. The Group assesses the risk of default on these obligations by regularly monitoring the performance of the Governments through published government data, information received directly from government departments and information published by international agencies such as the International Monetary Fund (IMF) and the World Bank. The risk of default on regional corporate debt is assessed by continuous monitoring of the performance of these companies through published financial information, and other data gleaned from various sources.

(c) Credit card receivables

The risk related to the Bank's credit card portfolio is significantly covered by the interest charged to customers at a rate of 19.5% per annum. Historically, the risk of loss has been on average less than 1% per annum over the past seven years. The portfolio is closely monitored by a third party and the Group on a daily basis to minimize the risk of default.

5.1.2 Risk limit control and mitigation policies

The Group manages, limits and controls concentrations of credit risk wherever they are identified, in particular to individual counterparties and groups, and to industries.

The Group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review by the Board of Directors.

The exposure to any one borrower, including banks and brokers is further restricted by sub-limits covering on and off-balance sheet exposure. Actual exposures against limits are monitored on an ongoing basis.

Exposure to credit risk is also managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing these lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate and personal guarantees. Lending limits are reviewed in light of changing market and economic conditions and periodic credit reviews and assessments of probability of default.

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.2 Risk limit control and mitigation policies *(cont'd)*

The following specific control and mitigation measures are also utilised:

(a) Collateral

The Group employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security for funds advanced, which is common practice. The Group implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The principal collateral types for loans and advances are:

- Mortgages over residential and commercial properties.
- Charges over business assets such as equipment, inventory and accounts receivable.
- Charges over financial instruments such as cash and short-term deposits.
- Government and personal guarantees.

Longer-term finance and lending to corporate entities are generally secured; revolving individual credit facilities may be secured or unsecured. In addition, the Group seeks to proactively minimize credit loss by taking pledges of collateral from the counterparty as part of its general risk mitigation strategy.

Collateral held as security for financial assets other than loans and advances depends on the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured

(b) Financial guarantees (for credit related commitments and loan books)

The primary purpose of these instruments is to ensure that funds are available to a customer as required. Guarantees and standby letters of credit carry the same credit risk as loans. Documentary and commercial letters of credit – which are written undertakings by the Group on behalf of a customer authorising a third party to draw drafts on the Group up to a stipulated amount under specific terms and conditions – are collateralised by the underlying shipments of goods to which they relate and therefore carry less risk than a direct loan.

Commitments to extend credit represent unused portions of authorisations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Group is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused commitments, as most commitments to extend credit are contingent upon customers maintaining specific credit standards (often referred to as financial covenants).

The Group monitors the term to maturity of credit commitments because longer-term commitments generally have a greater degree of credit risk than shorter-term commitments.

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.3 Impairment and provisioning policies

The internal rating systems described in Note 5.1.1 focus more on credit quality mapping from the inception of the lending and investment activities. In contrast, from October 1, 2019, impairment provisions for financial reporting purposes are provided for losses based on an expected credit loss model using a three stage approach across the various loan categories.

Financial instruments that are not already credit impaired are originated into stage 1 and a 12-month expected credit loss provision is recognised.

Instruments will remain in stage 1 until they are repaid, unless they experience significant credit deterioration (stage 2) or they become credit impaired (stage 3).

Instruments will transfer to stage 2 and a lifetime expected credit loss provision recognised when there has been a significant increase in credit risk compared with what was expected at origination. An overview of this is provided below:

Stage 1	Stage 2	Stage 3
12 month expected credit loss - performing	Lifetime expected credit loss - performing but significant increase in credit risk (SICR)	Lifetime expected credit loss - credit impaired/non- performing

Prior to October 1, 2018, due to the different methodologies applied, the amount of incurred credit losses provided for in the consolidated financial statements was usually lower than the amount determined from the expected loss model that is used for internal operational management and banking regulation purposes. From October 1, 2018, the amount of expected credit losses provided for in the consolidated financial statements is in excess of the amount determined for banking regulation purposes.

The loan impairment provision shown in the statement of financial position at year end is derived from each of the five rating grades. However, the majority of the impairment provision comes from the substandard, doubtful and loss grades.

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.3 Impairment and provisioning policies *(cont'd)*

The mortgage subsidiary company had on average 92% of its loan portfolio at a pass rating for the financial year ended September 30, 2021 (2020: 93%).

The internal rating tool assists management to determine whether objective evidence indicates that a facility has become credit impaired, based on the following criteria set out by the Group:

- Delinquency in contractual payments of principal or interest
- Cash flow difficulties experienced by the borrower (e.g. equity ratio, net income percentage of sales)
- Breach of loan covenants or conditions
- Initiation of bankruptcy proceedings
- Deterioration of the borrower's competitive position
- Deterioration in the value of collateral

The Group's policy requires the review of individual financial assets that are above materiality thresholds at least annually or more regularly when individual circumstances require. Expected credit losses are determined for these accounts based on a combination of the probability of default, loss given default and the exposure at default. The assessment normally encompasses collateral held (including re-confirmation of its enforceability) and the anticipated receipts for that individual account.

COVID-19

The COVID-19 pandemic's significant impact to the economy and the different stages of lockdown and re-opening, resulted in continued uncertainty with timing of recovery. This required additional considerations to determine the allowance for credit losses this year.

In response to the pandemic, and based on regulatory support during the period, the Group introduced a support mechanism for customers impacted by COVID-19, including the deferral of payments for an initial period of six months. The option to extend for an additional twelve months is available to all customers who still display challenges in meeting their loan commitments.

The ECL methodology, model inputs, significant increase in credit risk (SICR) thresholds, and definition of default remain consistent with those used as at September 30, 2020. Forward-looking information, scenarios and associated weightings, were revised to reflect the unprecedented impact of the COVID-19 pandemic, and the resulting significant uncertainty as it relates to current conditions and outlook.

IFRS 9 requires the consideration of past events, current conditions and reasonable and supportable forward-looking information over the life of the exposure to measure expected credit losses. Furthermore, to assess significant increase in credit risk, the Standard requires that entities assess changes in the risk of a default occurring over the expected life of a financial instrument when determining staging. The IASB and global regulators issued guidance for entities, consistent with IFRS 9, to consider the exceptional circumstances of the COVID-19 pandemic. This includes consideration of significant government support and the high degree of uncertainty around historical long-term economic trends used in determining reasonable and supportable forward-looking information.

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.3 Impairment and provisioning policies *(cont'd)*

COVID-19 *(cont'd)*

The Group's models are calibrated to consider past performance and macroeconomic forward-looking variables as inputs. Expert credit judgement is applied to consider the exceptional circumstances this period, including consideration of government assistance programs, in the assessment of underlying credit deterioration and migration of balances to progressive stages.

Consistent with requirements of IFRS 9, the Group considered both quantitative and qualitative information in the assessment of significant increase in risk. First time utilization of a payment deferral program was not considered an immediate trigger, in keeping with IASB and regulatory guidance, for an account to migrate to a progressive stage, given that the purpose of these programs is to provide temporary cashflow relief to the Group's customers. Early observations of payment behaviour of expiries for this year were considered in the assessment of the longer-term probability of the customers' ability to pay, a key input in determining migration. Consequently, the Group also determined that the extension of the initial payment deferral period was an indicator that credit risk had significantly increased and these exposures were migrated to the next stage.

A key input into the Group's expected credit loss provisioning model is the incorporation of forward-looking macroeconomic sensitivity as required per the IFRS 9 guidance. The Group continues to utilize an economic scorecard model based on qualitative rationale and management judgment to calculate a "Forward Looking Factor" (FLF). During this period, the Group considered whether there were any other macroeconomic factors that would most likely impact credit risk given the impacts of COVID-19. Based on this assessment, the Group continued to consider the following macroeconomic projections:

- Gross Domestic Product (GDP)
- Inflation
- Unemployment rate
- Lending rates

The Group then continued to employ a Forward Looking Factor Scorecard approach to compute adjustment factors applied to the final PD estimates used to calculate the ECLs. While this approach continues to consider various economic scenarios (negative, neutral, positive) and their estimated impacts to the ECL, during this period, more weighting was placed on the negative scenario. In addition, considering the adverse economic impact brought on by COVID-19, management further considered an overlay to account for changes in the macroeconomic environment due to COVID-19. The mitigating impact of government support measures was considered in the determination of these overlays to the extent not already reflected in our models.

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.3 Impairment and provisioning policies *(cont'd)*

COVID-19: Impact of deferral programs

The table below sets out the gross credit risk exposures which remain on deferral at September 30, 2021:

Stage 1	$	-
Stage 2		55,503,761
Stage 3		12,932,651
Total	$	68,436,412

Options available for customers upon expiry of the initial deferral period included:

- extension of moratoriums for up to an additional 12 months
- resuming regular repayments
- extension of loan terms
- converting outstanding interest to a separate loan and
- consolidation of debt

5.1.4 Maximum exposure to credit risk before collateral held or other credit enhancements

		Maximum Exposure	
		2021	**2020**
Credit risk exposures relating to on-balance sheet assets			
Cash and balances with the Central Bank	$	488,442,651	133,128,669
Due from other banks		286,596,330	184,531,368
Treasury bills		99,234,435	95,694,151
Statutory deposits		7,224,550	6,869,059
Loans and advances to customers		1,012,986,370	659,165,380
Investment securities:			
Amortised cost		64,814,699	64,382,962
FVTPL		48,313,030	41,547,461
Other assets		44,483,617	19,713,991
	$	2,052,095,682	1,205,033,041
Credit risk exposures relating to off-balance sheet assets			
Loan commitments and other credit related obligations		92,371,549	57,600,939
At September 30, 2021	$	2,144,467,231	1,262,633,980

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.4 Maximum exposure to credit risk before collateral held or other credit enhancements *(cont'd)*

The above table represents a worse-case scenario of credit risk exposure to the Group at September 30, 2021 and 2020, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets, the exposures set out above are based on net carrying amounts as reported in the consolidated statement of financial position.

As shown above, 49% of the total maximum exposure is derived from loans and advances to customers (2020: 55%); 6% represents investments in debt securities (2020: 9%).

Management is confident in its ability to continue to control and sustain minimal exposure of credit risk to the Group resulting from both its loans and advances portfolios and debt securities based on the following:

- Business loans, which represents the biggest group in the portfolio, are backed by collateral; and
- 83% of loans and advances portfolio are considered to be neither past due nor impaired (2020: 79%).

5.1.5 Loans and advances

Loans and advances are summarised as follows:

		Loans and advances to customers	
		2021	2020
Neither past due nor impaired	$	873,323,651	547,101,321
Past due but not impaired		92,997,653	76,947,078
Individually impaired		89,265,006	64,944,879
Gross		1,055,586,310	688,993,278
Interest receivable		19,268,237	18,747,315
Deferred interest income		(106,488)	(90,655)
Deferred fees		(3,947,641)	(2,096,498)
Less: allowance for impairment		(57,814,048)	(46,388,060)
Net		1,012,986,370	659,165,380
Expected credit losses		57,814,048	46,388,060
Total	$	57,814,048	46,388,060

Further information about the impairment allowance for loans and advances to customers is provided in note 12.

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.5 Loans and advances *(cont'd)*

Aging analysis of gross loans not impaired by product:

		Less than 1 month	1 -3 months	Total
As at September 30, 2021				
Retail	$	246,608,589	11,084,035	257,692,624
Commercial/corporate		469,368,715	3,485,326	472,854,041
Mortgage		23,752,418	9,792,922	33,545,340
	$	739,729,722	24,362,283	764,092,005

		Less than 1 month	1 -3 months	Total
As at September 30, 2020				
Retail	$	49,451,082	898,366	50,349,448
Commercial/corporate		286,237,946	36,336,353	322,574,299
Mortgage		11,478,908	9,564,375	21,043,283
	$	347,167,936	46,799,094	393,967,030

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

Credit quality by class of financial assets

	Stage 1 $	Stage 2 $	Stage 3 $	Total $
As at September 30, 2021				
Cash and cash equivalents	26,906,979	-	-	26,906,979
Securities:				
FVTPL:				
Government	48,313,030	-	-	48,313,030
Amortised cost:				
Government	63,789,647	-	-	63,789,647
Securities – net	112,102,677	-	-	112,102,677
Interest receivable	31,302,966	-	-	31,302,966
Loans:				
Retail	136,591,124	8,861,179	27,304,507	172,756,810
Commercial/corporate	454,223,491	25,911,534	2,595,704	482,730,729
Mortgages	266,530,609	42,088,929	33,665,185	342,284,723
Loans – net	857,345,224	76,861,642	63,565,396	997,772,262
Total	1,027,657,846	76,861,642	63,565,396	1,168,084,884

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

Credit quality by class of financial assets (*cont'd*)

	Stage 1 $	Stage 2 $	Stage 3 $	Total $
As at September 30, 2020				
Cash and cash equivalents	8,852,859	-	-	8,852,859
Securities:				
FVTPL:				
Government	41,547,461	-	-	41,547,461
Amortised cost:				
Government	63,690,247	-	-	63,690,247
Securities – net	105,237,708	-	-	105,237,708
Interest receivable	19,440,030	-	-	19,440,030
Loans:				
Retail	91,017,159	7,166,996	25,795,155	123,979,310
Commercial/corporate	258,088,676	64,203,539	24,084,192	346,376,407
Mortgages	150,709,015	16,801,718	4,738,768	172,249,501
Loans – net	499,814,850	88,172,253	54,618,115	642,605,218
Total	633,345,447	88,172,253	54,618,115	776,135,815

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.6 Debt securities, treasury bills and other eligible bills

A number of qualitative and quantitative factors are considered in assessing the risk associated with each investment. However, there is no hierarchy of ranking. The tables below present an analysis of debt securities, treasury bills and other eligible bills at September 30, 2021 and 2020:

	Treasury Bills	Amortised cost	FVTPL	Total
	$	$	$	$
At September 30, 2021				
Rated	-	18,313,003	37,023,955	55,336,958
Unrated	99,715,647	50,627,166	11,289,075	161,631,888
	99,715,647	68,940,169	48,313,030	216,968,846

	Treasury Bills	Amortised cost	FVTPL	Total
At September 30, 2020				
Rated	-	28,750,916	41,547,461	70,298,377
Unrated	96,163,108	39,713,231	-	135,876,339
	96,163,108	68,464,147	41,547,461	206,174,716

Based on Standard & Poor's ratings, the securities rated were rated from AA+ to BBB- in 2021 and 2020.

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.7 Concentration of risk of financial assets with credit risk exposure

(a) Geographical concentration of assets and off-balance sheet items

The Group's exposure to credit risk is concentrated as detailed below. Antigua and Barbuda is the home country of the Group where the predominant activity is commercial banking services.

As a major indigenous bank in Antigua and Barbuda, the Group accounts for a significant share of credit exposure to many sectors of the economy. However, credit risk is spread over a diversity of personal and commercial customers.

The following table analyses the Group's main credit exposures at their carrying amounts, without taking into account any collateral held or other credit support as categorised by geographical region. For all classes of assets, the Group has allocated exposure to regions based on the country of domicile of the counterparties.

	Antigua and Barbuda	Other Caribbean	Non-Caribbean	Total
2021: ***Credit risk exposures relating to on-balance sheet assets:***				
Cash and balances with the Central Bank	$ -	488,442,651	-	488,442,651
Due from other banks	68,548,787	(780,180)	218,827,723	286,596,330
Statutory deposits	7,224,550	-	-	7,224,550
Treasury bills	31,098,574	68,135,861	-	99,234,435
Investment Securities:				
Amortised cost	1,552,397	52,437,005	10,825,297	64,814,699
FVTPL	-	11,289,075	37,023,955	48,313,030
Loans and advances	923,742,002	88,705,303	539,065	1,012,986,370
Other assets	38,388,460	6,095,157	-	44,483,617
	1,070,554,770	714,324,872	267,216,040	2,052,095,682
Credit risk exposures relating to off-balance sheet assets:				
Loan commitments and other credit related facilities	83,208,230	9,163,319	-	92,371,549
September 30, 2021	$ 1,153,763,000	723,488,191	267,216,040	2,144,467,231

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.7 Concentration of risk of financial assets with credit risk exposure *(cont'd)*

(a) Geographical concentration of assets and off-balance sheet items (cont'd)

		Antigua and Barbuda	Other Caribbean	Non-Caribbean	Total
2020:					
Credit risk exposures relating to on-balance sheet assets:					
Cash and balances with the Central Bank	$	-	133,128,669	-	133,128,669
Due from other banks		3,011,218	41,301,145	140,219,005	184,531,368
Statutory deposits		6,869,059	-	-	6,869,059
Treasury bills		32,035,649	63,658,502	-	95,694,151
Investment Securities:					
Amortised cost		1,552,705	41,204,216	21,626,041	4,382,962
FVTPL		-	-	41,547,461	41,547,461
Loans and advances		655,915,711	2,662,448	587,221	659,165,380
Other assets		19,713,991	-	-	19,713,991
		719,098,333	281,954,980	203,979,728	1,205,033,041
Credit risk exposures relating to off-balance sheet assets:					
Loan commitments and other credit related facilities		57,600,939	-	-	57,600,939
September 30, 2020	$	776,699,272	281,954,980	203,979,728	1,262,633,980

5. Financial instrument risk *(cont'd)*

5.1 Credit risk *(cont'd)*

5.1.7 Concentration of risk of financial assets with credit risk exposure *(cont'd)*

(b) Industry risk concentration of assets and off-balance sheet items

The following table breaks down the Group's credit exposure at carrying amounts (without taking into account any collateral held or other credit support), as categorised by the industry sectors of the Group's counterparties.

	Gross Maximum Exposure	Gross Maximum Exposure
	2021	**2020**
	$	**$**
Residential mortgages	327,897	53,250
Commercial	169,296	67,189
Distribution	125,551	115,799
Professional and other	95,248	291,826
Finance and insurance	620,155	292,713
Utilities	36,778	12,604
Manufacturing	17,140	3,129
Transport	34,447	47,390
Construction	143,038	31,881
Tourism/entertaining/catering	93,813	105,166
Public administration	236,979	172,578
Agriculture/fisheries	1,077	400,785
	1,901,419	1,594,310

5. Financial instrument risk *(cont'd)*

5.2 Market risk

The Group takes on exposure to market risk, which is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk arises from open positions in interest rate, currency and equity products, all of which are exposed to general and specific market movements and changes in the level of volatility of market rates or prices such as interest rates, credit spreads, foreign exchange rates and equity prices.

Non trading portfolio market risks primarily arise from the interest rate management of the entity's retail and commercial banking assets and liabilities. Non-trading portfolio market risks also include foreign exchange risks and risks associated with the change in equity prices arising from the Group's FVOCI investment securities.

5.2.1 Price risk

The Group's investment portfolio includes securities that are quoted on the Eastern Caribbean Securities Exchange. The Group is exposed to equities price risk because of investments held and classified on the statement of financial position as FVOCI. To manage this price risk arising from investments in equity securities, the Group diversifies its portfolio. The Group does not hold securities that are quoted on the world's major securities markets.

5.2.2 Interest rate risk

Cash flow interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Fair value interest rate risk is the risk that the value of a financial instrument will fluctuate because of changes in market interest rates. The Group takes on exposure to the effects of fluctuations in the prevailing level of market interest rates on both its fair value and cash flow risks. Interest margins may increase as a result of such changes but may reduce losses in the event unexpected movements arise. The Board of Directors sets limits on the level of mismatch of interest rate repricing that may be undertaken, which is monitored by the ALCO Committee.

The following table summarises the Group's exposure to interest rate risks. It includes the Group's financial instruments at carrying amounts, categorised by the earlier of contractual repricing or maturity dates.

The management of interest rate risk against interest rate gap limits is supplemented by monitoring the sensitivity of the Group's financial assets and financial liabilities to various standard and non-standard interest rate scenarios.

5. Financial instrument risk *(cont'd)*

5.2 Market risk *(cont'd)*

5.2.2 Interest rate risk *(cont'd)*

	Up to 1 year $	1-5 Years $	Over 5 years $	Non-interest bearing $	Total $
As at September 30, 2021					
Assets					
Cash and balances with the Central Bank	-	-	-	488,442,651	488,442,651
Statutory deposits	-	-	-	7,224,550	7,224,550
Due from other banks	77,603,495	801,900	-	208,190,935	286,596,330
Treasury bills	96,747,962	2,000,000	-	486,473	99,234,435
Investment securities:					
Amortised cost	46,124,888	18,317,043	372,768	-	64,814,699
FVTPL	40,624,421	7,688,609	-	-	48,313,030
Loans and advances	70,650,259	111,170,979	829,774,942	1,390,190	1,012,986,370
Other assets	-	2,144,368	-	42,339,249	44,483,617
Total financial assets	**331,751,025**	**142,122,899**	**830,147,710**	**748,074,048**	**2,052,095,682**
Liabilities					
Deposits due to customers	1,400,838,671	95,831,497	66,123,709	256,409,721	1,819,203,598
Other liabilities and accrued expenses	588,157	1,557,796	-	45,264,311	47,410,264
Total financial liabilities	**1,401,426,828**	**97,389,293**	**66,123,709**	**301,674,032**	**1,866,613,862**
Total interest repricing gap	**(1,069,675,803)**	**44,733,606**	**764,024,001**	**446,400,016**	**185,481,820**

5. Financial instrument risk *(cont'd)*

5.2 Market risk *(cont'd)*

5.2.2 Interest rate risk *(cont'd)*

	Up to 1 year $	1-5 Years $	Over 5 years $	Non-interest bearing $	Total $
As at September 30, 2020					
Assets					
Cash and balances with the Central Bank	-	-	-	133,128,669	133,128,669
Statutory deposits	-	-	-	6,869,059	6,869,059
Due from other banks	101,805,683	60,511,400	-	22,214,285	184,531,368
Due from parent company					
Treasury bills	95,694,151	-	-	-	95,694,151
Investment securities:					
Amortised cost	35,055,213	17,982,979	-	11,344,770	64,382,962
FVTPL	10,919,408	18,462,261	-	12,165,792	41,547,461
Loans and advances	62,856,138	71,402,024	523,207,707	1,699,511	659,165,380
Other assets	-	4,631,768	-	15,082,223	19,713,991
Total financial assets	**306,330,593**	**172,990,432**	**523,207,707**	**202,504,309**	**1,205,033,041**
Liabilities					
Deposits due to customers	835,906,137	132,124,464	62,389,687	3,266,871	1,033,687,159
Other liabilities and accrued expenses	502,646	-	1,408,917	17,383,834	19,295,397
Total financial liabilities	**836,408,783**	**132,124,464**	**63,798,604**	**20,650,705**	**1,052,982,556**
Total interest repricing gap	**(530,078,190)**	**40,865,968**	**459,409,103**	**181,853,604**	**152,050,485**

5. Financial instrument risk *(cont'd)*

5.2 Market risk *(cont'd)*

5.2.3 Foreign exchange risk

The Group takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The ALCO sets limits on the level of exposure by currency and in total for both overnight and intra-day positions, which are monitored daily. The Group's exposure to currency risk is minimal since most of its assets and liabilities in foreign currencies are held in United States dollars. The exchange rate of the Eastern Caribbean dollar (EC$) to the United States dollar (US$) has been formally pegged at EC$2.70 = US$1.00 since 1974. The following table summarises the Group's exposure to foreign currency exchange rate risk.

5. Financial instrument risk *(cont'd)*

5.2 Market risk *(cont'd)*

5.2.3 Foreign exchange risk *(cont'd)*

		XCD	USD	EUR	GBP	Others	Total
As of September 30, 2021							
Assets							
Cash and balances with the Central Bank	$	487,445,237	799,187	94,313	50,818	53,096	488,442,651
Statutory deposits		7,224,550	-	-	-	-	7,224,550
Deposits from other banks		47,241,726	239,028,383	99,708	65,796	160,717	286,596,330
Treasury bills		99,234,435	-	-	-	-	99,234,435
Investment securities:							
Amortised cost		26,011,917	38,802,782	-	-	-	64,814,699
FVTPL		11,289,075	37,023,955	-	-	-	48,313,030
Loans and advances		971,582,375	41,403,995	-	-	-	1,012,986,370
Other assets		44,483,617	-	-	-	-	44,483,617
Total financial assets	$	1,694,512,932	357,058,302	194,021	116,614	213,813	2,052,095,682
Liabilities							
Deposits due to customers	$	1,740,449,474	78,754,124	-	-	-	1,819,203,598
Provisions and other liabilities		47,410,264	-	-	-	-	47,410,264
Total financial liabilities	$	1,787,859,738	78,754,124	-	-	-	1,866,613,862
Net on-balance sheet position	$	(93,346,806)	278,304,178	194,021	116,614	213,813	185,481,820

5. Financial instrument risk *(cont'd)*

5.2 Market risk *(cont'd)*

5.2.3 Foreign exchange risk *(cont'd)*

		XCD	USD	EUR	GBP	Others	Total
As of September 30, 2020							
Assets							
Cash and balances with the Central Bank	$	132,663,085	287,345	72,404	56,334	49,501	133,128,669
Statutory deposits		6,869,059	-	-	-	-	6,869,059
Deposits from other banks		30,320,700	154,019,198	35,892	33,089	122,489	184,531,368
Treasury bills		95,694,151	-	-	-	-	95,694,151
Investment securities:							
Amortised cost		20,425,311	43,957,651	-	-	-	64,382,962
FVTPL		-	41,547,461	-	-	-	41,547,461
Loans and advances		618,678,120	40,487,260	-	-	-	659,165,380
Other assets		19,713,991	-	-	-	-	19,713,991
Total financial assets	$	924,364,417	280,298,915	108,296	89,423	171,990	1,205,033,041
Liabilities							
Deposits due to customers	$	979,214,083	54,473,076	-	-	-	1,033,687,159
Provisions and other liabilities		19,295,397	-	-	-	-	19,295,397
Total financial liabilities	$	998,509,480	54,473,076	-	-	-	1,052,982,556
Net on-balance sheet position	$	(74,145,063)	225,825,839	108,296	89,423	171,990	152,050,485

5. Financial instrument risk *(cont'd)*

5.3 Liquidity risk

Liquidity risk is the risk that the Group is unable to meet its obligations associated with its financial liabilities when they fall due as a result of customer deposits being withdrawn, cash requirements from contractual commitments, or other cash outflows, such as debt maturities or margin calls for derivatives. Such outflows would deplete available cash resources for client lending, trading activities and investments. In extreme circumstances, lack of liquidity could result in reductions in the statement of financial position and sales of assets, or potentially an inability to fulfil lending commitments. The risk that the Group will be unable to do so is inherent in all banking operations and can be affected by a range of institution-specific and market-wide events including, but not limited to, credit events, merger and acquisition activity, systemic shocks and natural disasters.

The Group is exposed to daily calls on its available cash resources from overnight deposits, current accounts and maturing deposits. Management sets limits on the minimum proportion of maturing funds available to meet such calls and on the minimum level of inter-bank and other borrowing facilities that should be in place to cover withdrawals at unexpected levels of demand.

The maturities of assets and liabilities and the ability to replace, at an acceptable cost, interest-bearing liabilities as they mature are important factors in assessing the liquidity of the Group and its exposure to changes in interest rates and exchange rates.

Liquidity risk management process

The Group's liquidity risk management processes are carried out by the Group's senior management and monitored by the finance team and include the following:

- Day-to-day funding managed by monitoring future cash flows to ensure that requirements can be met. This includes replenishment of funds as they mature or are borrowed by customers. The Group maintains an active presence in regional markets to enable this to happen;

- Maintaining the liquidity ratios of the statement of financial position against internal and regulatory requirements; and

- Managing the concentration and profile of debt maturities.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets.

5. Financial instrument risk *(cont'd)*

5.3 Liquidity risk *(cont'd)*

Funding approach

Sources of liquidity are regularly reviewed by management and the Board of Directors in order to maintain a wide diversification by currency, geography, provider, product and term.

Assets held for management of liquidity risk

The Group's assets held for managing liquidity risk comprise:

- Cash and balances with other banks;
- Unimpaired loans and advances;
- Certificates of deposit;
- Treasury and other eligible bills; and
- Government bonds and other securities that are readily acceptable in repurchase agreements with central banks.

In the normal course of business, a proportion of customers' loans contractually repayable in one year will be extended. In addition, debt securities and treasury and other eligible bills can be pledged to secure liabilities. The Group would also be able to meet unexpected net cash requirements by selling securities. The Group can also access alternative funds for short-term borrowing needs via the Inter-bank market, lines of credit with international banks and repurchase agreements.

5. Financial Instrument risk *(cont'd)*

5.3 Liquidity risk *(cont'd)*

Non-derivative financial liabilities and assets held for managing liquidity risk

The table below presents the cash flows payable by and payable to the Group with respect to non-derivative financial liabilities and assets held for managing liquidity risk by remaining contractual maturities at the reporting date. The amounts disclosed in the table are the contractual undiscounted cash flows, whereas the Group manages liquidity risk based on a different basis (see Liquidity risk management process), not resulting in a significantly different analysis.

		0 – 3 months	3 – 6 months	6 – 12 months	1 – 5 years	Over 5 years	Total
As at September 30, 2021							
Liabilities							
Deposits due to customers	$	1,461,791,643	97,989,542	97,036,985	99,000,564	66,123,809	1,821,942,543
Other liabilities and accrued expenses		-	-	630,731	46,779,533	-	47,410,264
Total liabilities (contractual maturity dates)	$	1,461,791,643	97,989,542	97,667,716	145,780,097	66,123,809	1,869,352,807
Assets held for managing liquidity risk	$	321,655,219	103,310,213	140,853,563	1,956,622,804	250,903,763	2,773,345,562
As at September 30, 2020							
Liabilities							
Deposits due to customers	$	744,785,590	39,266,239	54,539,676	135,552,896	62,389,780	1,036,534,181
Other liabilities and accrued expenses		-	-	544,041	18,751,356	-	19,295,397
Total liabilities (contractual maturity dates)	$	744,785,590	39,266,239	55,083,717	154,304,252	62,389,780	1,055,829,578
Assets held for managing liquidity risk	$	231,741,578	49,191,301	64,323,137	749,109,895	207,163,520	1,301,529,431

5. Financial instrument risk *(cont'd)*

5.4 Fair value

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

The table below summarises the carrying amounts and fair values of the Group's financial assets and liabilities:

	Carrying value		Fair value	
	2021	2020	2021	2020
Financial Assets				
Statutory deposits	$ 7,224,550	6,869,059	7,224,550	6,869,059
Treasury bills	99,234,435	95,694,151	99,234,435	95,694,151
Due from other banks	286,596,330	184,531,368	286,596,330	184,531,368
Loans and advances	1,012,986,370	659,165,380	1,054,643,976	683,664,151
Investment securities	170,147,641	153,813,115	169,846,877	153,683,154
Other assets	44,483,617	19,713,991	44,483,937	19,714,310
	$ 1,620,672,943	1,119,787,064	1,662,030,105	1,144,156,193
Financial Liabilities				
Deposits due to customers	$ 1,819,203,598	1,033,687,159	1,818,514,053	1,030,889,121
Other liabilities and accrued expenses	47,410,264	19,295,397	47,410,264	19,295,397
	$ 1,866,613,862	1,052,982,556	1,865,924,317	1,050,184,518

COVID-19: Valuation of financial instruments

Given market volatility during the year, the Group reviewed the appropriateness of the inputs to its fair values. As a result and as part of the process to determine fair values of financial instruments since the onset of the pandemic, the Group has applied a heightened level of judgement to a broader population of financial instruments than would otherwise generally be required with the objective of determining the fair value that is most representative of those financial instruments.

The following methods and assumptions have been used to estimate the fair value of each class of financial instrument for which it is practical to estimate a value:

- *Short-term financial assets and liabilities*
  The carrying value of these assets and liabilities is a reasonable estimate of their fair value because of the short maturity of these instruments. Short-term financial assets are comprised of cash resources and short term investments, fixed deposits, interest receivable, and other assets. Short-term financial liabilities are comprised of demand deposits, interest payable and certain other liabilities.

- *Loans and advances to customers*
  Loans and advances are net of allowance for impairment. The estimated fair value of loans and advances represents the discounted amount of estimated future cash flows expected to be received. Expected cash flows are discounted at current market rates to determine fair value. Except for the staff loans, the interest rates on all other loans reflect the market rates, hence the carrying values generally approximate the fair values.

5. Financial instrument risk *(cont'd)*

5.4 Fair value *(cont'd)*

- *Deposits from banks and due to customers*
  The estimated fair value of deposits with no stated maturity, which include non-interest-bearing deposits, is the amount repayable on demand.

  The estimated fair value of fixed-interest-bearing deposits not quoted in an active market is based on discounted cash flows using interest rates for new debts with similar remaining maturity. The interest rates on these financial liabilities reflect the market interest rates, hence the carrying values generally approximate the fair values.

- *Investment securities*
  The fair value for loans and receivables is based on market prices or broker/dealer price quotations. Where this information is not available, fair value is based on cost less any impairment recognised.

5.4.1 Fair value hierarchy

IFRS 7 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; and unobservable inputs reflect the Group's market assumptions. These two types of inputs have created the following fair value hierarchy:

- Level 1 - Inputs that are quoted market prices (unadjusted) in active markets for identical instruments. This level includes listed equity securities and debt instruments on exchanges.

- Level 2 - Inputs other than quoted prices included within Level 1 that are observable either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques in which all significant inputs are directly or indirectly observable from market data.

- Level 3 - Inputs that are unobservable (not based on observable market data). This category includes all instruments for which the valuation technique includes inputs that are not observable, and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments for which significant unobservable adjustments or assumptions are required to reflect differences between instruments.

5. Financial instrument risk *(cont'd)*

5.4 Fair value *(cont'd)*

5.4.1 Fair value hierarchy *(cont'd)*

The hierarchy requires the use of observable market data when available. The Group considers relevant and observable market prices in its valuations where possible.

	Level 1	Level 2	Level 3	Total
	$	$	$	$
As at September 30, 2021				
Financial Assets				
Investment Securities:				
FVTPL	53,476,666	11,289,075	-	64,765,741
FVOCI – quoted	-	9,048,545	-	9,048,545
FVOCI – unquoted	-	-	31,518,656	31,518,656
Total Assets	53,476,666	20,337,620	31,518,656	105,332,942

	Level 1	Level 2	Level 3	Total
	$	$	$	$
As at September 30, 2020				
Financial Assets				
Investment Securities:				
FVTPL	53,059,972	-	-	53,059,972
FVOCI – quoted	-	9,357,431	-	9,357,431
FVOCI – unquoted	-	-	27,012,750	27,012,750
Total Assets	53,059,972	9,357,431	27,012,750	89,430,153

If the market price on the FVOCI Level 2 investments were to change by +/- 10%, the impact on other comprehensive income would be an increase/decrease of $904,854 (2020: $935,743).

There were no movements in or out of Level 3 during the period (2020: nil).

Level 3 fair value measurements
Unobservable inputs used in measuring fair values

Valuation technique	Significant unobservable inputs	Inter-relationship between key unobservable inputs and fair value measurement
Asset based approach with discounts applied where prudent, with subsequent consideration of the Bank's shareholding	Net assets	The estimated fair value would increase/(decrease) if: Net assets were higher/(lower)
	Shareholding percentage	Shareholding increases/(decreases)

5. Financial instrument risk *(cont'd)*

5.4 Fair value *(cont'd)*

5.4.2 Financial instruments not measured at fair value

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised.

September 30, 2021 **$'000**		**Level 2**	**Total fair values**	**Total carrying amount**
Assets				
Cash and balances with the Central Bank	$	488,443	488,443	488,443
Due from other banks		286,597	286,597	286,597
Treasury bills		99,234	99,234	99,234
Loans and advances		1,054,644	1,054,644	1,012,986
Amortised cost investment securities		64,815	64,815	64,815
Liabilities				
Deposits due to customers	$	1,818,514	1,818,514	1,819,203

September 30, 2020 **$'000**		**Level 2**	**Total fair values**	**Total carrying amount**
Assets				
Cash and balances with the Central Bank	$	133,129	133,129	133,129
Due from other banks		184,531	184,531	184,531
Treasury bills		95,694	95,694	95,694
Loans and advances		683,664	683,664	659,165
Amortised cost investment securities		64,383	64,383	64,383
Liabilities				
Deposits due to customers	$	1,030,889	1,030,889	1,033,687

5. Financial instrument risk *(cont'd)*

5.5 Financial assets and liabilities by category

The table below analyses the Group's financial assets and liabilities by category. For financial assets carried at amortised cost, the values below exclude accrued interest receivable where relevant.

	Amortised cost	FVTPL	FVOCI	Total
	$	$	$	$
As of September 30, 2021				
Assets				
Due from banks and other financial institutions	774,048,556	-	-	774,048,556
Investment securities	63,789,646	64,765,741	41,069,434	169,624,821
Loans and advances	997,772,162	-	-	997,772,162
Other financial assets	39,812,231	-	-	39,812,231
Treasury bills	98,062,082	-	-	98,062,082
Total financial assets	1,973,484,677	64,765,741	41,069,434	2,079,319,852

	Financial Liabilities at amortised cost	Total
Liabilities		
Deposits due to customers	$ 1,813,808,294	1,813,808,294
Other liabilities and accrued expenses	47,410,264	47,410,264
Total financial liabilities	$ 1,861,218,558	1,861,218,558

	Amortised cost	FVTPL	FVOCI	Total
	$	$	$	$
As of September 30, 2020				
Assets				
Due from banks and other financial institutions	316,722,973	-	-	316,722,973
Investment securities	67,771,432	53,059,972	36,370,181	157,201,585
Loans and advances	642,605,218	-	-	642,605,218
Other financial assets	19,713,991	-	-	19,713,991
Treasury bills	94,589,960	-	-	94,589,960
Total financial assets	1,141,403,574	53,059,972	36,370,181	1,230,833,727

5. Financial instrument risk *(cont'd)*

5.5 Financial assets and liabilities by category *(cont'd)*

		Financial Liabilities at amortised cost	Total
Liabilities			
Deposits due to customers	$	1,029,632,699	1,029,632,699
Other liabilities and accrued expenses		3,705,369	3,705,369
Total financial liabilities	$	1,033,338,068	1,033,338,068

5.6 Operational risk

'Operational risk' is the risk of direct or indirect loss arising from a wide variety of causes associated with the Group's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks – e.g. those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risks arise from all of the Group's operations.

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the Group's reputation with overall cost effectiveness and innovation. In all cases, Group policy requires compliance with all applicable legal and regulatory requirements.

The Board of Directors has created a Governance and Executive Committee, which is responsible for the development and implementation of controls to address operational risk. This responsibility is supported by the development of overall Group standards for the management of operational risk in the following areas:

– requirements for appropriate segregation of duties, including the independent authorisation of transactions;

– requirements for the reconciliation and monitoring of transactions;

– compliance with regulatory and other legal requirements;

– documentation of controls and procedures;

– requirements for the periodic assessment of operational risks faced, and the adequacy of controls and procedures to address the risks identified;

– requirements for the reporting of operational losses and proposed remedial action;

– development of contingency plans;

– training and professional development;

– ethical and business standards;

– information technology and cyber risks; and

– risk mitigation, including insurance where this is cost-effective.

Compliance with Group standards is supported by a programme of periodic reviews undertaken by Internal Audit. The results of Internal Audit reviews are discussed with the Audit Committee.

6. Capital management policies and procedures

The Group's objectives when managing capital, which is a broader concept than the 'equity' on the face of the statement of financial position, are:

- To comply with the capital requirements set by its regulator - the Eastern Caribbean Central Bank;
- To safeguard the Group's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored quarterly by the Group's management, employing techniques based on the guidelines developed by the Basel Committee and as implemented by the Group's management for supervisory purposes. The required information is filed with the Eastern Caribbean Central Bank (ECCB) quarterly.

The regulatory capital requirements are strictly observed when managing economic capital. The Group's regulatory capital is managed by senior management and comprises two tiers:

- Tier 1 capital: share capital (net of any book values of treasury shares), general bank reserves, statutory reserve, non-controlling interests arising on consolidation from interests in permanent shareholders' equity, retained earnings and reserves created by appropriations of retained earnings. The book value of goodwill (if applicable) is deducted in arriving at Tier 1 capital; and
- Tier 2 capital: qualifying subordinated loan capital, collective impairment allowances and unrealised gains arising on the fair valuation of equity instruments held as FVOCI.

Investments in associates (of which there are none) are deducted from Tier 1 and Tier 2 capital to arrive at the regulatory capital.

6. Capital management policies and procedures *(cont'd)*

The table below summarises the composition of regulatory capital and the ratios of the Group for the years ended September 30, 2021 and 2020. During those two years, the Group complied with all of the externally imposed capital requirements to which they are subject.

		2021	2020
Tier 1 capital			
Stated capital (net of treasury shares)	$	36,000,000	36,000,000
Statutory reserve		30,171,043	26,059,962
Capital reserves		7,461,949	7,461,949
Retained earnings		149,888,302	105,550,590
Total qualifying Tier 1 capital	$	223,521,294	175,072,501
Tier 2 capital			
Revaluation reserve: FVOCI investments	$	24,739,503	22,572,436
Reserves for loan loss		22,761,965	21,181,515
Total qualifying Tier 2 capital	$	47,501,468	43,753,951
Total regulatory capital	$	271,022,762	218,826,452
Risk-weighted assets:			
On-balance sheet	$	1,174,864,000	773,315,000
Off-balance sheet		92,371,549	57,600,939
Total risk-weighted assets	$	1,267,235,549	830,915,939
Basel ratio		21.39%	26.3%
Mandatory minimum		8%	8%

Capital adequacy and the use of regulatory capital for the mortgage company are managed based on the following.

The Financial Institutions (Non-Banking) Act requires a reserve fund into which no less than ten per cent of the net profit of the institution after deduction of taxes shall be transferred each year until the amount standing to the credit of the reserve fund is equal at least to the paid up capital of that institution. There are no further capital and reserve requirements by the regulators and no external monitoring of the capital base is conducted. The subsidiary, ACB Mortgage and Trust Company Limited was compliant with these requirements as of September 30, 2021 and September 30, 2020.

In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt.

7. Significant management judgement in applying accounting policies and estimation uncertainty

When preparing consolidated financial statements, management makes a number of judgements, estimates and assumptions about the recognition and measurement of assets, liabilities, income and expenses.

Judgements made by management in the application of IFRS and information about estimates and assumptions that have the most significant effect on the recognition and measurement of assets, liabilities, income and expenses, and estimation uncertainties that have a significant risk of resulting in a material adjustment in these consolidated financial statements is provided below. Actual results may be substantially different.

COVID-19: Impact on Use of Estimates and Judgements

COVID-19, a global pandemic, has materially impacted and continues to materially impact the markets in which the Group operates. Governments around the world imposed a number of measures designed to contain the outbreak, including business closures, travel restrictions, quarantines and cancellations of gatherings and events. These measures have caused increased volatility and uncertainty in financial markets. This has given rise to heightened uncertainty as it relates to the key areas of estimation uncertainty. The Group has utilized estimates, assumptions and judgments that reflect this uncertainty. While management makes its best estimates and assumptions, given the dynamic and evolving nature of COVID-19 and limited recent experience of the economic and financial impacts of such a pandemic, the actual outcomes for the Group in the future may differ from assumptions that have been applied in the measurement of the Group's assets and liabilities.

The Group has taken into account the impact of COVID-19 and related market volatility in preparing these consolidated financial statements. While the methodologies and assumptions applied in the measurement of various items within the consolidated financial statements remain unchanged from those applied in the 2020 consolidated financial statements, the impact of COVID-19 has resulted in the application of further judgement and the incorporation of estimates and assumptions specific to the impact of COVID-19. Principally this has resulted in updates to the Group's economic assumptions used in determining expected credit losses (ECL).

(a) *Impairment losses on loans and advances*

The measurement of the expected credit loss allowance for financial assets measured at amortised cost and FVOCI is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e.g. the likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation techniques used in measuring ECL is detailed in note 4.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- The Group's criteria for determining if there has been a significant increase in credit risk and hence whether impairment allowances for financial assets should be measured on a lifetime expected credit loss (ECL) basis
- Choosing appropriate models and assumptions for the measurement of expected credit losses, including post model adjustments
- Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on PDs, EADs and LGDs
- Establishing the number and relative weightings of forward-looking macroeconomic scenarios for each type of product or market and the associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL.

7. Significant management judgement in applying accounting policies and estimation uncertainty *(cont'd)*

(a) *Impairment losses on loans and advances (cont'd)*
Incorporation of forward-looking information

The Group incorporates forward-looking information into the measurement of expected credit losses (ECL) through a scorecard model. The model is applied for each segment of the portfolio: Personal Loans, Commercial Loans, Mortgages, Overdrafts and Credit Cards. The adjustment for forward looking information is determined based on the Group's outlook related to multiple economic factors. For each segment, the Group assigned weightings to macroeconomic factors to indicate their relative significance to the portfolio segment.

The Group applied experienced judgment to select macroeconomic factors that would most likely impact credit risk. The Group leveraged the 2020 IMF's country report on the Eastern Caribbean Currency Union and Caribbean Development Bank's 2020 economic outlook on Antigua and Barbuda to provide macroeconomic projections on the following factors:

- GDP
- Inflation
- Unemployment Rate
- Lending rates

The adjustment of forward-looking information is estimated after considering various outlooks on the macro-economic factors (negative, positive, neutral), expressed as a percentage from 0 to 100, representing the impact of the outlook on credit risk. For a neutral or stable outlook, the factor is 0%. Negative outlooks will have a factor of 20% (increase to the ECL estimate, reflecting an adverse economic outlook) and positive outlooks will have a factor of -20% (decrease to the ECL estimate, reflecting a more favorable economic environment).

The Group estimates the macroeconomic outlook over a twelve-month forecast period. Where forecasts were not available, a zero change was applied. The table below lists the macroeconomic assumptions used (NA* – forecast data was not available at the reporting date):

	2021				2020			
	GDP Change	Inflation Rate	Lending Rates	Unemployment Rate	GDP Change	Inflation Rate	Lending Rates	Unemployment Rate
As 30 September								
Economic assumptions	0.97%	2.045%	8.62%	14.1%	2.5%	2.008%	8.62%	NA*

The forward looking information factor is applied to the historical PD ranges, in order to ensure that final point in time PD estimates are within the range of the historical PD distribution for the segment. The Group monitors the relevance of the model assumptions and data including macroeconomic factor weights and expected trends on an on-going basis.

7. Significant management judgement in applying accounting policies and estimation uncertainty *(cont'd)*

(b) *Classification of financial assets*
Assessment of the business model within which the assets are held and assessment of whether the contractual terms of the financial asset are SPPI on the principal amount outstanding.

(c) *Estimate of pension benefits*
The present value of the pension obligation depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost (income) for pensions include the discount rate. Any changes in these assumptions will impact the carrying amount of pension obligations.

The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. In determining the appropriate discount rate, the Group considers the interest rates of Government bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating the terms of the related pension liability. Other key assumptions for pension obligations are based in part on current market conditions. Additional information is disclosed in note 17.

(d) *Impairment of non-financial assets*
Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal is based on available data from binding sales transactions, conducted at arm's length for similar assets or observable market prices less incremental costs of disposing of the asset. The value in use calculation is based on a DCF model. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the future cash inflows.

(e) *Fair value of financial instruments*
Financial instruments where recorded current market transactions or observable market data are not available, are recorded at fair value using valuation techniques. Fair value is determined using a valuation model that has been tested against prices or inputs to actual market transactions and using the Group's best estimates of the most appropriate model assumptions.

(f) *Revaluation of land and buildings*
The Group measures its land and buildings at revalued amounts with changes in fair value being recognized in other comprehensive income. The Group engages independent valuation specialists to determine fair value of its land and buildings. The valuer uses judgment in the application of valuation techniques such as replacement cost and the market price of comparable properties, as applicable in each case.

(g) *Current and deferred taxes*
Significant judgment is required in determining the provision for income taxes including any liabilities for tax audit issues. There are some transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. In calculating the deferred tax asset, management uses judgment to determine the possibility that future taxable profits will be available to facilitate utilization of temporary tax differences which may arise.

8. Cash and balances with the Central Bank

	Note	2021	2020
Cash on hand		$ 26,906,979	8,852,859
Balances with the ECCB other than mandatory reserve deposits		362,125,578	72,531,664
Included in cash and cash equivalents	28	389,032,557	81,384,523
Mandatory reserve deposits with the ECCB		99,410,094	51,744,146
Total cash and balances with the Central Bank		$ 488,442,651	133,128,669

Commercial banks operating in member states of the Organization of the Eastern Caribbean States are required to maintain a reserve with the ECCB equivalent to 6% of their total deposit liabilities (excluding inter-bank deposits and foreign currencies). This reserve deposit is not available for use in the Group's day-to-day operations, and is non-interest bearing.

9. Due from other banks

	Note	2021	2020
Term deposits and operating accounts with other banks with original maturities of 3 months or less		$ 273,795,499	104,003,300
Items in the course of collection from other banks		11,983,339	14,744,957
Included in cash and cash equivalents	28	285,778,838	118,748,257
Term deposits and operating accounts with other banks with original maturities greater than 3 months		-	65,020,400
Less: Provision for expected credit loss		(174,353)	(174,353)
		285,604,485	183,594,304
Interest receivable		991,845	937,064
Total due from other banks		$ 286,596,330	184,531,368

The movement in expected credit losses is as follows:	2021	2020
Balance at the beginning of the year	174,353	99,889
Expected credit losses	-	74,464
Balance at the end of the year	$ 174,353	174,353

10. Treasury bills

	Note	Nominal Value 2021	Cost 2021	Nominal Value 2020	Cost 2020
Treasury bills at amortised cost- OECS Government with original maturities of 3 months or less and interest rates ranging from 3.5% to 7%		$ 35,676,000	35,218,844	30,676,000	30,296,720
Included in cash and cash equivalents	28	35,676,000	35,218,844	30,676,000	30,296,720
Treasury bills at amortised cost- OECS Government with original maturities of more than 3 months and interest rates ranging from 3% to 4.5%		63,749,617	63,324,450	65,249,617	64,762,197
Interest receivable		-	1,172,353	-	1,104,191
Total treasury bills - gross		$ 99,425,617	99,715,647	95,925,617	96,163,108
Less: Provision for expected credit losses		-	(481,212)	-	(468,957)
Total treasury bills – net		$ 99,425,617	99,234,435	95,925,617	95,694,151

	2021	2020
The movement in expected credit losses is as follows:		
Balance at the beginning of the year	$ 468,957	373,336
Expected credit losses	12,255	95,621
Balance at the end of the year	$ 481,212	468,957

11. Statutory deposit

	2021	2020
Statutory reserve deposit with the Government of Antigua and Barbuda	$ 7,224,550	6,869,059

A subsidiary company has placed a statutory deposit with the Government of Antigua and Barbuda equivalent to 2½% of its deposit liabilities. The statutory reserve deposit is a statutory requirement as per section 17(a) of the Financial Institutions (Non-Banking) Act, 1985. This reserve is non-interest bearing and is not available for the Group's day-to-day operations.

12. Loans and advances

		2021	2020
Mortgage loans	$	366,020,903	172,565,371
Commercial loans		458,900,144	394,928,080
Personal loans		175,199,821	61,509,140
Overdrafts		55,356,892	58,291,381
Other loans		108,550	1,699,306
		1,055,586,310	688,993,278
Less: Allowance for loan impairment		(57,814,048)	(46,388,060)
		997,772,262	642,605,218
Add:			
Interest receivable		19,268,237	18,747,315
Deferred interest income		(106,488)	(90,655)
Deferred fees		(3,947,641)	(2,096,498)
Total loans and advances	$	1,012,986,370	659,165,380

		2021	2020
Current	$	80,760,577	64,513,088
Non-current		932,225,793	594,652,292
	$	1,012,986,370	659,165,380

The provision for loan impairment shown in the statement of income of ($12,867,743) (2020: $22,609,895) is comprised as follows:

		2021	2020
Provision on loans and advances	$	496,029	22,333,373
Provision on off-balance sheet commitments (1)		3,021,152	276,522
Provision on loans acquired - no longer required		(16,384,924)	-
Balance, end of year	$	(12,867,743)	22,609,895

(1) This change in provision of $3,021,152 (2020: $276,522) on loan commitments is shown in note 19, as part of 'Provisions'.

12. Loans and advances *(cont'd)*

According to the ECCB loan provisioning guidelines, the calculated allowance for loan impairment amounts to $36,569,964 (2020: $31,926,364). The gross carrying value of impaired loans at the year-end was $89,265,006 (2020: $64,944,879). Interest receivable on loans that would not be recognised under ECCB guidelines amounted to $4,833,136 (2020: $6,730,771) and is also included in the specific regulatory reserve (note 25).

12.1. Provision for impairment of loans and advances

The allowance account for losses on loans and advances by stage is as follows:

	For the year ended September 30, 2021 Allowance for Credit Losses			
	Performing		Impaired	
	Stage 1	Stage 2	Stage 3	Total
	$	$	$	$
Balance at end of period	8,331,648	3,426,402	46,055,998	57,814,048

	For the year ended September 30, 2020 Allowance for Credit Losses			
	Performing		Impaired	
	Stage 1	Stage 2	Stage 3	Total
	$	$	$	$
Balance at end of period	6,203,965	8,070,934	32,113,161	46,388,060

12. Loans and advances *(cont'd)*

12.1. Provision for impairment of loans and advances (*cont'd*)

A breakdown of the staging and the related ECLs for loans and advances is illustrated below:

	Personal $	Commercial $	Mortgages $	Total $
September 30, 2021				
Gross loans before provisions	195,358,129	494,207,278	366,020,903	1,055,586,310
Stage 1: 12 month ECL	(1,130,731)	(6,755,101)	(445,816)	(8,331,648)
Stage 2: Lifetime ECL	(132,909)	(3,163,816)	(129,677)	(3,426,402)
Stage 3: Credit Impaired Financial Assets: Lifetime ECL	(21,337,679)	(1,557,632)	(23,160,687)	(46,055,998)
	172,756,810	482,730,729	342,284,723	997,772,262

	Personal $	Commercial $	Mortgages $	Total $
September 30, 2020				
Gross loans before provisions	63,208,446	453,219,461	172,565,371	688,993,278
Stage 1: 12 month ECL	(672,380)	(5,178,648)	(352,937)	(6,203,965)
Stage 2: Lifetime ECL	(132,796)	(7,844,929)	(93,209)	(8,070,934)
Stage 3: Credit Impaired Financial Assets: Lifetime ECL	(2,455,992)	(29,578,519)	(78,650)	(32,113,161)
	59,947,278	410,617,365	172,040,575	642,605,218

13. Other assets

		2021	2020
Depositor Protection Trust	$	6,418,024	7,699,603
Merchant and card receivables		33,384,120	13,762,787
Prepayments		1,485,903	1,714,486
Miscellaneous receivables		6,957,660	191,732
Suspense accounts		(36,722)	1,534
Total other assets – gross		48,208,985	23,370,142
Less: provision for expected credit losses		(2,239,465)	(1,941,665)
Total other assets – net	$	45,969,520	21,428,477
Current	$	41,790,961	15,670,540
Non-current		4,178,559	5,757,937
	$	45,969,520	21,428,477

The amounts classified as Depositor Protection Trust represent amounts formerly held on deposit with ABI Bank Ltd. which were previously classified as Due from banks. The amounts are now held in a trust and will be repaid in line with an agreed payment schedule, scheduled to be completed by 2025 earning interest at a rate of 2% per annum. The principal payment scheduled for May 2021 was not received which resulted in an increased allowance for expected credit losses.

The amount due from the DPT is in Stage 3 at the reporting date, as it has become credit impaired due to the missed payment.

		2021	2020
The movement in expected credit losses is as follows:			
Balance at the beginning of the year	$	1,941,665	111,268
Expected credit losses		297,800	1,830,397
Balance at the end of the year	$	2,239,465	1,941,665

The amount classified as Merchant and card receivables represents funds due for merchants and card settlements from Caribbean Credit Card Corporation and Royal Bank of Canada. This amount is revolving on a constant basis based on the level of customer transactions and there are no specific payment terms, but the amounts are cleared on an ongoing basis.

14. Investment securities

	2021 $	2020 $
Securities measured at amortised cost		
Debt securities		
- Unlisted	30,944,609	25,467,200
- Listed	36,970,509	42,304,232
Interest receivable	1,025,051	692,715
Less: allowance for impairment	(4,125,470)	(4,081,185)
Total securities at amortised cost	64,814,699	64,382,962
Securities measured at fair value through OCI		
Equity securities		
- Unlisted	31,518,656	27,012,750
- Listed	9,048,545	9,357,431
Total equity securities	40,567,201	36,370,181
Total securities at fair value through OCI	40,567,201	36,370,181
Securities measured at fair value through P&L		
Equity securities		
- Listed	16,452,711	11,512,511
Total equity securities	16,452,711	11,512,511
Debt securities		
- Listed	48,313,030	41,547,461
Interest receivable	-	-
Total debt securities	48,313,030	41,547,461
Total securities at fair value through P&L	64,765,741	53,059,972
Total investment securities	170,147,641	153,813,115

All debt securities have fixed interest rates.

For investments in equity securities that are designated at FVOCI, this designation was made because the investments are expected to be held for the long term for strategic purposes.

None of these strategic investments were disposed of during the year ended September 30, 2021 (2020: nil), and there were no transfers of any cumulative gain or loss within equity relating to these investments (2020: nil). The change in fair value on these investments was $3,979,374 for the year ended September 30, 2021.

14. Investment securities *(cont'd)*

The movements in investment securities during the year are as follows:

	Fair value through OCI	Fair value through P & L	Amortised cost	Total
	$	$	$	$
At September 30, 2020	36,370,181	53,059,972	64,382,962	153,813,115
Additions	2,210,225	31,444,040	81,330,298	114,984,563
Reclassified to cash	-	(13,175,903)	-	(13,175,903)
Disposals (sales and redemptions)	-	(8,120,169)	(80,998,456)	(89,118,625)
Movement in accrued interest	-	-	(380,613)	(380,613)
Change in fair value	1,986,795	1,557,801	434,778	3,979,374
Movement in premium/discount	-	-	90,015	90,015
Allowance for expected credit losses	-	-	(44,285)	(44,285)
At September 30, 2021	40,567,201	64,765,741	64,814,699	170,147,641
At September 30, 2019	33,035,632	47,432,688	104,342,357	184,810,677
Additions	-	38,141,435	45,867,200	84,008,635
Reclassified to cash	-	(300,156)	-	(300,156)
Disposals (sales and redemptions)	(1)	(34,087,006)	(85,492,720)	(119,579,727)
Movement in accrued interest	-	(114,094)	(784,009)	(898,103)
Change in fair value	3,334,550	1,987,105	-	5,321,655
Movement in premium/discount	-	-	311,228	311,228
Allowance for expected credit losses	-	-	138,906	138,906
At September 30, 2020	36,370,181	53,059,972	64,382,962	153,813,115

14. Investment securities *(cont'd)*

The table below shows the credit quality and the maximum exposure to credit risk based on the Group's credit rating system and year end stage classification for investments.

	Stage 1 12 Month ECL	Stage 2 Lifetime ECL	Stage 3 Credit Impaired Financial Assets Lifetime ECL	Total
	$	$	$	$
September 30, 2021				
Gross exposure	64,940,169	-	4,000,000	68,940,169
ECL	(125,470)	-	(4,000,000)	(4,125,470)
Net exposure	64,814,699	-	-	64,814,699

	Stage 1 12 Month ECL	Stage 2 Lifetime ECL	Stage 3 Credit Impaired Financial Assets Lifetime ECL	Total
	$	$	$	$
September 30, 2020				
Gross exposure	64,464,147	-	4,000,000	68,464,147
ECL	(81,185)	-	(4,000,000)	(4,081,185)
Net exposure	64,382,962	-	-	64,382,962
ECL allowance as at September 30, 2020	619,337	-	4,000,000	4,619,337
ECL on new instruments issued during the year	288	-	-	288
Repayments and maturities	(494,155)	-	-	(494,155)
At September 30, 2021	125,470	-	4,000,000	4,125,470
ECL allowance as at October 1, 2018 under IFRS 9	220,091		4,000,000	4,220,091
ECL on new instruments issued during the year	1,075	-	-	1,075
Repayments and maturities	(139,981)	-	-	(139,981)
At September 30, 2020	81,185	-	4,000,000	4,081,185

15. Property and equipment

	Land	Buildings & building improvements	Furniture & fixtures	Equipment	Motor vehicles	Computer hardware	Computer software	Leasehold improvements	Work in progress	Total
At September 30, 2020										
Cost or valuation	$ 9,465,000	16,486,211	5,962,197	11,218,237	911,468	14,712,892	9,155,469	280,283	5,256,449	73,448,206
Accumulated depreciation	-	(470,200)	(5,663,153)	(9,274,146)	(682,131)	(13,715,406)	(8,754,320)	(149,547)	-	(38,708,903)
Net book amount	$ **9,465,000**	**16,016,011**	**299,044**	**1,944,091**	**229,337**	**997,486**	**401,149**	**130,736**	**5,256,449**	**34,739,303**
Year ended September 30, 2021										
Opening net book amount	$ 14,763,710	16,099,102	980,666	1,944,092	316,288	993,947	400,818	130,738	5,264,879	40,894,240
Additions	3,066,498	3,220,722	17,338	250,369	74,933	467,665	124,588	-	1,857,447	9,079,560
Disposals	-	-	(747,731)	-	(351,566)	(31,413)	-	-	-	(1,130,710)
Accumulated depreciation - disposals	-	-	595,509	-	351,566	5,336	-	-	-	952,411
Depreciation charge	-	(819,362)	(271,665)	(396,557)	(110,273)	(734,163)	(288,468)	(16,347)	-	(2,636,835)
Revaluation gain/loss	213,823	-	-	-	-	-	-	-	-	213,823
Adjustment to cost	8,439	-	-	-	-	-	-	-	-	8,439
Transfers	-	-	-	37,993	-	346,712	-	-	(384,705)	-
Closing net book amount	$ **18,052,470**	**18,500,462**	**574,117**	**1,835,897**	**280,948**	**1,048,084**	**236,938**	**114,391**	**6,737,621**	**47,380,928**
At September 30, 2021										
Cost or valuation	$ 18,052,470	20,106,631	16,685,982	11,484,249	701,083	15,495,860	9,280,069	280,284	6,737,621	98,824,249
Accumulated depreciation	-	(1,606,169)	(16,111,865)	(9,648,352)	(420,135)	(14,447,776)	(9,043,131)	(165,893)	-	(51,443,321)
Net book amount	$ **18,052,470**	**18,500,462**	**574,117**	**1,835,897**	**280,948**	**1,048,084**	**236,938**	**114,391**	**6,737,621**	**47,380,928**

The depreciation in the statement of income of 2,204,565 represents the amount from April 1, 2021 to September 30, 2021.

15. Property and equipment *(cont'd)*

	Land	Buildings & building improvements	Furniture and fixtures	Equipment	Motor vehicles	Computer hardware	Computer software	Leasehold improvements	Work in progress	Total
At September 30, 2019										
Cost or valuation	$ 9,465,000	15,609,745	5,912,171	11,095,634	785,878	14,512,765	8,992,765	280,283	4,320,392	70,974,633
Accumulated depreciation	-	-	(5,561,854)	(8,875,480)	(585,600)	(12,907,978)	(8,385,520)	(128,651)	-	(36,445,083)
Net book amount	$ 9,465,000	15,609,745	350,317	2,220,154	200,278	1,604,787	607,245	151,632	4,320,392	34,529,550
Year ended September 30, 2020										
Opening net book amount	$ 9,465,000	15,609,745	350,317	2,220,154	200,278	1,604,787	607,245	151,632	4,320,392	34,529,550
Additions	-	143,017	43,856	72,796	125,590	200,127	130,955	-	1,791,445	2,507,786
Disposals	-	-	-	(34,213)	(228,566)	-	-	-	-	(262,779)
Write-Back	-	-	-	-	228,566	-	-	-	-	228,566
Transfers	-	733,449	6,170	84,020	-	-	31,749	-	(855,388)	-
Property revaluation adjustment	-	-	-	-	-	-	-	-	-	-
Depreciation charge	-	(470,200)	(101,299)	(398,666)	(96,531)	(807,428)	(368,800)	(20,896)	-	(2,263,820)
Closing net book amount	$ 9,465,000	16,016,011	299,044	1,944,091	229,337	997,486	401,149	130,736	5,256,449	34,739,303
At September 30, 2020										
Cost or valuation	$ 9,465,000	16,486,211	5,962,197	11,218,237	911,468	14,712,892	9,155,469	280,283	5,256,449	73,448,206
Accumulated depreciation	-	(470,200)	(5,663,153)	(9,274,146)	(682,131)	(13,715,406)	(8,754,320)	(149,547)	-	(38,708,903)
Net book amount	$ 9,465,000	16,016,011	299,044	1,944,091	229,337	997,486	401,149	130,736	5,256,449	34,739,303

15. Property and equipment *(cont'd)*

Work in progress largely comprises of costs expended to improve on the Bank's Information Technology infrastructure, as well as preparation for the conversion of the Royal Bank of Canada's core banking systems.

As of September 30, 2019, all of the Group's land and buildings and improvements were revalued based on the appraisal performed by an independent firm of professional appraisers. The revaluation resulted in a gain amounting to $1,300,392 which was included in profit or loss. The remaining revaluation surplus of $585,000 was included within 'other reserves' in shareholders' equity (note 25).

The following is the historical cost carrying amount of land and buildings carried at revalued amounts as of September 30, 2021.

		Land	Buildings	Total
Cost	$	3,562,078	31,608,727	35,170,805
Accumulated depreciation		-	(15,646,051)	(15,646,051)
Net book value	$	3,562,078	15,962,676	19,524,754

The following is the historical cost carrying amount of land and buildings carried at revalued amounts as of September 30, 2020.

		Land	Buildings	Total
Cost	$	3,562,078	31,608,727	35,170,805
Accumulated depreciation		-	(15,646,051)	(15,646,051)
Net book value	$	3,562,078	15,962,676	19,524,754

The following is the analysis of property and equipment revaluation surplus as of September 30, 2019.

		Land	Buildings	Total
Net book value	$	8,880,000	14,295,736	23,175,736
Market value		(9,465,000)	(15,596,128)	(25,061,128)
Revaluation surplus	$	(585,000)	(1,300,392)	(1,885,392)

15. Property and equipment *(cont'd)*

Valuation techniques	Significant unobservable inputs	Inter-relationship between key unobservable inputs and fair value measurement
Income based approach: This is a method of estimating the present worth of the rights to future benefits to be derived from the ownership of a specific interest in a specific property under given market conditions. In property valuation, the future rights can be expressed as the right to receive an income from the property. The net income must then be capitalized at an appropriate rate to reflect the security of income, expectations of rental growth etc. The income method of valuation is considered most appropriate for income producing properties such as commercial premises.	• Net cash flows • Capitalization rate	The estimated fair value would increase/(decrease) if: • Net cash flows were higher/(lower) • Capitalization rates were lower/(higher)

16. Leases

The Group mainly leases office spaces used in its operations. Rental contracts for these leases are typically made for fixed periods but may have extension options.

With respect to any extension options, these are exercisable only by the Group and not by the lessors. The Group assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Group reassesses whether it is reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants and the leased assets may not be used as security for borrowing purposes.

The Group also leases ATM space for fixed periods. These leases are short-term in nature. The Group has elected not to recognise right-of-use assets and lease liabilities for these leases.

Set out below, are the carrying amounts of the Group's right-of-use assets and lease liabilities and the movements during the period:

	Right-of-Use Property $	Lease Liability $
Balance at October 1, 2020	516,351	518,599
Additions on acquisition of subsidiary	687,607	702,716
Depreciation expense	(539,453)	-
Interest expense	-	(4,616)
Transition on acquisition	116,673	-
Disposals	-	-
Principal payments	-	(431,617)
As at September 30, 2021	781,178	785,082

Additions to the right-of-use asset during the period were $687,607 (2020: $nil) arising from the acquisition of ACB Grenada Bank Ltd.

17. Pension plan

The Group sponsors pension and upon acquisition of RBTT Grenada Bank Ltd, now a post-employment benefits to permanent employees. The defined benefit pension plan provides pension benefits based on years of service, contributions and earnings at retirement. The assets of the plans are held in trustee administered funds. The Board of Trustees comprises trustees appointed by the Board of Directors and appointed by the employees. The funds of the scheme are invested solely under the control of the trustees and may be used only for the purposes of the scheme.

The Plans are valued every three years by an independent qualified actuary.

In respect of the defined benefit plans operated by the Group, the amounts recognised in the statement of financial position are as follows:

	2021		2020
	Pension	**Other Post Employment Benefit**	
Present value of funded obligations	(27,062,203)	(621,187)	(19,173,287)
Fair value of plan assets	36,629,498	-	26,302,191
Net asset – end of year	9,567,295	(621,187)	7,128,904

The movement in the fair value of plan assets over the year are as follows:

	Pension	**Other Post Employment Benefit**	**2020**
Fair value of plan assets - beginning of year	36,369,191	-	25,706,542
Contributions – employer and employee	841,567	-	803,345
Benefits paid	(2,494,626)	-	(1,287,928)
Plan administration expenses:	(107,280)	-	(68,057)
Adjustment	(4,728)	-	-
Actuarial gain (loss)	(223,560)	-	(634,209)
Interest on plan assets	2,248,934	-	1,782,498
Fair value of plan assets - end of year	36,629,498	-	26,302,191

17. Pension plan *(cont'd)*

The movement in the present value of funded obligations over the year are as follows:

	Pension	Other Post Employment Benefit	2020
Present value of funded obligations - beginning of year	29,109,287	1,005,000	18,144,779
Current service cost	977,790	46,200	727,519
Interest cost	1,742,400	47,926	1,275,983
Benefits paid	(2,494,626)	(11,092)	(1,287,928)
Actuarial (gain) loss	(2,272,648)	(466,848)	312,934
Present value of funded obligations - end of year	**27,062,203**	**621,186**	**19,173,287**

The movements in the net asset recognized in the statement of financial position are as follows:

	Pension	Other Post Employment Benefit	2020
Net asset - beginning of year	7,259,904	(1,005,000)	7,561,763
Net pension (expense) income included in the statement of income	(156,274)	(94,126)	114,757
Adjustment	(4,728)	-	-
Actuarial gains (losses) included in other comprehensive income	2,049,089	466,847	(947,143)
Contributions paid - employer	419,304	11,092	399,527
Net asset - end of year	9,567,295	(621,187)	7,128,904

The amounts recognized in the statement of income are as follows:

	Pension	Other Post Employment Benefit	2020
Current service cost	(109,426)	46,200	(323,700)
Net interest on the net defined benefit liability/asset	444,118	47,926	506,514
Plan administration expenses	(45,630)	-	(68,057)
Net amount recognized in the statement of income	289,062	94,126	114,757

17. Pension plan *(cont'd)*

The amounts recognized in other comprehensive income are as follows:

	Pension	Other Post Employment Benefit	2020
Actuarial gain/(loss) for the year – obligation	1,560,862	426,137	(312,934)
Actuarial gain/(loss) for the year – plan assets	488,226	40,711	(634,209)
Actuarial gain/(loss) recognized in other comprehensive income	2,049,088	466,848	(947,143)

The major categories of plan assets as a percentage of total plan assets are as follows:

	2021	2020
Cash and cash equivalents	51%	52%
Debt securities	7%	7%
Equity securities	26%	23%
Property	17%	18%

The pension plan assets include ordinary shares issued by the Bank with a value of $77,748 (2020: $77,748). Plan assets include deposits held with the Group with a fair value of $4,294,677 (2020: $3,091,546).

Amounts for the current period and previous four periods are as follows:

		2021	2020	2019	2018	2017
Plan assets		36,629,498	26,302,191	25,706,542	25,749,002	24,684,972
Defined benefit obligation	$	(27,683,390)	(19,173,287)	(18,144,779)	(17,639,500)	(16,433,180)
Surplus	$	8,946,108	7,128,904	7,561,763	8,109,502	8,251,792

Principal actuarial assumptions used for accounting purposes were as follows:

	2021	2020
Discount rate	7.0%	7.0%
Future promotional salary increases	3.5-4.5%	3.5%
Health care costs trend	5.0%	
Salary increases – pension	2.25%	

17. Pension plan *(cont'd)*

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions is:

Pension Plan:		
Impact of 1% decrease in discount rate	10,623,411	11,370,000
Impact of 1% increase in discount rate	4,548,753	8,870,000
Impact of 1% (2021 - 0.5%) decrease in rate of increase in future compensation	6,277,872	9,815,000
Impact of 1% (2021 - 0.5%) increase in rate of increase in future compensation	8,306,188	10,065,000
Impact of 1 year increase in life expectancy	26,756,465	10,066,000
Other post-employment plans:		
Impact of 1% decrease in discount rate	797,655	1,318,000
Impact of 1% increase in discount rate	494,084	781,000
Impact of 1% (2021 - 0.5%) decrease in rate of increase in future compensation	554,653	1,005,000
Impact of 1% (2021 - 0.5%) increase in rate of increase in future compensation	699,864	1,005,000
Impact of 1 year increase in life expectancy	639,888	1,055,000

The duration of the benefit obligation is a maximum of 13.5 years (2020: 13.5 years).

The above sensitivity analyses are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated.

When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the year) has been applied as when calculating the pension plan liability recognised within the statement of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous year.

18. Deposits due to customers

		2021	2020
Savings accounts	$	893,039,355	365,339,930
Time deposits		374,714,742	285,325,135
Current accounts		435,017,394	281,753,636
Other deposits		111,036,803	97,213,998
		1,813,808,294	1,029,632,699
Interest payable		5,395,304	4,054,460
Total deposits due to customers	$	1,819,203,598	1,033,687,159
Current	$	1,656,279,016	839,173,008
Non-current		162,924,582	194,514,151
	$	1,819,203,598	1,033,687,159

19. Provisions and other liabilities

		2021	2020
Trade payables and accrued expenses	$	31,392,592	11,940,152
Manager's cheques		5,027,009	3,705,369
Provisions (1)		5,148,109	1,742,240
Escrow accounts		2,907,743	1,408,917
Other sundry payables		4,056	3,883
Unpresented cheques		2,500,267	-
Miscellaneous payable		430,488	494,836
Total other liabilities and accrued expenses	$	47,410,264	19,295,397
Current	$	45,852,468	17,886,477
Non-current		1,557,796	1,408,920
	$	47,410,264	19,295,397

(1) Provisions relate to expected credit losses on loan commitments and financial guarantee contracts.

20. Dividends

During the year, a dividend in respect of the 2020 financial year end of $850,000 was recorded and paid (2020: $5,000,000 in respect of the 2019 financial year).

The dividend proposed in respect of the 2021 financial year end is $0.70 for each unit of paid up share capital, or EC$7,000,000 (2020: $0.085 or EC$850,000). The consolidated financial statements for the year ended September 30, 2021 do not reflect this proposed dividend which, if ratified, will be accounted for in equity as an appropriation of retained earnings in the year ending September 30, 2023.

21. Taxation

Income tax payable

		2021	2020
Income tax payable, beginning of year	$	1,335,016	3,826,505
Current tax expense		2,812,375	1,205,336
Under (over) accrual in prior years		79,158	(214,669)
Windfall tax		1,844,724	-
Payments made during the year		(2,354,239)	(3,482,156)
Net income tax payable, end of year	$	3,717,034	1,335,016

Income tax expense

		2021	2020
Profit before tax	$	57,048,027	2,475,417
Income tax expense at statutory rates	$	7,006,311	704,159
Effect of interest income not subject to tax		(784,119)	(1,185,574)
Effect of dividend income not subject to tax		(1,047,681)	(686,971)
Effect of untaxable income		54,836	(56,412)
Effect of deferred taxes		83,864	70,300
Prior year under (over) accrual		79,158	(214,669)
Windfall tax		1,844,724	-
Others		438,461	149,332
Non-deductible expenses		-	264,874
Actual income tax expense (credit)	$	7,675,554	(954,961)

The statutory tax rate for Antigua Commercial Bank is 25% (2020: 25%), ACB Mortgage and Trust is 20% (2020: 20%) and for ACB Grenada Bank Ltd. is 28%.

21. Taxation *(cont'd)*

Deferred tax liability (asset), net

		2021	2020
Balance, beginning of year	$	3,589,557	5,775,417
Current year release to deferred tax – profit		-	(109,730)
Current year release to deferred tax – equity		-	109,746
Charge (Credit) for the year		2,939,297	(1,945,628)
Deferred tax on the revaluation of FVOCI securities		(180,271)	(1,980)
Deferred tax on gain on bargain purchase		2,166,696	-
Balance due to acquisitions		1,973,000	-
Other		(469,921)	(1,482)
Actuarial gain (loss)		44,891	(236,786)
Balance, end of year	$	10,063,249	3,589,557

The components of the deferred tax liability (net of deferred tax assets) are as follows:

		2021	2020
Statutory loan loss reserve	$	6,655,749	6,825,850
Revaluation of FVOCI securities		999,349	873,715
Pension asset		1,936,578	1,782,226
Deferred commission		(536,687)	(424,358)
Decelerated capital allowances		(508,472)	(651,959)
Tax losses carried forward		(170,953)	(1,144,504)
Expected credit losses – Stage 1 and 2		(2,667,398)	(3,218,069)
Unrealized gains		656,013	441,115
Acquisition related balance		1,973,000	-
Deferred tax on gain on bargain purchase		2,166,696	-
Other		(185,801)	-
Capital allowances		(254,825)	(894,459)
Balance, end of year	$	10,063,249	3,589,557

The income tax payable does not represent amounts agreed with the tax authority. The amount is reflective of the Group's position concerning its tax balance with the Inland Revenue Department (IRD) on the basis of its records. However, as the Group's tax return for the year of assessment 2021 has not been finalised with the IRD, there is uncertainty as to the eventual liability.

22. Related party balances and transactions

Related party definition

A related party is a person or entity that is related to the Group.

a) A person or a close member of that person's family is related to the Group if that person:
   i) has control or joint control over the Group;
   ii) has significant influence over the Group; or
   iii) is a member of the key management personnel of the Group, or of a parent of the Group.

b) An entity is related to the Group if any of the following conditions applies:
   i) The entity and the Group are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others).
   ii) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member).
   iii) Both entities are joint ventures of the same third party.
   iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity.
   v) The entity is a post-employment benefit plan for the benefit of employees of either the Group or an entity related to the Group.
   vi) The entity is controlled, or jointly controlled by a person identified in (a).
   vii) A person identified in (a) (i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).
   viii) The entity, or any member of a group of which it is part, provides key management personnel services to the Group.

A related party transaction is a transfer of resources, services or obligations between related parties, regardless of whether a price is charged.

A number of banking transactions were entered into with related parties in the normal course of business. These include loans, deposits and other transactions. With the exception of the amounts due to subsidiary, these transactions were carried out on commercial terms and at market rates.

22. Related party balances and transactions *(cont'd)*

The volumes of related party transactions, outstanding balances at the year end and related expenses and income for the year are as follows:

		2021	2020
Loans to directors and key members of management			
Loans outstanding at beginning of year	$	1,261,029	890,107
Change in status		586,581	(84,441)
Loans reassigned from Director		-	173,002
Loans issued during the year		1,555,828	404,272
Loan repayments during the year		(845,126)	(103,006)
Loans outstanding at end of year	$	2,558,312	1,279,934

No provisions have been recognised in respect of loans given to related parties (2020: nil).

Interest income earned on directors' and key members of management's loans and advances during the year is $157,601 (2020: $64,115). The interest rates on these loans range from 5% to 11% (2020: 5% to 11%) and they are granted on an arm's length basis.

		2021	2020
Deposits by directors and key members of management			
Deposits at beginning of year	$	8,641,295	7,013,879
Deposits received during the year		14,010,882	6,423,425
Deposits repaid/reclassified during the year		(12,801,546)	(5,514,157)
Change in status		161,573	978,956
Deposits at end of year	$	10,012,204	8,902,103

Interest expense paid on directors' and key members of management's deposits during the year is $ 220,589.44 (2020: $296,155). Interest rates on directors' deposits range from 2% to 2.5% (2020: 2% to 2.5%) and they are accepted on an arm's length basis.

Remuneration of key management personnel
During the year, salaries and related benefits were paid to key members of management allocated as follows:

		2021	2020
Salaries and wages	$	1,007,215	1,026,475
Directors' fees and expenses		1,032,319	949,437
Other staff costs		240,791	240,791
Pension costs		25,678	25,678
	$	2,306,003	2,242,381

23. Stated capital

		2021	2020
Authorised share capital:			
150,000,000 shares at nil par value	$	150,000,000	150,000,000
Issued and fully paid:			
10,000,000 shares at nil par value	$	36,000,000	36,000,000

24. Statutory reserve

		2021	2020
Balance at beginning of year	$	26,059,962	26,059,962
Transfer from profit after taxation		4,111,081	-
Balance at end of year	$	30,171,043	26,059,962

Section 45 of the Antigua and Barbuda Banking Act No. 10 of 2015 provides that not less than 20% of each year's net earnings of Antigua Commercial Bank shall be set aside to a reserve fund whenever the fund is less than the paid-up capital of the Bank.

25. Other reserves

		2021	2020
Capital reserve	$	7,461,949	7,461,949
Regulatory reserve for loan loss		27,595,101	27,912,286
Revaluation reserve – FVOCI securities		24,739,503	22,572,436
Revaluation reserve – property		6,039,754	5,902,922
Pension reserve		7,741,583	7,128,904
Total other reserves	$	73,577,890	70,978,497

(a) Capital reserve

Included in this balance is an amount of $6,171,428 recorded in prior years for share premium recognised.

(b) Regulatory reserve for loan loss and interest recognised

		2021	2020
Balance at beginning of year	$	27,912,286	34,997,809
Decrease in reserve for regulatory purposes		(317,185)	(7,085,523)
Balance at end of year	$	27,595,101	27,912,286

This reserve represents the additional loan loss provision required by the Eastern Caribbean Central Bank's prudential guidelines as compared to the provision measured in accordance with International Financial Reporting Standards, together with a reserve for interest on loans not recognised for regulatory purposes.

25. Other reserves *(cont'd)*

(b) Regulatory reserve for loan loss and interest recognized (cont'd)

The regulatory reserve is represented by:

		2021	2020
Reserve for loan impairment – ECCB	$	-	-
Reserve for loan impairment – ECCB (voluntary)		22,761,965	21,181,515
Reserve for interest on non-performing loans		4,833,136	6,730,771
Balance at end of year	$	27,595,101	27,912,286

(c) Revaluation reserve for FVOCI securities

		2021	2020
Balance at beginning of year	$	22,572,436	19,235,907
Increase in market value of investment securities, net of tax of $180,271 (2020: $1,980)		2,167,067	3,336,529
Balance at end of year	$	24,739,503	22,572,436

(d) Revaluation reserve - Property

		2021	2020
Balance at beginning of year	$	5,902,922	5,902,922
Increase in revaluation reserve - property		136,832	-
	$	6,039,754	5,902,922

A revaluation of land and buildings was conducted in 2019 (note 15).

(e) Pension reserve

		2021	2020
Balance at beginning of year	$	7,128,904	7,561,763
Increase (Decrease) in pension reserve		612,679	(432,859)
Balance at end of year	$	7,741,583	7,128,904

The Board of Directors has decided to appropriate annually out of net profits the amounts necessary to maintain a pension reserve equivalent to the pension asset.

26. Other operating income

		2021	2020
Fees and commissions	$	13,116,983	9,348,105
Foreign exchange		7,456,488	4,728,127
Unrealised gain (loss) on FVTPL		1,845,575	1,764,458
Insurance settlement		-	1,351,407
Dividend income		258,610	761,105
Realized gain on FVTPL securities		1,188,526	222,647
Rental income		60,240	144,576
Recovery of loans written off		795,562	109,491
Miscellaneous income		856,709	337,609
Total other operating income	$	25,578,693	18,767,525

26. Other operating income *(cont'd)*

Performance obligations and revenue recognition policies

Fee and commission income from contracts with customers is measured based on the consideration specified in a contract with a customer. The Group recognises revenue when it transfers control over a service to a customer.

The following table provides information about the nature and timing of the satisfaction of performance obligations in contracts with customers, including significant payment terms, and the related revenue recognition policies.

For the accounting policy for fees and commissions in the scope of IFRS 9, see Note 4.9; and for the accounting policy for onerous contracts, see Note 4.4.

Type of service	*Nature and timing of satisfaction of performance obligations, including significant payment terms*	*Revenue recognition policies under IFRS 15*
Retail and corporate banking service	The Group provides banking services to retail and corporate customers, including account management, provision of overdraft facilities, foreign currency transactions, credit card and servicing fees. Fees for ongoing account management are charged to the customer's account on a monthly basis. The Group sets the rates separately for retail and corporate banking customers on an annual basis. Transaction-based fees for interchange, foreign currency transactions and overdrafts are charged to the customer's account when the transaction takes place. Servicing fees are charged on a monthly basis and are based on fixed rates reviewed annually by the Group.	Revenue from account service and servicing fees is recognised over time as the services are provided. Revenue related to transactions is recognised at the point in time when the transaction takes place.

27. Earnings per share

Basic earnings per share is calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

		2021	2020
Net profit attributable to shareholders	$	48,577,555	3,430,378
Weighted average number of ordinary shares in issue		10,000,000	10,000,000
Basic and diluted earnings per share	$	4.86	0.34

28. Cash and cash equivalents

	Notes		2021	2020
Due from other banks	9	$	285,778,838	118,748,257
Cash balances with the Central Bank	8		389,032,557	81,384,523
Treasury bills	10		35,218,844	30,296,720
Total cash and cash equivalents		$	710,030,239	230,429,500

29. General and administrative expenses

	Notes	2021	2020
Salaries and related costs	30	$ 19,098,493	14,021,860
Acquisition costs		8,320,810	1,154,633
Software operating expenses		2,846,942	2,223,260
Non-credit losses		2,276,100	279,605
Audit fees and expenses		1,802,687	673,388
Service charge for corresponding banks		1,654,351	1,210,960
Legal and other professional fees		1,439,293	1,204,275
Telephone and data charges		1,377,173	741,608
Utilities		959,568	731,167
Subscriptions and fees		871,750	595,500
Insurance expense		753,925	598,066
Security services		728,562	512,853
Repairs and maintenance		726,043	449,424
Printing and stationery expenses		724,455	443,728
Strategic Planning Expense		709,100	84,324
Cleaning expenses		583,330	544,626
Advertising and promotion		457,843	615,349
Night depository expenses		379,709	350,893
Credit card expenses		378,605	-
Four C's operating expenses		373,360	374,584
Licenses and taxes		366,686	375,245
ECACH charges		365,942	279,987
Investment expense		287,596	257,098
Rent		188,855	154,498
Travel and entertainment		187,061	18,013
Agency expenses		165,225	170,097
Shareholders' meeting expenses		161,051	83,138
Wire services expense		119,544	108,506
Donations		118,200	73,561
Vehicle expenses		93,936	88,978
ECCB and foreign exchange expenses		91,181	137,315
Scholarship fund		82,303	(39,760)
Commission		42,079	38,007
Covid-19 Expenses		41,634	-
Bank charges		4,706	5,477
Miscellaneous expenses		181,041	88,248
Total general and administrative expenses		$ 48,959,139	28,648,511

30. Salaries and related costs

		2021	2020
Salaries, wages and allowances	$	15,596,628	11,305,830
Statutory deduction costs		1,239,015	1,003,540
Other benefits		528,570	646,317
Staff incentive scheme		748,331	571,348
Training and education		341,621	316,569
Group health and life		344,171	245,053
Pension expense (credit)		300,157	(66,797)
Total salaries and related costs	$	19,098,493	14,021,860

31. Contingencies and commitments

Pending litigation

Various actions and legal proceedings may arise against the Group during the normal course of business. The Group is currently involved in certain employee-related legal matters for which the outcome cannot be presently determined. The amount of the liability, if any, will be contingent on the eventual outcome of court proceedings and will be recognised at that time.

Credit related commitments

The contractual amounts of the Group's off-balance sheet financial instruments that commit it to extend credit to customers are listed below:

		Up to 1 year	Total
As of September 30, 2021			
Loan commitments (undrawn)	$	92,371,549	92,371,549

		Up to 1 year	Total
As of September 30, 2020			
Loan commitments (undrawn)	$	57,600,939	57,600,939

		Up to 1 year	Total
As of September 30, 2021			
Financial guarantee contracts	$	1,459,134	1,459,134

		Up to 1 year	Total
As of September 30, 2020			
Financial guarantee contracts	$	8,236,116	8,236,116

32. Core intangible assets

	Notes	2021
Amount on acquisition	35	$ 14,407,200
Amortisation		(650,307)
At September 30, 2021		$ 13,756,893

Core deposit intangibles were acquired through the acquisition of the assets and assumed liabilities of Royal Bank of Canada (Antigua) Branch and the majority shareholding of RBTT Bank Grenada Limited on April 1, 2021. The remaining useful lives from the acquisition date of the term deposits have been determined to be three years and the current and savings deposits were determined to be 10 years.

33. Non-controlling interest

The following table summarises information relating to each of the Group's subsidiaries that has material non-controlling interest (NCI), before any intra-group eliminations.

	2021 ACB Grenada Bank Ltd. $'000	Intra-group Adjustments	Total
NCI percentage	**37.92%**		
Total assets	375,276		
Total liabilities	(313,136)		
Net assets	62,140		
Carrying amount of NCI	23,563	1,627	**25,190**
Revenue	3,794		
Profit for the period	4,684		
Profit allocated to NCI	1,776	(981)	**795**
OCI for the period	1,903		
OCI allocated to NCI	721	-	**721**

ACB Grenada Bank Ltd. contributed revenue of $3,794,000 and attributable post-acquisition profits of $1,776,000 to the Group's results in the period to September 30, 2021. If the acquisition had occurred on October 1, 2020, management estimates that consolidated revenue from ACB Grenada Bank Ltd. would have been $7,410,000, and consolidated profit for the year would have been $6,069,000. In determining these amounts, management has assumed that the fair value adjustments, determined provisionally, that arose on the date of acquisition would have been the same if the acquisition had occurred on October 1, 2020.

34. Business combinations

On December 11, 2019, the Royal Bank of Canada (RBC) entered into agreements to sell its banking operations in the Eastern Caribbean to a consortium of banks, to include Antigua Commercial Bank Ltd.

The transaction closed on April 1, 2021 with Antigua Commercial Bank Ltd. acquiring the operations of Royal Bank of Canada (Antigua) Branch and 62.08% shareholding in RBTT Bank Grenada Limited. The acquisition of the RBC Antigua operations was done via an Asset Purchase Agreement and the acquisition of the majority shareholding of RBTT Bank Grenada Limited was done via Share Purchase Agreement. The new subsidiary acquired was subsequently renamed ACB Grenada Bank Ltd.

The total consideration paid was $37,079,549 allocated as follows:

Royal Bank of Canada (Antigua) Branch - $22,033,599
RBTT Grenada Bank Ltd - $15,045,950

These consolidated financial statements include the impact of the acquisition of both the net assets of the RBC Antigua Branch operations and the impact of the acquisition of the majority shareholding in RBTT Bank Grenada Limited.

The details of the accounting for both transactions is shown in Note 35.

An overview of the details for both transactions follows:

34. Business combinations *(cont'd)*

Details	Acquisition of Subsidiary	Asset Purchase
Name and Description of Acquiree	ACB Grenada Bank Ltd. (formerly RBTT Bank Grenada Limited)	Royal Bank of Canada (Antigua) Branch Operations
Acquisition Date	April 1, 2021	April 1, 2021
% of Voting Interests Acquired	62.08% Share Transfer from RBTT Bank Caribbean Limited to ACB followed by a name change from RBTT Bank Grenada Limited to ACB Grenada Bank Ltd.	Amalgamation of assets and liabilities of RBC branch with ACB Net Assets
Financial year end	September 30	September 30
	The effect of the financial year end meant transactions for the first five (5) months from November 2020 to March 2021 belong to RBC Caribbean Limited. All transactions from April 1, 2021 belong to the Parent (transactions to September 30, 2021 reflected in these consolidated financial statements)	The effect of the financial year end meant transactions for the first five (5) months from November 2020 to March 2021 belong to RBC Caribbean Limited. All transactions from April 1, 2021 belong to the Parent (transactions to September 30, 2021 reflected in these consolidated financial statements)
Consideration paid	$15,045,950	$22,033,599
Basis used on acquisition	Investment recorded at cost	The asset purchase resulted in the amalgamation of the assets and liabilities of RBC branch (at fair value) with the net assets of the Group - See table of amounts recognised as of acquisition date in Note 35

34. Business combinations *(cont'd)*

	Acquisition of Subsidiary	**Asset Purchase**
Valuation techniques relied on		**Intangible assets:** (i) Core deposit intangible - Management utilised a cost savings approach to value this intangible based on the assumption that the deposits being acquired have value because the cost of alternative funding is higher. Management then used the discounted cashflow method to derive the present value of the future operating cashflows generated by the net cost savings from the existing deposit accounts plus the present value of any residual value; (ii) Workforce in place valuation was based on the replacement cost method which relied on the savings in training costs and staff costs by inheriting teams in both locations already trained and experienced.
		Loans and advances to customers were valued based on an assessment of fair value of (i) Performing Loans based on the loan's cash flows, discounted at a market interest rate and (ii) Non-Performing Loans using a proxy
		Right-of-use assets were valued as if each lease commenced from the date of acquisition and taking account of the remaining lease liability under the contract and by applying the effective borrowing rate for the Bank to each lease to arrive at the present value of lease payments
		Investment securities were valued at fair value using the market price at the acquisition date or last traded date in active markets
		Lease liability is measured as the present value of the lease payments that are not paid at the acquisition date discounted using the Bank's incremental borrowing rate
Goodwill or bargain purchase was calculated as follows:	The consideration paid (including NCI) plus the fair value of the intangible assets acquired minus the fair value of the net identifiable assets acquired.	The consideration paid plus the fair value of the intangible assets acquired minus the fair value of the net identifiable assets acquired. See table of amounts recognised for intangible assets in Note 35.

34. Business combinations (cont'd)

	Acquisition of Subsidiary	**Asset Purchase**
Bargain purchase	Prior to recognising the bargain purchase in the consolidated profit or loss, management undertook a review to ensure the identification of assets and liabilities was complete and the measurements appropriately reflected consideration of all available information	
Acquired receivables	See table in Note 35 for the details of the acquired receivables	See table in Note 35 for the details of the acquired receivables
Acquisition costs	$3,653,182 incurred and taken to profit or loss	$4,731,326 incurred and taken to profit or loss

35. Business combinations – additional details

On April 1, 2021, Antigua Commercial Bank Ltd. acquired the Royal Bank of Canada Antigua Branch operations and the majority shareholding in RBTT Bank Grenada Limited. The acquisition forms part of the group's strategic plan which sets out an ambitious agenda for growth and profitability over the next three years by creating superior value for customers, shareholders and employees.

The fair value of the identifiable assets and liabilities as at the date of both acquisition were:

	Asset Purchase	Acquisition of Subsidiary	TOTAL
	$'000	$'000	$'000
Purchase price consideration	**22,034**	**15,046**	**37,079**
Cash and cash equivalents	176,221	168,099	344,320
Balances at central bank	36,634	22,845	59,478
Due from associated or affiliated companies	1,080	7,916	8,996
Loans and advances to customers	194,036	128,509	322,545
Securities	722	15,503	16,225
Other assets	4,655	10,868	15,522
PPE	1,674	6,215	7,889
Fair Value adjustments on Financial Assets	4,874	1,240	6,114
Total Tangible Assets	**419,894**	**361,196**	**781,091**
	-	-	-
Identifiable Intangible Assets	-	-	-
Core Deposit Intangibles	6,672	7,738	14,410
Total Identifiable Intangible Assets	6,672	7,738	14,410
	-	-	-
Liabilities	-	-	-
Due to banks	2,233	-	2,233
Due to associated or affiliated companies	-	340	340
Customer deposits	408,356	300,114	708,470
Taxation payable	30	-	30
Post-retirement benefit obligations	292	-	292
Other liabilities	4,111	6,299	10,411
Total Liabilities	**415,022**	**306,753**	**721,776**
	-	-	-
Total Identifiable Net Assets	**11,544**	**62,181**	**73,725**
Non-Controlling Interest	-	23,578	23,578
Goodwill	(10,490)	(2,076)	(12,566)
Deferred Tax	(1,973)		(1,973)
Net Goodwill	**(12,463)**	**(2,076)**	**(14,539)**
Gain on Bargain Purchase		25,633	25,633
Deferred Tax		(2,167)	(2,167)
Net Gain on Bargain Purchase		**23,466**	**23,466**

35. Business combinations – additional details *(cont'd)*

The goodwill is attributable to the combined years of banking experience, technical knowledge in credit risk assessment and evaluation processes, established customer relationships and other synergies expected to be achieved from the acquisition. None of the goodwill recognised is expected to be tax deductible. The Group incurred approximately $8,384,508 ($3,653,182 for ACB Grenada Bank Ltd. and $4,731,326 for the RBC Antigua Branch) in acquisition related costs in 2021 (2020: $1,154,632) which have been included in "general and administrative expenses" in profit or loss.

	2021
	$000
Goodwill on acquisition	14,539
Goodwill impairment expense	-

Goodwill arising from the April 1, 2021 acquisition of the assumed assets and liabilities of Royal Bank of Canada (Antigua) Branch was determined based on independent valuation of the fair value of the net assets. The carrying amount of goodwill will be reviewed annually for impairment and whenever there are events or changes in circumstances, which indicate that the carrying amount may not be recoverable. The goodwill impairment test will be performed by comparing the recoverable amount of the CGU to which goodwill has been allocated, with the carrying amount of the CGU including goodwill, with any deficiency recognised as impairment to goodwill.

The acquisition of RBTT Bank Grenada Limited resulted in a bargain purchase after the effect of deferred tax, as the fair value of the identifiable net assets acquired exceeded the purchase consideration, including the non-controlling interest at the date of acquisition.

There are two key factors which make a bargain purchase reasonable for this particular transaction:

- The total purchase price was allocated across the Consortium based on a combination of a weighted share of the Target's assets and revenue, each with a 50% weight and the adjustments for property uplifts for those entities acquiring real property.

- Each of the RBTT entities purchased in the transaction were required to hold a minimum capital of XCD$20M, in accordance with the Banking Act 2015, as governed by the Eastern Caribbean Central Bank. Based on the structure of the RBTT entities, there would have been a required surplus of assets to remain in each of the entities to ensure compliance. As such, at Transaction Date, the net assets would have exceeded the allocated purchase price, resulting in a bargain purchase.

Refer to Note 33 for details of the profit contributed by ACB Grenada Bank Ltd.

For the six months ended September 30, 2021, the acquired Branch contributed $7,220,105 of interest and other income and $1,646,811 of profit before tax to the Group's results. Had the acquisition occurred on October 1, 2020, it is estimated that contributed interest and other income would have been $17,733,834 and profit before tax, $5,770,834.

Analysis of cash flows on acquisition	
Net cash acquired	344,320
Consideration transferred	37,079
Net cash inflow	307,241

36. Investment in associate

As part of the acquisitions during the period as included in Note 35, the Bank acquired a 20% interest in RBTT Bank Caribbean Limited ('RBTT'). This interest was acquired for nil consideration and was obtained to facilitate the overall acquisitions by the consortium of banks that acquired the interests of Royal Bank of Canada in the Eastern Caribbean. The interest was intended to be held for a short period of time until certain regulatory requirements were satisfied at the level of RBTT Bank Caribbean Limited and another bank within the consortium.

The acquisition of the 20% interest enabled the Bank to have one appointee to the Board of Directors. The Bank was however not involved in the running of RBTT Bank Caribbean Limited and was not involved in the making of any policy decisions, there was no interchange of managerial personnel and ACB did not provide essential technical information to RBTT. As part of the process, an interim operating agreement was executed between RBTT and another bank within the consortium to provide that bank the full ability to operate and manage RBTT's banking business. ACB was indemnified under a separate agreement with the other bank from any loss related to this transaction and the operation of RBTT.

Further to an assessment performed by management, it was concluded that this interest did not provide the Bank with significant influence and additionally it was determined that the fair value of this interest on initial recognition was nil as there was no economic benefit to be gained from the transaction. As such, no amounts have been recorded in these financial statements related to this transaction.

During the period, no financial or other support was provided to RBTT. The Bank did not receive any financial information for RBTT Caribbean as at September 30, 2021, and is therefore unable to disclose such.

Notes

TABLE OF CONTENTS



ACB Caribbean Head Office
P.O. Box 95
Thames & St. Mary's Streets
St. John's
Antigua.

Tel: 1-268-481-4200/1/2/3
Fax: 1-268-481-4229
Email: acb@acbonline.com

Website: www.acbonline.com

Designed, Produced and Published by BlackBox Business Solutions.
Photography by Gemma Hazelwood